OECD

# OECD ECONOMIC SURVEYS

1999

*SPECIAL FEATURE*

**Structural reform**

# CANADA

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# OECD ECONOMIC SURVEYS

## 1998-1999

CANADA

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

# ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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# BASIC STATISTICS OF CANADA

## THE LAND

| | |
|---|---|
| Area (thousand sq. km) | 9 976 |
| Agricultural area (1991, as per cent of total area) | 6.8 |
| Population of major cities, including metropolitan areas (thousands) (1997) | |
| Montréal | 3 412 |
| Toronto | 4 503 |

## THE PEOPLE

| | |
|---|---|
| Population (1998) | 30 265 620 |
| Number of inhabitants per sq. km | 3.0 |
| Population, annual net natural increase (average 1994-1998) | 150 905 |
| Natural increase rate per 1 000 inhabitants (average 1994-1998) | 5.2 |
| Civilian labour force (1998) | 15 627 600 |
| Employment agriculture (1998) | 418 483 |
| Immigration (annual average 1994-1998) | 210 394 |
| Average annual increase in labour force (1994-1998), per cent | 1.3 |

## PRODUCTION

| | |
|---|---|
| GDP in 1998 (millions of Canadian dollars) | 888 390 |
| GDP per head (Canadian dollars) | 29 353 |
| Gross fixed investment (private and public) per head (Canadian dollars) | 5 585 |
| Gross fixed investment (private and public) as per cent of GDP | 19.0 |
| Origin of gross domestic product (1998, per cent of total, 1992 prices): | |
| Agricultural, forestry and fishing | 2.4 |
| Mining and quarrrying | 3.9 |
| Manufacturing | 17.8 |
| Construction | 5.4 |
| Non business sector | 17.5 |
| Other | 55.4 |

## THE GOVERNMENT

| | |
|---|---|
| Government current expenditure on goods and services (1998, as per cent of GDP) | 19.3 |
| Government gross fixed capital formation (1998, as per cent of GDP) | 2.2 |
| Federal Government current revenue (1998, as per cent of GDP) | 20.5 |
| Federal direct and guaranteed debt (1998, as per cent of current expenditure) | 275.1 |

| Composition of Parliament (June 1999) | Number of seats House of Commons | Number of seats Senate |
|---|---|---|
| Progressive Conservative | 19 | 42 |
| Liberal | 156 | 53 |
| New Democratic | 20 | – |
| Bloc Québécois | 44 | – |
| Independent | 2 | 5 |
| Reform | 59 | – |

## FOREIGN TRADE

| | |
|---|---|
| Exports (1998) | |
| Exports of goods and services, as per cent of GDP | 41.5 |
| Main exports (per cent of commodity exports): | |
| Wheat | 1.1 |
| Natural gas | 2.7 |
| Lumber and sawmill products | 5.1 |
| Pulp and paper | 5.8 |
| Other metals and minerals | 8.8 |
| Motor vehicles and parts | 24.5 |
| Other manufactured goods | 31.6 |
| Main customers (per cent of commodity exports): | |
| United States | 83.7 |
| EU | 5.5 |
| Japan | 3.0 |
| Imports (1998) | |
| Imports of goods and services, as per cent of GDP | 40.2 |
| Main imports (per cent of commodity exports): | |
| Industrial materials | 19.0 |
| Motor vehicles and parts | 22.0 |
| Producers' equipment | 33.4 |
| Consumer goods | 11.4 |
| Main suppliers (per cent of commodity imports): | |
| United States | 77.0 |
| EU | 8.4 |
| Japan | 3.2 |

## THE CURRENCY

| | |
|---|---|
| Monetary unit: Canadian dollar | |
| Currency unit per US dollar | |
| Year 1998 | 1.484 |

*Note:* An international comparison of certain basic statistics is given in an annex table.

*This Survey is based on the Secretariat's study prepared for the annual review of Canada by the Economic and Development Review Committee on 15 June 1999.*

•

*After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 5 July 1999.*

•

*The previous Survey of Canada was issued in November 1998.*

# Assessment and recommendations

***The Canadian economy appears to have coped well with the effects of the crisis in Asia…***

Canada has continued to enjoy good economic performance, as the boom in the United States and improved domestic fundamentals mitigated the impact of the crisis in Asia. After picking up to 4 per cent in 1997, real GDP growth averaged about 3 per cent in 1998, as activity rebounded sharply late in the year and remained robust in early 1999. Developments in Asia have influenced the Canadian economy in a number of ways. They directly affected exports to these regions and indirectly undermined earnings for commodities by reducing their prices. Together with financial market turmoil, they also hurt corporations' and households' confidence and, in turn, their spending. At the same time, however, helped by exchange rate depreciation, overall export growth has continued unabated, with lower sales to Asia being more than offset by higher shipments to the United States. Despite the somewhat slower pace of economic expansion, job creation in 1998 was the best in the 1990s, and was more evenly distributed among various groups than previously. Nonetheless, with persistent economic slack limiting exchange rate pass-through, inflation has remained subdued, at levels close to the lower end of the official 1 to 3 per cent target range. Despite the impact of the Asia crisis, the external deficit was little changed in 1998 at around 2 per cent of GDP before narrowing sharply in early 1999.

***… and should continue to expand at a healthy pace…***

Latest indicators show relatively strong and broadly based economic growth in the early part of 1999. Thereafter, the pace of activity is projected to fall back towards its potential rate, estimated by the OECD Secretariat to have edged up to over 2½ per cent per annum. Underlying this outlook are several, partly offsetting, influences. Economic expansion in

the United States is projected to abate somewhat, which would entail a decline in Canada's export market growth. At the same time, however, Canada's exporters should be able to gain market share, given their improved competitiveness. Moreover, continued strength in domestic demand in response to the easing in the pace of fiscal consolidation, lower interest rates and rising consumer and business confidence should partly compensate for the reduced stimulus from abroad. There do not seem to be any signs of domestic imbalance which might jeopardise this relatively encouraging economic outlook over the next eighteen months or so. Indeed, although exchange rate pass-through and the turnaround in the oil market are likely to lead to price increases, inflation is not expected to exceed significantly the mid-point of the official target band, given its current low level and continued economic slack. The external deficit is projected to remain modest, and it could even narrow significantly if commodity prices pick up faster than assumed.

***... with risks to the outlook mainly relating to developments in the United States***

The uncertainties surrounding these economic prospects would seem to concern mainly the future course of the US economy. Trade liberalisation in North America and the effects of the Asia crisis have meant that around 85 per cent of Canada's merchandise exports now go to the United States, as compared with about 70 per cent in the late 1980s. Apart from the implied substantial direct trade impact of any significant change to the US outlook, developments in the United States could also complicate the conduct of Canadian monetary policy. In particular, the question would arise how the Bank of Canada should respond to an increase in US interest rates.

***While last year's financial turmoil complicated the conduct of monetary policy...***

Recent experience provides some useful indications in this respect. The decision by the Bank to raise short-term interest rates in August 1998 was aimed at bolstering confidence in Canadian dollar investments following an accelerating decline in the exchange rate, a pick-up in Canadian bond yields and a generally turbulent financial environment amidst much uncertainty. While such action may have been warranted, even if not required by the need to preserve monetary conditions consistent with the inflation target, the issue remains how the monetary authorities should

integrate such interventions into their overall strategy. The Bank has set out two circumstances in which declines in the currency could lead to official interest rate changes. The first is when the magnitude of the decline threatens to push the economy off a sustainable, non-inflationary growth path. This was not the reason behind the August 1998 Bank Rate increase. The second situation is when there is a potential for loss of confidence in Canadian-dollar-denominated assets that leads to higher risk premiums in medium- and long-term interest rates, which would be costly for the economy. This was the case in August 1998 as international financial turmoil increased the risk of holding Canadian-dollar-denominated assets. In the event, the developing loss of confidence at that time was in fact contained, aided by the sharp reduction in US interest rates in the autumn, and the Bank subsequently reversed the increase in the official rate over time as global financial markets stabilised.

***... avoiding an early tightening of monetary conditions would seem appropriate in the current context***

In light of these developments, it would seem appropriate to seek to avoid a tightening of monetary conditions following an increase in US interest rates, so long as the latter were not linked with renewed financial turmoil. Resisting such an interest rate rise would seem desirable given that inflation is currently running near the bottom of the target range and there is no clear evidence that inflation pressures are beginning to develop. The Canadian monetary authorities' intention to "probe" for the potential level of output appears to be in line with this approach.

***At the same time, a medium-term fiscal policy framework could help foster confidence***

Continued progress in budget consolidation could serve to mitigate some of the risks implied by such a strategy. Fiscal improvement has been impressive by both historical and international standards. With the general government financial balance now in surplus for two years, the public debt-to-GDP ratio has declined noticeably. However, as a result of a series of large budget deficits from the early 1980s to the mid-1990s, the ratio is still high by international comparison. This increases risk premia and heightens the risk of interest rate volatility, both of which have a negative effect on government finances and the economy in general. At the same time, with the achievement of budget surpluses, pressures to reduce taxes and increase expenditures quickly

have mounted. This highlights the need for a medium-term fiscal policy framework – providing a coherent prospective plan for programme spending, tax changes and debt reduction – so as to anchor both public and financial market expectations. In this regard, priority should be given to ensuring that the public debt ratio maintains a clear downward track, which implies that the authorities should aim for continued budget surpluses. Such an approach has the advantage of providing a buffer against future economic shocks. By lowering debt-servicing charges, it would also release resources to cut taxes and, more generally, reform the tax system.

***Although structural reform seems to be paying off, continued policy effort is required***

Since the mid-1980s, Canada has implemented a wide range of structural reform measures designed to enhance productivity performance and economic growth. These were undertaken, in the first instance, to fill gaps in the policy framework, including the need to open the economy to greater international competition and secure access to global markets, reduce the regulatory burdens facing business and shift the revenue mix toward greater reliance on consumption taxes. More recently, policy changes have also been closely aligned with the *OECD Jobs Strategy's* recommendations to improve the functioning of labour and product markets. There seems to be some evidence that the pay-off to such structural reform might now be emerging: revised data suggest that Canada's total factor productivity performance over the past two decades has been better than previously thought, and there are some indications of improvements in trend productivity growth in the 1990s. However, while encouraging, this should not mask the fact that the *level* of productivity in Canada is still substantially lower than in the United States, so that continued structural policy effort is needed if Canada's standard of living is to catch up to its neighbour. Further progress is required, in particular, in four areas: the labour market, taxation, internal trade and the financial sector.

***In particular, there is unfinished business in the labour market…***

Although the recent strength in employment growth and decline in unemployment in part reflects cyclical influences, labour-market reform should contribute to sustaining such favourable performance by further lowering structural unemployment. Indeed, the authorities have to be commended for the extent to which they have followed through on the *Jobs Strategy* recommendations, in overhauling the unemployment insurance and social benefit systems and shifting the nature of labour market support to "active" measures. Nevertheless, there are several outstanding issues, including: examining the potential for more extensive experience-rating of employment insurance (EI) benefits and reducing their regional differentiation; completing the negotiations with the provinces (notably Ontario) for the hand-over of active labour market programmes; considering age-grading of minimum wages to promote youth employment; and moving to implement the labour mobility provisions of the Agreement on Internal Trade so as to recognise occupational qualifications across provinces. Solving these issues would certainly help to further improve the functioning of the labour market.

***… as well as a need to adjust the tax system…***

A number of taxation issues also need to be addressed. Although tax relief has begun at both the federal and provincial levels, both the overall tax burden and marginal tax rates are high in Canada relative to the United States and are rising automatically because of the partial indexation of the tax system. This has implications for competitiveness and risks undermining the Canadian tax base. Moreover, efficiency imperatives point to a need for tax cuts. In this respect, priority should be given to reducing personal income tax rates and raising thresholds at which the marginal rates kick in, as well as making a start towards complete indexation of the personal income tax system. In addition, cuts in employment insurance premium rates would seem to be required to avoid a rising payroll tax burden as a result of increasing pension contribution rates. Action should also begin on reducing the top corporate tax rate and capital taxes to bring Canadian business tax rates in line with the United States. In this regard, encouraging provinces to join in a meaningful reform of the business tax system is important to reduce present distortions that

entail differential incentive effects across industries and activities. Such initiatives, especially those on the income tax side, are costly in terms of foregone revenue. To provide adequate room for tax cuts, within a fiscal policy framework that is focused on continued debt reduction, it will be necessary to maintain tight control of spending at all levels of government. Reprioritising expenditure and continuing reform efforts are thus required to ensure better provision of services in sectors such as health and education, without undue increases in overall spending.

***... to remove barriers between provinces for products and people...***

While Canada has been actively reducing and eliminating obstacles to the cross-border movement of goods, services and investment it has been much less successful in removing them internally. The continued existence of certain restrictions on trade and factor mobility between provinces remain disappointing features of the structural reform agenda. While some liberalisation measures have been forthcoming, in particular regarding provincial procurement, the "Agreement on Internal Trade" is still very much work in progress for which a renewed commitment to its objectives by its signatories is surely needed. The recently negotiated "Social Union Framework Agreement" should give an important impetus to the internal trade liberalisation process by introducing deadlines for the achievement of labour mobility enhancement objectives, while at the same time providing scope for improved efficiency in the provision of social programmes.

***... and to implement further changes in the financial sector***

As for internal trade, previous OECD *Surveys* have insisted on the need to complete the reform of the financial sector, following the important steps taken in the early 1990s. Recently, two measures have been implemented in this area – permitting foreign branch banking and demutualisation (that is, the possibility for mutual life insurance companies to convert into stock ownership). These initiatives should help increase both efficiency and competition in the domestic market. Nonetheless, a number of other changes are desirable to complement these moves, given both the September 1998 recommendations made by the "Task Force on the Future of the Financial Services Sector" and the Government's December 1998 decision not to allow two

proposed mergers involving four of Canada's largest banks. As of mid-1999, the government intended to outline a new framework for the financial sector. Numerous issues would need to be addressed, including: the relaxation of ownership restrictions in the banking sector; allowing banks the sale of insurance products from their branches and auto leasing; creating competitive pressures across institutions through, for example, strengthening the credit union movement; harmonising federal and provincial regulations in the financial sector; and providing wider access to the Canadian Payments System for all (appropriately regulated) financial institutions. It is also important to ensure that regulation and supervision are strengthened commensurate with the potential for increased risk associated with greater competition.

### *To sum up*

*In summary*, with the overall effects of the Asia crisis proving rather limited, the Canadian economy has continued to perform well. Growth has continued at a healthy pace and job creation has been the best in more than a decade. At the same time, inflation has remained low and the external deficit relatively small. Even though developments in the United States may become less supportive, prospects are propitious for sustained growth. The competitive position of Canadian businesses is very favourable while, with substantial progress in budget consolidation, monetary and fiscal policy can now work together to underpin economic expansion. In the absence of inflationary pressure or international financial turmoil, maintaining easy monetary conditions would seem to be warranted in the near term. As for fiscal policy, it should ensure that the public debt ratio remains on a clear downward trend, while making adjustments to the tax system and redirecting spending to priority programmes. At the same time, there is scope for advancing the structural policy agenda in various areas – such as the labour market, taxation, internal trade and the financial sector – to consolidate gains in economic efficiency. This would provide the conditions for a sustained improvement in Canada's standard of living.

# I. Recent trends and prospects

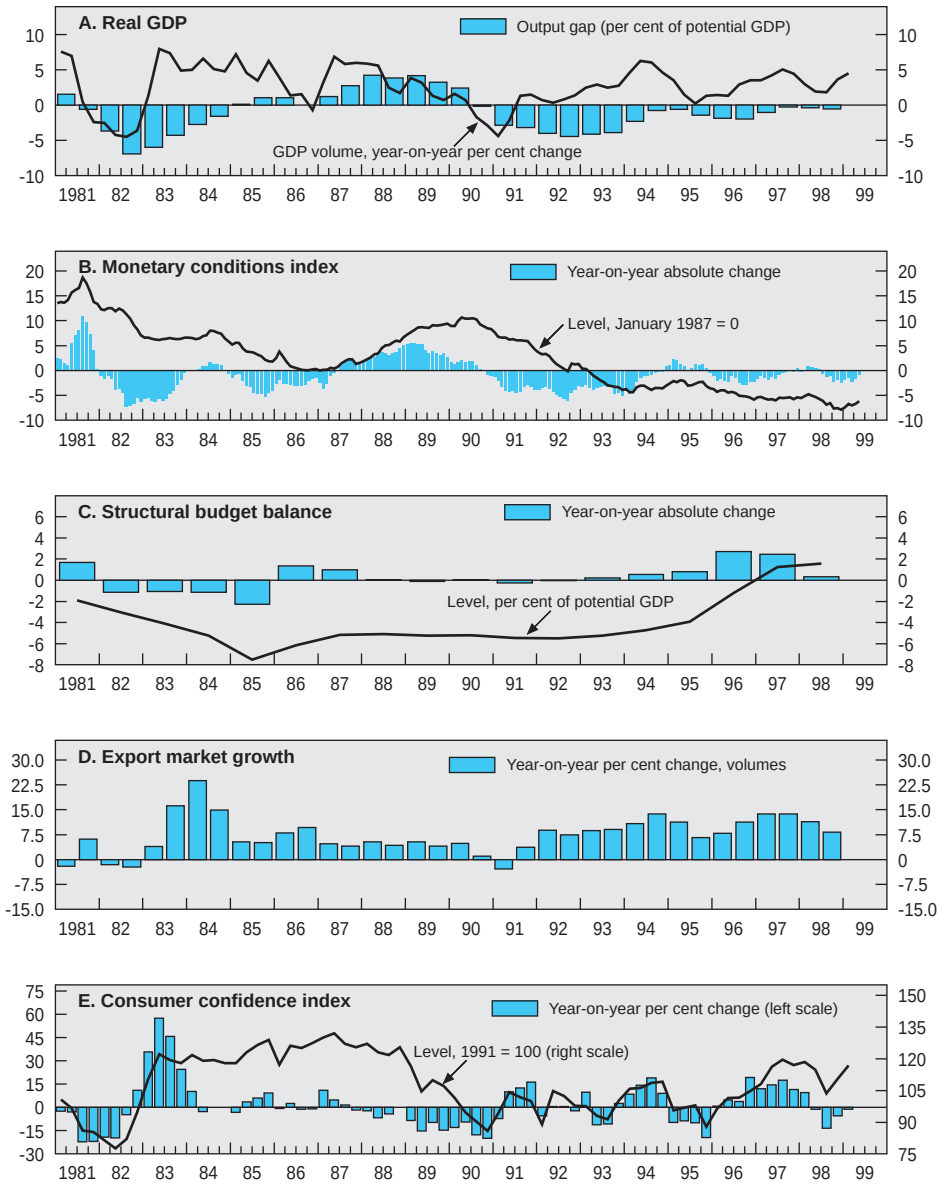
## Overview

Following robust growth during 1997, economic expansion slowed in 1998 as the effects of developments in Asia began to show through. Although Canada's western provinces, especially British Columbia, were hard hit, relying heavily on exports to that region, the direct trade impact was relatively small for the country as a whole. The most significant channel through which the Asia crisis dampened growth was the sharp fall in commodity prices. Canada being a net exporter of commodities, this led to a substantial deterioration in its terms of trade. The resulting decline in the aggregate price of the country's output further slowed growth in *nominal* GDP. The impact of lower commodity prices was also felt in profits and the stock market (where resource firms have a significant weight in excess of their economic importance). These developments undermined business and consumer confidence and adversely affected domestic demand.

Economic growth has nevertheless held up quite well, although slowing somewhat. In 1998 as whole, real GDP expanded by over 3 per cent, as compared with 2 per cent on average in the 1990s, and activity has picked up in recent quarters. This relatively strong performance reflects a number of favourable influences. Despite some moderation in market growth, exports have continued to expand at a healthy pace, fuelled by ongoing strong demand in the United States, Canada's largest trading partner, as well as by substantial improvements in the competitiveness of Canadian firms due to currency depreciation and a decrease in unit labour costs relative to major trading partners. The decline in the effective exchange rate through 1998 implied an easing in overall monetary conditions, despite a temporary rise in interest rates in the context of financial market turbulence during the summer. At the same time, fiscal policy, the direct effect of which exerted a considerable drag on growth in previous years, shifted to a neutral position (Figure 1).

Although Canada's growth performance has tended to improve over the 1990s, it has continued to fall short of that in the United States. To a considerable extent, this can be traced to two factors: fiscal imbalance and the terms of trade.

Figure 1. **Conditions for growth**




*Source:* Statistics Canada; Conference Board; OECD Secretariat.

Although budget consolidation has also been prominent in the United States, the size of deficits and debt levels that had emerged in the early 1990s required more radical fiscal retrenchment in Canada. As noted, this factor has become less important recently, but at the same time the collapse in world commodity prices has had a very different impact on the two economies. Over the two years to late 1998, Canada's terms of trade deteriorated by about 7 per cent, while those of the United States – a net commodity importer – improved to nearly the same extent. As these negative influences peter out, Canada should be able to outperform its neighbour country in the period ahead, the more so since ongoing economic slack provides more room for non-inflationary growth. The following paragraphs review in more detail economic trends and prospects in Canada.

## Continued but slower economic expansion

While the underlying pace of expansion has moderated, the growth profile has been quite uneven over the past year owing to work disruptions. The auto workers' strike in the United States, which idled most Canadian operations due to parts shortages, construction strikes in Ontario, disputes in the pulp and paper industry, and an air pilot strike all had a significant impact on the path of GDP. Output in these four sectors directly affected by labour conflicts declined by almost 3½ per cent during the second and third quarters of 1998 before rebounding by around 7½ per cent in the final quarter. This largely explains the marked rise in GDP growth in the latter part of the year (Table 1). In early 1999, economic expansion slowed somewhat but continued to exceed significantly the average rate recorded in 1998. Abstracting from strike-related fluctuations, manufacturing production has continued to show robust growth. The impact of the crisis in Asia is, however, evident in the primary sector, and especially in the mining industry, where production has fallen markedly. Construction activity has also been affected, although part of its relative weakness in 1998 reflects labour disputes. These developments have led to starkly diverging rates of capacity utilisation across the economy. Historically high levels of spare capacity in the mining sector contrast with low (and diminishing) capacity in manufacturing.

On the demand side, *exports* have become again the most important source of GDP growth as they have kept expanding at high rates (Table 1). Export volumes to East Asia (including Japan and China) declined by more than 40 per cent during 1997-98 (Figure 2), owing to the significant weakening of economic activity in that region and the substantial appreciation of the Canadian dollar against Asian currencies. But this has been outweighed by strong US demand for Canadian products, reflecting in part a more competitive exchange rate against the US dollar. Large gains in sales of finished goods to the United States (like machinery and equipment, automotive products, and other consumer goods)

Table 1. **Demand and output**

Percentage change over previous period, seasonally adjusted annual rates, volume (1992 prices)

| | 1979/ 1973 | 1989/ 1979 | 1998/ 1989 | 1996 | 1997 | 1998 | Q4 1998 | Q1 1999 |
|---|---|---|---|---|---|---|---|---|
| Private consumption | 4.0 | 2.9 | 2.0 | 2.5 | 4.2 | 2.8 | –0.0 | 5.1 |
| Government consumption | 3.7 | 2.5 | 0.6 | –1.1 | –0.5 | 1.7 | 2.4 | –0.6 |
| Gross fixed investment | 5.0 | 5.3 | 1.9 | 6.5 | 13.9 | 3.6 | 4.5 | 7.6 |
| Public | 0.2 | 4.9 | 1.3 | –3.1 | –5.3 | 4.9 | 0.9 | 2.7 |
| Private | 5.9 | 5.4 | 2.0 | 8.2 | 16.9 | 3.4 | 5.0 | 8.3 |
| Residential | 3.4 | 4.0 | –1.7 | 9.9 | 12.6 | –1.9 | 0.3 | 16.6 |
| Non-residential | 8.2 | 6.4 | 3.9 | 7.4 | 18.8 | 5.7 | 6.8 | 5.2 |
| **Final domestic demand** | **4.1** | **3.3** | **1.7** | **2.4** | **4.9** | **2.7** | **1.4** | **4.4** |
| Stockbuilding[1] | 0.1 | –0.1 | 0.0 | –0.7 | 0.7 | –0.4 | 3.4 | –1.1 |
| **Total domestic demand** | **4.2** | **3.2** | **1.7** | **1.6** | **5.7** | **2.2** | **4.9** | **3.3** |
| Exports of goods and services | 3.8 | 5.3 | 7.8 | 5.8 | 8.5 | 8.2 | 14.2 | 8.5 |
| Imports of goods and services | 5.2 | 6.8 | 6.6 | 5.8 | 14.6 | 5.8 | 15.9 | 4.2 |
| **Foreign balance**[1] | **–0.1** | **–0.3** | **0.4** | **0.1** | **–1.7** | **1.0** | **–0.2** | **1.8** |
| Error of estimate[1] | 0.0 | 0.1 | –0.1 | –0.0 | 0.2 | –0.1 | 0.2 | –0.7 |
| **GDP at market prices** | **3.9** | **2.9** | **2.0** | **1.7** | **4.0** | **3.1** | **4.8** | **4.2** |
| Agriculture | –0.6 | 2.2 | 0.8 | 3.3 | –0.3 | –0.1 | 1.5 | –3.6 |
| Mining | –3.3 | 1.1 | 2.9 | 2.0 | 4.1 | –0.4 | –11.9 | –2.5 |
| Manufacturing | 2.6 | 2.2 | 2.1 | 1.2 | 6.5 | 3.9 | 12.7 | 5.2 |
| Construction | 4.5 | 2.7 | –1.2 | 1.9 | 6.1 | 1.2 | 2.1 | 2.5 |
| Services | 4.4 | 3.1 | 2.1 | 1.3 | 3.4 | 2.9 | 3.6 | 3.5 |
| **GDP at factor costs** | **3.5** | **2.8** | **1.9** | **1.4** | **4.0** | **2.8** | **4.4** | **3.4** |
| *Memorandum item:* | | | | | | | | |
| GDP per capita | 2.7 | 1.7 | 0.8 | 0.6 | 2.8 | 2.1 | .. | .. |

1. Contribution to GDP volume growth.
*Source:* CANSIM-Statistics Canada.

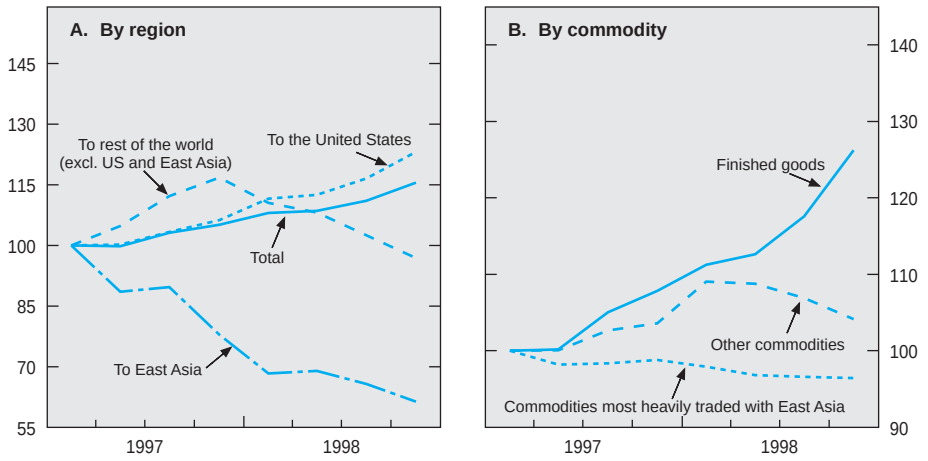
have been the driving force behind the expansion of total exports. Exports of such products have been affected only slightly by the worsening situation in East Asia because these countries mainly import commodities from Canada. Export volumes of those commodities most heavily traded with East Asia (farm and fish products, lumber pulp and paper, coal, metallic ores and aluminium) declined steadily over1997-98. This was partly counterbalanced by a rise in exports of some other commodities, both owing to the strength of US demand and new Canadian capacity coming on stream, and improved cost competitiveness.

With the growth in import volumes falling markedly, to below that of exports, the real foreign balance – that had acted as a drag on activity in 1997 –

has begun to support growth anew (Table 1). A lower import propensity is in part due to improved competitiveness, which has encouraged the substitution of domestic for imported goods. It also reflects a significant slowdown in the growth of components of aggregate demand that have a particularly large import content (such as consumption of durable goods and investment in machinery and inventories). The moderation in spending following its marked strengthening in 1997 was widespread, however, touching all major components of *domestic demand* outside the government sector.

*Private consumption*, which was the engine of economic expansion in the year before, made a diminishing contribution to GDP growth in 1998 (Figure 3), although real disposable income of households picked up markedly owing to declining inflation and increasing job creation. This seems to reflect the effect of the substantial flattening of the yield curve, the low level of the personal savings rate, and possibly the equity market weakness in the middle of 1998. Together with growing real net wealth, the steep yield curve prevailing in 1996-97 is likely to have caused private consumption to outpace income growth by encouraging households to advance spending, in particular on durable goods. Over that period, the personal saving ratio declined by nearly 3 percentage points. With the stock market correction in mid-1998, households decided to save more of their

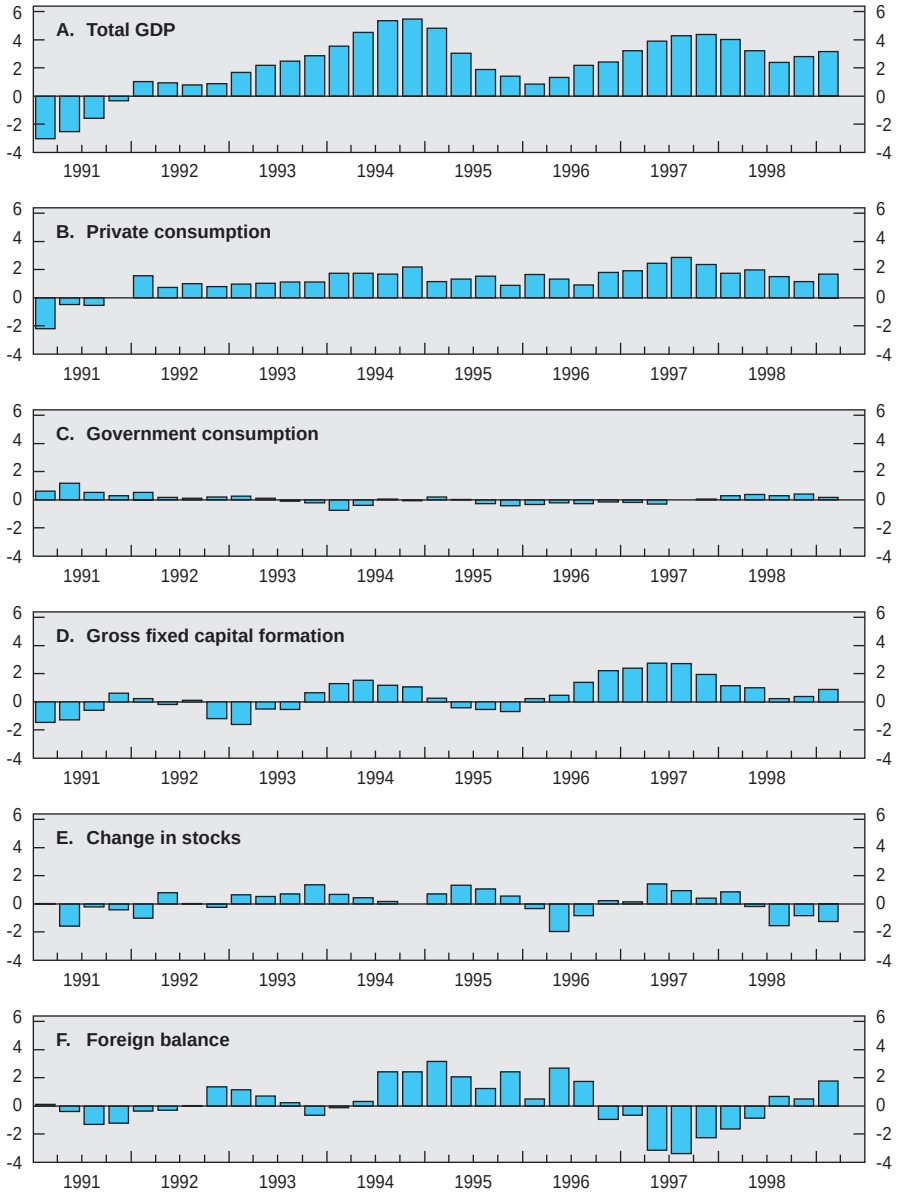
Figure 2. **Export volumes**
Index, 1997 Q1 = 100




*Source:* Bank of Canada.

Figure 3. **Contributions to changes in GDP**

Per cent changes over 4 quarters




*Source:* CANSIM – Statistics Canada; OECD, *National Accounts*.

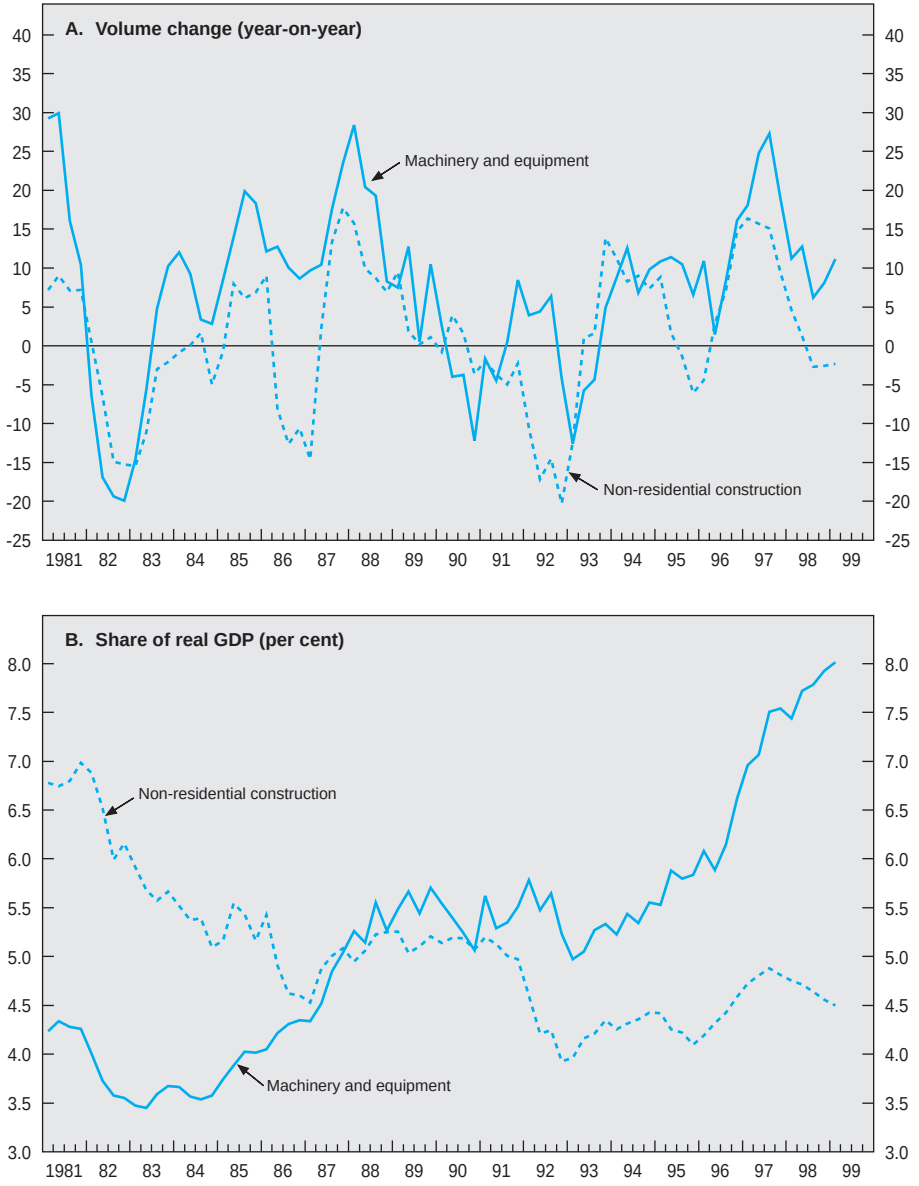
flow of income to strengthen their balance sheets. Financial market volatility appears to have contributed to the sharp decline in consumer confidence in the middle of 1998 (Figure 1). The subsequent improvement in consumer sentiment against a backdrop of calmer financial markets and rebounding equity prices has been followed by a marked pick-up in consumer spending in early 1999 (Table 1).

*Residential investment* weakened even more last year, following robust growth in 1996-97 (Table 1). This is partly attributable to temporary factors, such as the construction strikes. Lower net immigration and the jump in mortgage rates in the third quarter of 1998 also affected housing demand. In the meantime, however, mortgage rates have returned to near-record lows and the labour market situation has improved markedly, contributing to a revival in residential investment. Nonetheless, while rebounding a little, housing starts have remained below the downwardly-revised estimates of demographic requirements, suggesting some pent-up demand. One reason why residential investment has still not recovered its level of the late 1980s may be the decline in real disposable income *per capita* over the 1990s. The recent pick-up in aggregate income implies only a modest rise per head. Weak income developments appear to have played a particularly important role for individuals under the age of 34, who account for a large portion of potential first-time homebuyers.

*Business investment* has also moderated though remaining relatively robust in the face of weaker profits and business confidence. This reflects continued strong spending on machinery and equipment, which largely accounts for the increase in corporate investment in 1998 (Figure 4, Panel A). By contrast, non-residential construction has shown the effects of the crisis in Asia and declining commodity prices. The oil and gas industry, in particular, which was one of the engines of investment growth in previous years, has sharply reduced capital spending as its use of capacity fell to its lowest level in 20 years. Although in the 1990s business investment expanded only at about half the rate recorded in the 1980s (Table 1), it has recovered previous cyclical peak levels relative to GDP. Its composition has changed radically, though (Figure 4, Panel B). Since the early 1980s the share of spending on machinery and equipment in total business investment has risen from about one-third to two-thirds, with the proportion of construction declining accordingly. Continued strong expenditure on computers and office equipment, partly reflecting sharp price declines, has been the driving force behind this shift. Investment in this component increased by 28 per cent in 1998 and now accounts for 28 per cent of total machinery and equipment investment (up from 1½ per cent in the early 1980s).

*Inventory investment*, which had reinforced growth in 1997, has added to the subsequent slowdown (Table 1). The unexpected weakening in domestic demand caused a rise in the inventory-to-sales ratio, triggering a stock correction early in 1998. Inventory investment eased noticeably in the wholesale and retail trade

Figure 4. **Business fixed investment**




*Source:* CANSIM – Statistics Canada.

sectors, partly reflecting store closures. In the third quarter, stock levels actually fell as a result of the labour conflict in the automobile sector. A large positive swing in business inventory investment later in 1998 – essentially in motor vehicles, but also in the retail and wholesale trade sectors – contributed to the increase in growth in that period. Indeed, even with the relatively high import content of inventory investment, stock accumulation had a significant positive impact on production. At the same time, with strong exports boosting sales, the inventory-to-sales ratio continued to decline in spite of the substantial restocking. Its recent modest level, reached following a renewed weakening in inventory investment in early 1999, bodes well for production growth in the near term.

## Improving labour market conditions

The slowdown in economic growth has not led to a worsening in labour market conditions. On the contrary, net job creation over the past year has been the best for a decade, with twelve-month employment growth approaching 3½ per cent in the first quarter of 1999 before easing most recently (Table 2). The effect of the crisis in Asia has been in evidence in the primary sector, where employment has declined by around 10 per cent. This has been offset, however, by strong job creation elsewhere. Business services have continued to show the fastest employment expansion, reflecting strong demand for computer, engineering and related activities. Much of the ongoing healthy increase in self-employment can be attributed to such services, where about one-third of the workforce own their business. Even though self-employment has remained a major source of job creation, the hiring of paid employees in the private sector has increased markedly. At the same time, there has been renewed job creation in the public sector, following significant labour shedding in the previous five years. The achievement of budget surpluses at the federal level and in many provinces has provided some room for manoeuvre to increase spending, which has translated into employment growth, principally in the education, health care and social services. Most of the additional jobs created over the past year have been full-time positions, as was the case already in 1997. A new trend that emerged in 1998, however, was the resurgence of youth employment, following almost a decade of general decline. Indeed, over the past year, jobs for people aged 15-24 have grown at nearly double the average rate, posting the highest annual increase in over 25 years.

Faster employment growth combined with slower economic expansion has meant that labour productivity gains have diminished sharply (Table 2). Using hours, instead of numbers employed, improves this picture somewhat but still shows a marked deceleration in productivity growth following the rise in 1997. In part this reflects the fact that businesses, surprised by changes in economic conditions, adjust employment only with a lag to changes in output. However,

Table 2. **Labour supply and demand**

Per cent change over corresponding period

| | 1979/ 1973[5] | 1989/ 1979 | 1998/ 1989 | 1996 | 1997 | 1998 | May 1999/ May 1998 |
|---|---|---|---|---|---|---|---|
| Working age population | 2.2 | 1.4 | 1.5 | 1.4 | 1.4 | 1.3 | 1.2 |
| Labour force | 3.2 | 2.0 | 1.1 | 1.5 | 1.3 | 1.8 | 2.2 |
| Employment | 2.9 | 2.0 | 1.0 | 1.2 | 1.9 | 2.8 | 2.5 |
| Goods producing sector | 1.6 | 0.6[5] | –0.2 | 0.9 | 2.2 | 3.1 | 1.7 |
| Service sector | 3.6 | 2.6[5] | 1.5 | 1.4 | 1.8 | 2.7 | 2.8 |
| Unemployment rate[1] | 7.2 | 9.4 | 9.8 | 9.7 | 9.2 | 8.3 | 8.1 |
| Participation rate[2] | 61.7 | 65.8 | 65.6 | 64.9 | 64.8 | 65.1 | 65.7 |
| Employment ratio[2] | 57.3 | 59.7 | 59.2 | 58.6 | 58.8 | 59.7 | 60.4 |
| *Memorandum items:* | | | | | | | |
| Labour productivity | 1.3 | 0.9 | 0.9 | 0.4 | 2.0 | 0.3 | .. |
| Total factor productivity[3] | 0.6 | 0.4 | 0.7[4] | 0.1 | 3.0 | .. | .. |

1. Per cent of labour force.
2. Per cent of population 15 years and over.
3. Business sector.
4. 1997/1989.
5. Not strictly comparable.

*Source:* CANSIM-Statistics Canada.

labour productivity continued to stagnate in late 1998, when real GDP growth strengthened considerably. One factor that may help explain the slowdown in productivity growth is the composition of recent job creation. The pick-up in employment growth has been more pronounced in the service sector (including government), where both the level of, and increase in, productivity tends to be lower than in the goods producing sector. Moreover, employment gains have been concentrated in the 15-24 age group. With the average years of experience lower for young workers, growth in youth employment generally creates less productivity gains than that in adult employment.

Improved job opportunities have led to a marked rise in labour force participation (Table 2), which had broadly stagnated following a significant decline during the first half of the 1990s. This rebound has been driven by the youth participation rate, which has increased by more than 2 percentage points over the past year. However, this has followed upon a decrease by almost 10 percentage points since the late 1980s (as compared with some 2 points for the workforce on average). Labour force participation of older people (aged 55 and over), which had shown a downward trend over the past two decades has also picked up somewhat. Although it remains to be seen whether these developments will persist, they might suggest that cyclical – as opposed to structural –

factors had played a more important role in damping the growth of labour supply than previously thought.

Despite the strong expansion in the labour force of late, the even stronger pick-up in job creation has sufficed to keep the unemployment rate on a downward trend (Table 2), with a recent uptick likely to be temporary. While the aggregate rate has fallen back toward its level recorded at the beginning of the decade, youth unemployment is still significantly higher than at that time, however. Overall unemployment is now closer to its structural rate, as estimated by the OECD Secretariat. However, such estimates are subject to a great deal of uncertainty, partly reflecting the difficulties in gauging the effects of the 1996 unemployment insurance reforms. The return to the workforce of young and older people could indicate some tightening in labour market conditions, as this may reflect a shrinking pool of core-age workers that could be hired. Indeed, the core-age unemployment rate has approached previous lows recorded in the late 1980s. Since there are no signs of significant wage pressures, it cannot be excluded that structural unemployment is already lower than suggested by OECD Secretariat estimates.

## Subdued inflation

Compensation per employee (which takes account of non-wage labour costs) increased by less than 1 per cent in 1998 (Table 3), its weakest gain since 1994. Taking account of price developments, real consumer wages actually declined while real producer wages expanded broadly in line with trend productivity. The growth in effective earnings has displayed considerable fluctuations (Figure 5). Underlying wage inflation appears to be best captured by collective settlements, which show an annualised increase in base rates somewhat below 2 per cent over the past two years or so. This reflects a catch-up in public sector settlements, offsetting a slight easing of those in the private sector. There are some exceptions to this general wage moderation at the local and sector levels. Settlements have risen in Alberta and Manitoba, where unemployment is relatively low by both national and historical standards. Given strong demand for information technology staff and engineers, employees with such specialised skills have received large pay rises and bonuses. Furthermore, labour costs have increased noticeably in the construction sector. However, the workers concerned represent a relatively small portion of the total labour force and there is no indication of wage spillovers to other groups.

While the growth in unit labour costs has remained modest, another major cost component – import prices – has increased markedly overall in spite of sharply declining world commodity prices (Table 3). This reflects the depreciation of the Canadian dollar through 1998. Nonetheless, consumer price inflation has

Table 3. **Wages, prices and profits**

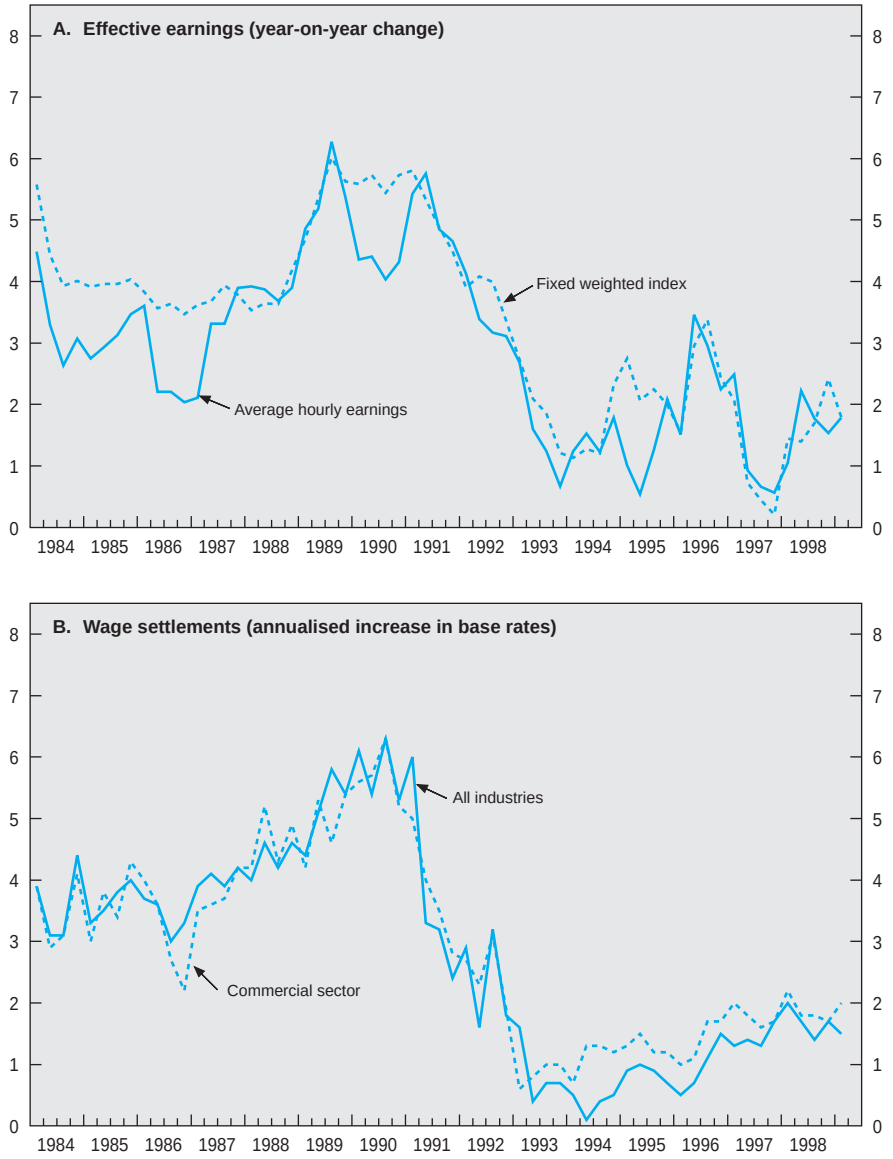
Per cent change, annual rates

| | 1979/ 1973 | 1989/ 1979 | 1998/ 1989 | 1996 | 1997 | 1998 | Q4 1998/ Q4 1997 | Q1 1999/ Q1 1998 |
|---|---|---|---|---|---|---|---|---|
| **Wages** | | | | | | | | |
| Compensation per employee | 10.2 | 6.8 | 2.8 | 2.0 | 5.5 | 0.9 | 0.7 | –0.1 |
| Hourly earnings (manufacturing) | 11.6 | 6.2 | 2.7 | 3.2 | 0.9 | 2.1 | 1.1 | 0.4 |
| Major collective settlements | .. | 6.4 | 2.0 | 1.0 | 1.4 | 1.7 | 1.7 | 1.5 |
| **Unit labour costs** | | | | | | | | |
| Total economy | 9.6 | 5.7 | 1.4 | 0.7 | 1.8 | 0.9 | 0.7 | –0.5 |
| Manufacturing | 9.3 | 4.8 | 0.6 | 2.0 | –0.3 | 2.8 | 1.4 | .. |
| **Profits** | | | | | | | | |
| Pre-tax | 14.0 | 5.3 | 3.6 | 5.3 | 8.5 | –6.0 | –6.0 | 8.3 |
| After-tax | 14.2 | 4.1 | 2.4 | –0.1 | 4.7 | –13.4 | –11.8 | 2.9 |
| Per unit of output | 9.7 | 2.4 | 1.6 | 3.5 | 4.4 | –8.8 | –8.6 | 5.0 |
| **Prices** | | | | | | | | |
| GDP deflator (current weights) | 9.5 | 5.8 | 1.5 | 1.6 | 0.8 | –0.6 | –0.7 | 0.0 |
| GDP deflator (fixed weights) | 10.3 | 6.0 | 1.8 | 1.5 | 1.8 | –0.0 | –0.1 | 0.6 |
| Consumer price index | 9.2 | 6.5 | 2.2 | 1.6 | 1.6 | 1.0 | 1.1 | 0.8 |
| Private consumption deflator | 9.1 | 6.2 | 2.1 | 1.6 | 1.8 | 1.0 | 1.0 | 1.3 |
| Import price deflator | 11.6 | 1.7 | 2.0 | –1.8 | 0.1 | 2.4 | 4.1 | 1.6 |
| New housing price index | .. | .. | –0.6 | –1.9 | 0.8 | 0.9 | 0.8 | 0.5 |

*Source:* CANSIM-Statistics Canada.

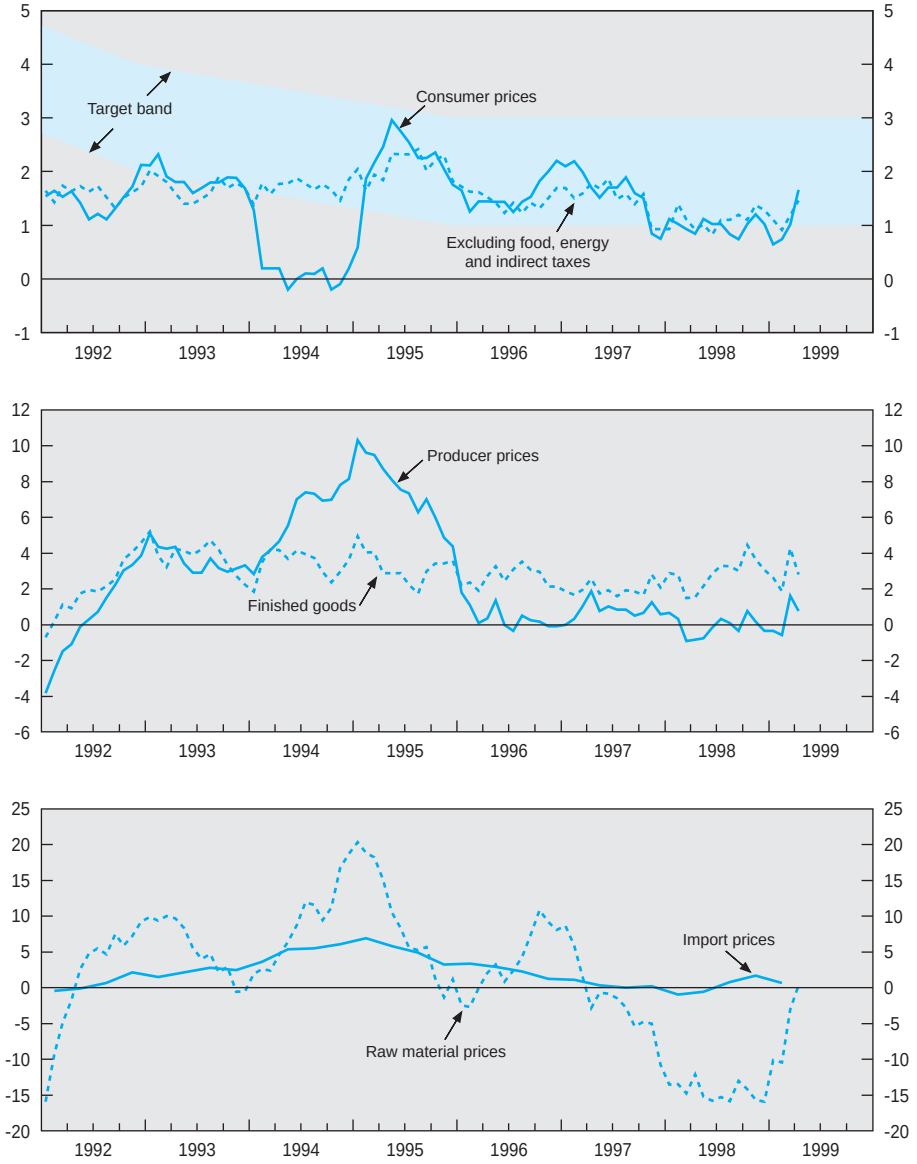
remained broadly stable, running near the lower end of the official 1 to 3 per cent target range over the past year (Figure 6). Standard exchange rate pass-through estimates suggest that last year's depreciation should contribute to raise the consumer price level by 1½ percentage points. However, the coincidence of relatively stable inflation and large exchange rate movements over much of the 1990s has demonstrated that the relationship between these two variables importantly depends on other factors, notably economic conditions and competitive pressures. Last year's currency depreciation seems to have had some effect on both clothing and automobile prices as well as fruit and vegetable prices. By increasing demand it also appears to have contributed to price increases for such items as hotel accommodation. On the other hand, downward pressure has continued on other prices as a result of intensified competition. For instance, deregulation has led to significant price declines for long-distance telephone calls. Substantial excess capacity in the semiconductor industry, along with competitive pressure from Asian countries, has made for an accelerating decline in computer prices. More pervasively, continued excess supply in the economy (Figure 1) has been putting downward pressure on inflation, inducing firms to absorb part of the effect of the exchange rate depreciation by lower profit margins.

Figure 5. **Wage indicators**
Per cent




*Source:* CANSIM – Statistics Canada.

Figure 6. **Inflation indicators**
Percentage change over 12 months




*Source:* CANSIM – Statistics Canada; OECD.

## Broadly stable external deficit

After the onset of the crisis in Asia in mid-1997, the current account deficit was fairly stable at around 2 per cent of GDP before narrowing significantly in early 1999 (Table 4). This favourable performance reflects several offsetting influences. On the one hand, the deterioration in Canada's terms of trade – due both to the fall in commodity export prices and higher import prices associated with currency depreciation – would, *ceteris paribus*, have increased the deficit by some 1½ percentage points of GDP. In this regard, it is worth noting that the recent terms-of-trade shock only reversed developments in 1994-96, which contributed to a temporary current account surplus (Figure 7). On the other hand, Canada's relative cyclical position has again exerted a dampening influence on the external

Table 4. **Balance of payments**

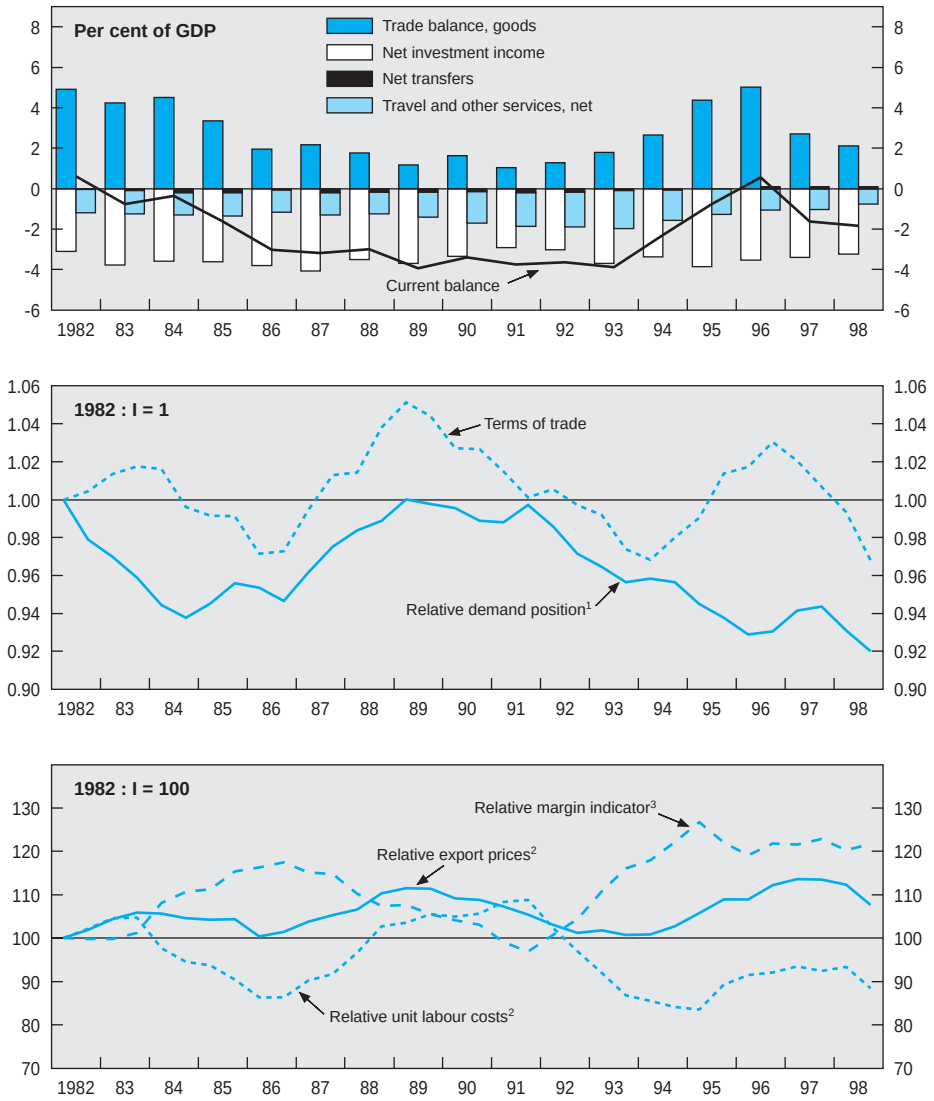
C$ billion, annualised

| | 1995 | 1996 | 1997 | 1998 | 1998 Q4 | 1999 Q1 |
|---|---|---|---|---|---|---|
| | Seasonally adjusted | | | | | |
| Goods exports | 265.3 | 279.9 | 301.4 | 322.3 | 340.3 | 346.1 |
| Goods imports | 229.9 | 237.9 | 277.7 | 303.4 | 320.4 | 315.3 |
| Trade balance | 35.4 | 42.0 | 23.7 | 18.9 | 19.9 | 30.8 |
| Travel and other services, net | –10.1 | –8.8 | –9.1 | –7.0 | –7.0 | –5.8 |
| Investment income, net | –31.2 | –29.4 | –29.7 | –29.1 | –30.6 | –31.8 |
| Transfers, net | –0.2 | 0.7 | 0.8 | 0.8 | 1.2 | 1.4 |
| Current balance | –6.1 | 4.5 | –14.3 | –16.4 | –16.5 | –5.4 |
| | Not seasonally adjusted | | | | | |
| Current balance | –6.1 | 4.5 | –14.3 | –16.4 | –13.5 | –19.2 |
| Capital account | 6.8 | 8.0 | 7.5 | 5.0 | 3.9 | 4.3 |
| Canadian assets (net flows) | –38.4 | –73.0 | –60.3 | –51.1 | –94.8 | 43.1 |
| Canadian liabilities (net flows) | 32.9 | 53.2 | 70.9 | 60.5 | 94.4 | –44.9 |
| Financial account [1] | –5.5 | –19.8 | 10.6 | 9.5 | –0.4 | –1.7 |
| Statistical discrepancy | 4.8 | 7.3 | –3.8 | 1.9 | 10.1 | 16.6 |
| | Seasonally adjusted | | | | | |
| *Memorandum items:* | | | | | | |
| Current balance | | | | | | |
| US dollars | –4.4 | 3.3 | –10.2 | –11.0 | –10.8 | –3.6 |
| Per cent of GDP | –0.8 | 0.5 | –1.6 | –1.8 | –1.8 | –0.6 |

1. A minus sign denotes an outflow of capital resulting from an increase in claims on non-residents or a decrease in liabilities to non-residents.

*Source:* CANSIM-Statistics Canada.

Figure 7. **The current balance and its major components**




1. Index of Canadian final domestic demand divided by an export share weighted index of final domestic demand of major trading partners.
2. In manufacturing. Common currency.
3. Ratio of relative export prices to relative unit labour costs.

*Source:* Statistics Canada, OECD Secretariat.

deficit, as the growth in domestic demand has fallen below that of its major trading partners, largely due to the strong growth in its predominant partner, the United States. Associated downward pressure on import volume growth has been reinforced by a shift in the composition of aggregate demand away from import-intensive components. Along with an improving competitive position owing to exchange rate depreciation during 1998 and subdued inflation in Canada, this has led to a large positive swing in the *real* foreign balance (Figure 3).

While merchandise trade has remained in comfortable surplus overall (Table 4), the Asia crisis and the decline in commodity prices have entailed important changes in its composition. Since the onset of the crisis, nominal exports to East Asia have shrunk by one-third while nominal imports from this region have expanded by one-quarter. As a result, the trade deficit with East Asia more than doubled, reaching around 2½ per cent of GDP. This has been largely offset by a sharply rising trade surplus with the United States, where strong demand has persisted, and narrowing deficits with some other countries. The share of Canadian exports going to the United States is now approaching 85 per cent. At the same time, 1998 saw the first Canadian trade deficit in basic industrial commodities (excluding energy and forest products), while the ten-year surplus in auto products trade grew substantially in spite of strike-related output disruptions.

With the Canadian dollar reaching record lows against the US currency, spending by US travellers in Canada rose by 25 per cent in 1998, while Canadian travel expenditure in the United States declined somewhat. The marked improvement in the travel balance was, however, largely offset by rising deficits on transportation and commercial services (Table 4). The large deficit on investment income, which had been broadly stable since the mid-1990s, has edged up more recently. This reflects record interest payments on non-resident holdings of corporate debt, which is largely denominated in foreign currencies and was thus affected by the decline in the value of the Canadian dollar in 1998. Moreover, strong performance in the auto sector has increased profits earned by foreign investors in Canada, while profits accruing to Canadian firms from abroad have tended to weaken. Both direct investment by foreigners in Canada and by Canadians abroad reached record levels in 1998, with acquisitions in the neighbour country dominating in each case.

## Favourable short-term prospects

Recent indicators suggest that economic growth – albeit slowing somewhat – has remained robust in the early part of 1999. Thereafter, the pace of activity is projected to fall back towards its potential rate, estimated by the OECD Secretariat to have edged up to over 2½ per cent per annum. Underlying this

Table 5. **Short-term projections**

Percentage changes, seasonally-adjusted annual rates, volume (1992 prices)

| | 1995 C$ billion[1] | 1999 | 2000 | 1999 | | 2000 | |
|---|---|---|---|---|---|---|---|
| | | | | I | II | I | II |
| Private consumption | 463.0 | 2.2 | 2.3 | 2.0 | 2.2 | 2.3 | 2.4 |
| Government consumption | 173.3 | 1.2 | 1.5 | 1.2 | 1.3 | 1.5 | 1.5 |
| Gross fixed investment | 136.6 | 4.5 | 5.8 | 5.0 | 5.4 | 5.9 | 6.0 |
| Public[2] | 20.5 | 4.5 | 3.5 | 3.9 | 3.6 | 3.5 | 3.5 |
| Private residential | 36.2 | 1.2 | 4.4 | 3.4 | 3.6 | 4.6 | 4.8 |
| Private non-residential | 79.9 | 5.9 | 6.7 | 5.8 | 6.4 | 6.8 | 6.9 |
| **Final domestic demand** | **772.8** | **2.4** | **2.8** | **2.4** | **2.7** | **2.9** | **3.0** |
| Change in stockbuilding[3] | 8.8 | –0.3 | 0.0 | 0.4 | 0.0 | 0.0 | 0.0 |
| **Total domestic demand** | **781.7** | **2.1** | **2.8** | **2.8** | **2.6** | **2.9** | **2.9** |
| Exports of goods and services | 302.3 | 6.8 | 6.1 | 6.2 | 6.3 | 6.0 | 6.0 |
| Imports of goods and services | 277.1 | 4.9 | 6.5 | 5.3 | 6.5 | 6.5 | 6.5 |
| **Change in foreign balance**[3] | **25.1** | **0.8** | **0.0** | **0.5** | **0.1** | **0.0** | **0.0** |
| Statistical discrepancy[3] | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **GDP at market prices** | **806.8** | **2.9** | **2.8** | **3.2** | **2.7** | **2.8** | **2.8** |
| **Inflation** | | | | | | | |
| GDP implicit price deflator | | 1.0 | 1.9 | 1.5 | 1.8 | 2.0 | 1.9 |
| Private consumption deflator | | 1.7 | 2.0 | 1.6 | 1.9 | 2.1 | 2.0 |
| **Industrial production** | | **3.0** | **3.5** | **3.8** | **3.3** | **3.5** | **3.6** |
| **Unemployment rate**[4] | | **7.8** | **7.7** | **7.9** | **7.7** | **7.7** | **7.6** |
| **Current balance (US$ billion)** | | **–11.5** | **–12.6** | **–11.7** | **–11.3** | **–12.4** | **–12.8** |

1. Current prices.
2. Excluding nationalised industries and public corporations.
3. Contribution to GDP volume growth.
4. As a percentage of the labour force.

*Source:* OECD Secretariat.

outlook (Table 5) are several, partly offsetting, influences. The projected slowdown in the US economy would entail a significant decline in Canada's export market growth. At the same time, however, Canadian exporters should be able to gain market share, given the considerable improvement in the country's competitive position due to past exchange rate depreciation and subdued inflation. Under the technical assumption of constant exchange rates in the projection period, this would moderate the deceleration in actual export growth. Moreover, some strengthening in domestic demand in response to the more neutral fiscal

stance, lower interest rates and rising consumer and business confidence should partly compensate for the reduced stimulus from abroad. Budget plans imply a pick-up in real government expenditure on goods and services. Personal income tax cuts will outweigh the impact of effective non-indexation that has dampened disposable income growth in recent years. Together with the decline in short-term interest rates – which are assumed to remain unchanged over the projection period – this should benefit consumer demand. The expansion of private consumption is, however, expected to stay below that of disposable income as households gradually raise their historically low saving ratio to a more normal level. Residential investment is projected to revive, given solid growth in personal incomes, low mortgage rates and pent-up demand for housing. Continued low long-term interest rates should also help sustain business capital spending. Intention surveys would point to a marked slowdown in investment, but improving business confidence is expected to lead to upward revisions to previous plans.

There are few, if any, signs of domestic imbalance that might jeopardise economic expansion over the projection period. Wage growth is expected to edge up somewhat but to stay moderate. Although exchange rate pass-through and the recent turnaround in the oil market are likely to lead to consumer price increases, the annual inflation rate is not expected to exceed significantly the mid-point of the official target band, given its current low level and continued excess supply in the economy. At the same time, the external balance is projected to remain broadly stable, despite little further increase in real net exports, as terms-of-trade losses come to a halt. A faster-than-expected recovery in world commodity prices would, however, make for a narrowing in the current account deficit.

In the absence of significant inflation or balance of payments pressures, the risks surrounding the short-term economic outlook would seem to concern mainly developments beyond Canada's borders. In this respect, with the situation in Asia and Latin America apparently stabilising, the future course of the US economy has moved to the foreground. As noted, recent developments in the world economy have further reinforced trade linkages with the United States, adding to the effects of trade liberalisation in North America. Thus, a marked deterioration in the US outlook – whether resulting from external factors or imbalances in the economy – would inevitably have serious consequences for Canada's growth prospects. Apart from the substantial direct trade effects, it would adversely affect domestic confidence and demand. Developments in Canada's neighbour country could also complicate the conduct of monetary policy. Even if not warranted by domestic economic conditions, it might indeed be difficult for the monetary authorities not to follow an eventual rise in US interest rates if the latter were linked with renewed financial market turmoil.

## The medium-term outlook

Canada's medium-term prospects remain favourable. An OECD Secretariat central scenario (Table 6) is that, over the 1998-2004 period, real GDP growth could average 2¾ per cent. This compares with 2½ per cent for the OECD area as a whole and would be a considerably better performance than achieved so far, on average, over the 1990s. Underlying this improvement is a stronger expansion in domestic demand, which has been affected by consolidation policies during much of the decade. Despite gains in market share owing to a strong competitive position that is assumed to be sustained, export growth is projected to slow somewhat, given less favourable developments in world trade. This implies little

Table 6. **A medium-term scenario**

Average annual percentage change, volumes

| | 1990-1998 | 1998-2004 |
|---|---|---|
| Private consumption | 2.1 | 2.3 |
| Government consumption | –0.1 | 1.5 |
| Fixed capital formation | 2.3 | 4.5 |
| Stockbuilding[1] | 0.1 | –0.1 |
| Total domestic demand | 1.8 | 2.6 |
| Exports | 8.1 | 6.8 |
| Imports | 7.0 | 6.6 |
| Real foreign balance[1] | 0.4 | 0.2 |
| Real GDP | 2.1 | 2.7 |
| Output gap[2] | –1.7 | –0.2 |
| Potential output | 2.3 | 2.7 |
| Labour productivity | 1.0 | 1.1 |
| Employment | 1.1 | 1.6 |
| Participation rate (per cent) | 65.6 | 66.1 |
| Unemployment rate (per cent) | 9.8 | 7.7 |
| Private consumption deflator | 1.9 | 2.0 |
| GDP deflator | 1.3 | 2.0 |
| Private compensation per employee | 2.9 | 3.2 |
| Current balance[1] | –2.3 | –1.9 |
| Real exchange rate | –3.6 | 0.0 |
| Short-term interest rate (per cent) | 6.5 | 5.2 |
| Long-term interest rate (per cent) | 8.2 | 5.5 |

1. Per cent of GDP.
2. Per cent of potential output.

*Source:* OECD Secretariat.

change in the external balance in the absence of significant terms-of-trade gains (commodity prices being assumed to be unchanged in real terms). At the same time, inflation is projected to remain well within the (current) official target range, while healthy employment gains should allow some further gradual decline in unemployment. Although economic expansion over the medium term might still fall short of that achieved in the 1980s, imbalances in the economy have diminished substantially, improving conditions for sustained growth. Compared with the 1980s, inflation is projected to be much lower and the external deficit much smaller. Moreover, public debt ratios, although still exceeding levels recorded at that time, are expected to decline swiftly, given the projection of continued budget surpluses.

The above scenario is based on the technical assumption of gradually closing output gaps. Thus, with economic slack in Canada now much smaller than earlier in the decade, future economic growth is largely conditioned by the rate of expansion of potential output. The latter, in turn, depends on the growth in labour and capital inputs and in total factor productivity. All three components are assumed to make increased contributions to potential output growth, with recent improvements in each area being sustained. Regarding labour inputs, the crucial question concerns the underlying trend of the participation rate. While analysts have tended to become more optimistic in this respect, it is far from clear to what extent structural and demographic factors explain the fall in labour-force participation since the late 1980s and what they imply for developments over the medium term. As to capital inputs, it remains to be seen whether the recent strength of investment can be maintained, since it has relied heavily on buoyant spending on computers. Considerable uncertainty also surrounds trend total factor productivity growth (available evidence is summarised in Box 2 in Chapter III). Apart from measurement problems (see Annex I), it is difficult to disentangle cyclical and structural influences. Total factor productivity growth picked up markedly in 1997 (Table 2), but this followed upon broad stagnation in 1996, and labour productivity developments suggest that the 1997 performance has not been maintained. Thus, the jury is still out as to what extent there has been an improvement in economic efficiency in response to past structural reform, as assumed in the above scenario. Finally, it must be highlighted that the projections are based on the assumption that actual output smoothly converges toward potential, without exceeding it. In practice, an overshoot is likely to occur at some stage and, if not limited in due time, could lead to emergence of inflationary pressures. The macroeconomic policy settings required to minimise such risks are reviewed in the following Chapter.

# II. Macroeconomic policies

Recent economic performance has benefited from the sound macroeconomic policies in place, in particular the commitment to announced inflation-control targets and a steady reduction in the public debt-to-GDP ratio. Following the rise in officially-controlled interest rates to head off a potential loss of confidence in Canadian dollar assets in the context of the Russian crisis last year, calmer financial markets have allowed a reversal of this move and interest spreads against the United States have turned negative again. This reflects enhanced financial credibility, as the budget position at all levels of government has substantially improved, with good prospects that the public debt ratio will remain on a pronounced downward track in the coming years. The following paragraphs review monetary and fiscal policy developments since 1998 in more detail. The Chapter concludes with a discussion of issues facing policymakers in the period ahead, including the conduct of monetary policy in "probing" for the potential level of output and the appropriate fiscal policy framework over the medium term.

## Monetary management

### *The operational framework*

In conducting monetary policy, the Bank of Canada is guided by explicit inflation-control targets established jointly with the government. Since 1995, the Bank has aimed to keep the annual increase in the consumer price index inside a range of 1 to 3 per cent. Last year, this target was extended until 2001, as the authorities judged that it would be useful to have a longer period in which the economy could demonstrate its ability to perform well under conditions of low inflation, before determining a long-run objective consistent with price stability. At the same time, the Bank reiterated that, because of lags in the impact of monetary policy, it would continue to focus on bringing the *trend* rate of inflation – gauged by a measure of core consumer prices, which excludes the volatile food and energy components as well as the effect of indirect tax changes – towards the

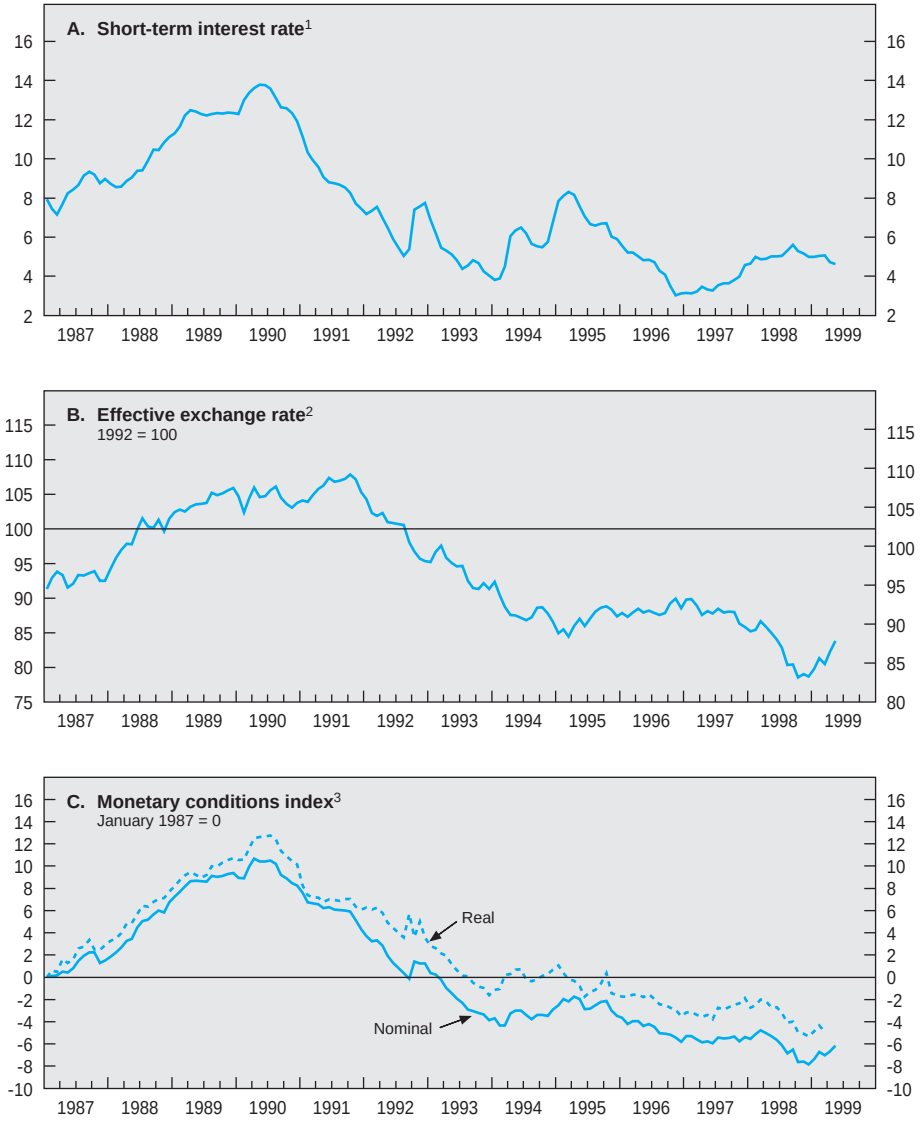
centre of the target range over a period of about two years. The Bank's assessment of future price trends relies on an evaluation of current and prospective output gaps, exchange rate developments, inflation expectations and a broad range of other indicators, including monetary and credit aggregates. As an operational guide, the authorities use a monetary conditions index (MCI) which combines movements in short-term interest rates and the effective exchange rate – the most important channels through which monetary policy can affect the economy.

The Bank implements policy through its influence on short-term interest rates and thereby on monetary conditions. To this end, it establishes an operating band for the overnight money market financing rate. In this respect, the recent introduction of a new electronic system for the transfer of payments (the *Large Value Transfer System* or LVTS) has led to some changes in policy implementation. There is still a 50-basis-point operating band for the overnight rate, but the top of the band – the Bank Rate – now is the rate charged for overdraft loans to LVTS participants, while the bottom of the band is the rate the Bank pays on any overnight deposits. Moreover, there is now a point target for the overnight rate – set at the centre of the band – which is reinforced by open market operations. The authorities have also changed their approach to foreign exchange intervention. Previously, they sold or bought foreign currency when the Canadian dollar declined or increased in value by a given amount during the day, at a pace that was fixed in advance. In September 1998, it was decided to suspend such "symmetric" intervention because the foreign exchange market was seen as having matured sufficiently to preclude the need for continued management of liquidity by the Bank. Also, regular intervention had tended to impair the signalling effect that intervention could have. However, the authorities will continue to intervene in a discretionary ("asymmetric") manner when they perceive that the exchange market is overshooting significantly.

### *The conduct of policy*

With the economy growing strongly through 1997, the authorities concluded that a gradual monetary tightening was needed to continue to achieve the inflation target as slack in product markets was being taken up rapidly. From mid-1997 to early 1998, there were five increases in the operating band for the overnight rate totalling 1¾ percentage points. Nonetheless, the change in overall monetary conditions over that period – as measured by the Bank's MCI – was relatively limited because of a weakening of the Canadian dollar (Figure 8). This reflected the fallout from the financial crisis in Asia and associated commodity price declines. As the size of the terms-of-trade shock facing the economy became more apparent, the Bank abandoned its near-term tightening perspective. During the first half of 1998, it refrained from further interest rate increases,

Figure 8. **Monetary conditions**




1. 90-day commercial paper rate.
2. Canadian dollar against 6 major foreign currencies (weighted average index).
3. Weighted average of changes in the interest rate and in the effective exchange rate.

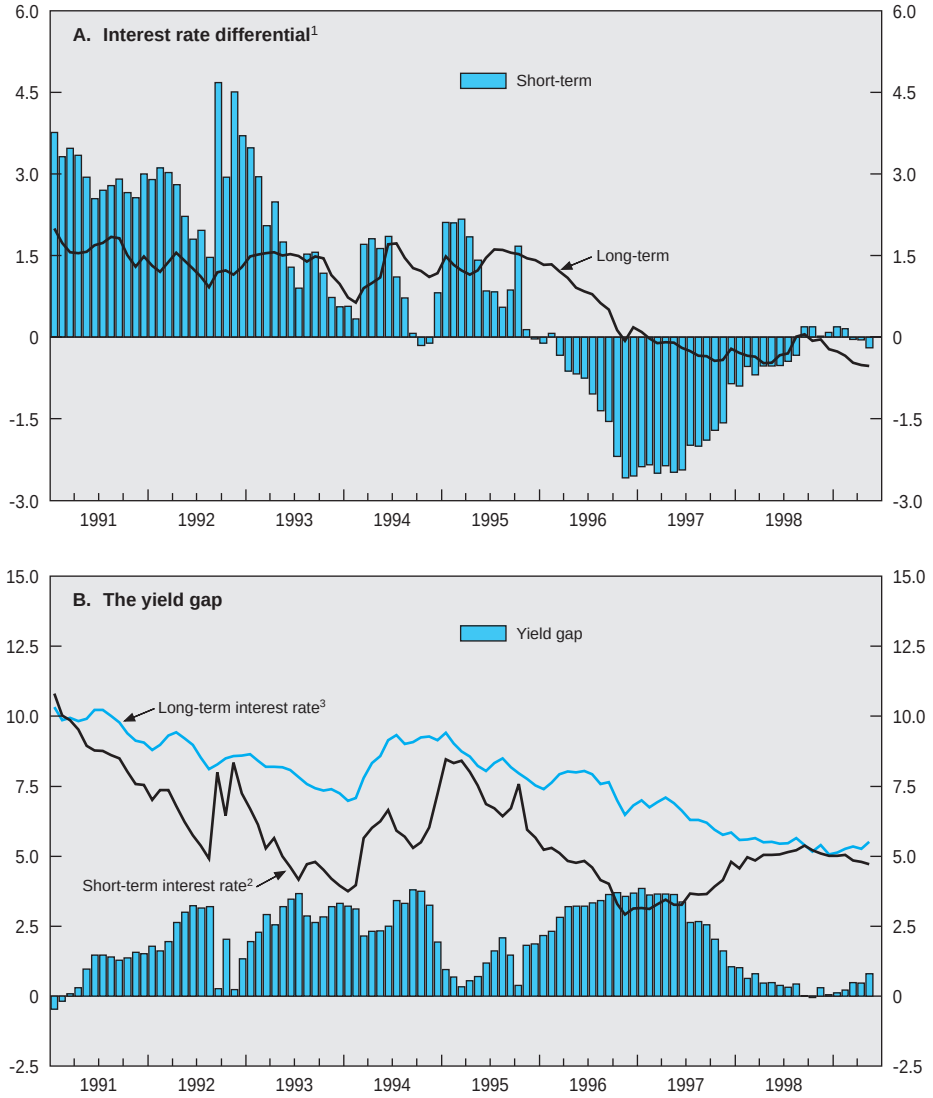
*Source:* Bank of Canada.

although downward pressure on the exchange rate mounted. As a result, monetary conditions eased significantly. However, by July, with increasing concerns about the world economy and with the Russian situation deteriorating, the pace of decline in the Canadian dollar's value developed considerable momentum and Canadian bond prices came under pressure. The authorities eventually intervened heavily in the foreign exchange market with a view to arresting extrapolative expectations and re-instituting some two-way risk. As this failed to re-establish confidence in Canadian dollar instruments because of the subsequent shock to financial markets from the Russian moratorium, the Bank raised its official interest rate by 1 percentage point in August. This ended up steadying the markets.

The resulting monetary tightening proved to be short-lived, however. As US interest rates were reduced in three steps by altogether 75 basis points through the autumn of 1998 in response to financial market volatility and liquidity problems, Canada was able to follow suit, dropping rates by the same amount, without rekindling renewed downward pressure on the currency. In fact, since the beginning of 1999, the Canadian dollar has tended to appreciate, both against the US dollar and in effective terms, reflecting the general firmness of recent domestic indicators and some improvement in the outlook for world commodity prices. This allowed further cuts in the Bank Rate (by 25 basis points both in late March and early May) to 4¾ per cent, the cumulative cuts more than unwinding the 1 percentage point increase of August 1998. The Bank explained the motivation for these moves by the improvement in investor confidence and the fact that trend inflation has remained close to the lower end of the official target range, with no evidence of pressures on domestic capacity. The firming in overall monetary conditions in recent months, in terms of the MCI, has reversed more than one-third of the easing that occurred through 1998 (Figure 8). While short-term interest rates are now back to around their levels prevailing in early 1998, the effective exchange rate, in spite of its recent strengthening, is lower than at that time.

As noted, the key event that induced the authorities to raise the Bank Rate in August 1998 was the emergence of risk premiums in Canadian interest rates, as evidenced by rising medium- and long-term rates at a time when comparable US rates were falling. The traditional long-term yield differential against the United States had turned negative in 1997 (Figure 9, Panel A), probably reflecting the rapid improvement in the fiscal situation and better inflation performance in Canada. The return of positive spreads in the second half of 1998 in the context of global financial turmoil suggested that there was still some way to go before policy credibility was fully restored. Subsequent developments are encouraging, however. After narrowing gradually, Canada/US interest-rate differentials have become negative again. At the same time, the spread between the yield on conventional and indexed bonds has stayed low (at less than 1½ per cent).

Figure 9. **Interest rate differentials and the yield gap**
Per cent




1. *Vis-à-vis* the United States.
2. 3-month commercial paper rate.
3. Over-10-year Government bond yield.

*Source:* CANSIM – Statistics Canada; OECD Secretariat.

Although this indicator reflects market liquidity and portfolio preferences, its steady downward trend provides evidence that investors are increasingly confident that inflation will remain low. Abstracting from short-term fluctuations, long-term interest rates have changed relatively little over the past year, remaining only to a limited extent above short-term rates. This contrasts with the situation existing during most of the 1990s, when the yield curve used to be distinctly upward sloping (Figure 9, Panel B). In the past, a flat yield curve has often been followed by an economic downturn. However, to the extent that the recent flattening reflects a declining risk premium in long-term rates related to fiscal improvement, it would not seem to be a precursor of weakening growth.

Similarly, it would not seem that the slowdown in the expansion of monetary aggregates since 1997 (Table 7) can be interpreted as suggesting weakening activity. Indeed, movements in both narrow and broad money have been strongly affected by financial innovation and other institutional changes. In the past three years or so, M1 has been growing much faster than would be expected from the historical relationship between this aggregate and real and nominal GDP. Part of this strength arose from an increase in the demand for money resulting from lower interest rates up to 1997. However, a number of special factors also contributed to boost M1 growth. In particular: current accounts at the banks registered

Table 7. **Money and credit**

Per cent change over previous period, annual rates

| | 1995 | 1996 | 1997 | 1998 | Q4 1998 | Q1 1999 |
|---|---|---|---|---|---|---|
| **Monetary growth** | | | | | | |
| Gross M1 | 5.6 | 10.4 | 15.6 | 10.9 | 3.3 | 11.2 |
| M1 | 4.7 | 10.6 | 15.2 | 11.6 | 7.7 | –10.1 |
| M2 | 4.0 | 3.1 | –0.3 | 0.0 | 2.4 | 2.4 |
| M3 | 4.9 | 5.6 | 5.2 | 4.1 | 3.6 | –5.1 |
| M2+ | 4.0 | 4.3 | 0.9 | –0.4 | 3.4 | 4.7 |
| **Credit expansion** | | | | | | |
| To business sector | 5.0 | 5.0 | 8.9 | 9.8 | 3.7 | 5.9 |
| *of which:* | | | | | | |
| Short term | 5.6 | 2.3 | 8.3 | 11.8 | 0.9 | 5.3 |
| To household sector | 4.4 | 4.9 | 6.6 | 6.2 | 5.9 | 5.9 |
| Consumer credit | 6.3 | 7.3 | 9.8 | 9.6 | 4.6 | 7.0 |
| Residential mortgages | 3.7 | 4.1 | 5.4 | 4.9 | 6.5 | 5.5 |
| *Memorandum items:* | | | | | | |
| Nominal GDP growth | 5.2 | 3.3 | 4.8 | 2.5 | 5.0 | 6.4 |
| Income velocity (GDP/M1) | 0.5 | –6.6 | –9.1 | –8.2 | –2.5 | 18.4 |
| Income velocity (GDP/M2) | 1.2 | 0.2 | 5.2 | 2.4 | 2.6 | 3.9 |
| Income velocity (GDP/M3) | 0.3 | –2.2 | –0.4 | –1.6 | 1.4 | 12.2 |

*Source:* CANSIM-Statistics Canada.

extraordinary growth, as firms were provided with favourable conditions to accumulate liquid assets; banks started to compete more aggressively for business deposits, notably small business accounts; and the elimination of differential reserve requirements removed the incentive for banks to distinguish between demand and notice accounts. The recent moderation in M1 growth appears to reflect, to a large extent, the diminishing influence of these special factors. In addition, it is a lagged response to interest increases in the second half of 1997. Finally, a small contraction in M1 in the autumn of 1998 seems to be related to the backup in interest rates and financial uncertainty that led to tighter credit conditions. Narrow money growth has, however, picked up in early 1999 and, on the basis of historical relationships, its current rate seems to be high enough to sustain economic expansion at a rate near potential. At the same time, broad monetary aggregates have been depressed by an enormous shift from deposits to mutual funds. The Bank has started publishing a new measure M2++ that includes the latter. This indicator has been expanding fairly steadily. Its current twelve-month growth rate, at around 7 per cent, is consistent with inflation staying within the target range, according to the monetary authorities.

The expansion of business credit (Table 7), which had been rather robust until summer 1998, fell markedly in September before recovering towards the end of the year. This reflected a temporary tightening in credit conditions as banks and investors worldwide reassessed risk. Indeed, the interest-rate spread between corporate and government bonds doubled to about 120 basis points before narrowing again to around 80 basis points more recently. Another moderating factor was reduced financing requirements associated with lower inventory investment. By comparison, household credit slowed by only a little in September and then swiftly resumed its previous healthy rate of growth. While the pace of increase in consumer credit has moderated, that of residential mortgage credit has picked up recently, despite the modest level of activity in the housing market. Since mortgage interest rates are significantly below rates on consumer loans, there has been some substitution of mortgage for consumer credit. Altogether, developments in money and credit aggregates, together with financial market information, suggest that any slowdown in economic activity resulting from the credit-tightening episode in the second half of 1998 is likely to have been mild. Looking ahead, as noted in Chapter I and discussed below, the monetary stance now looks to be supportive of growth at or around potential rates.

## The fiscal stance

### *General government*

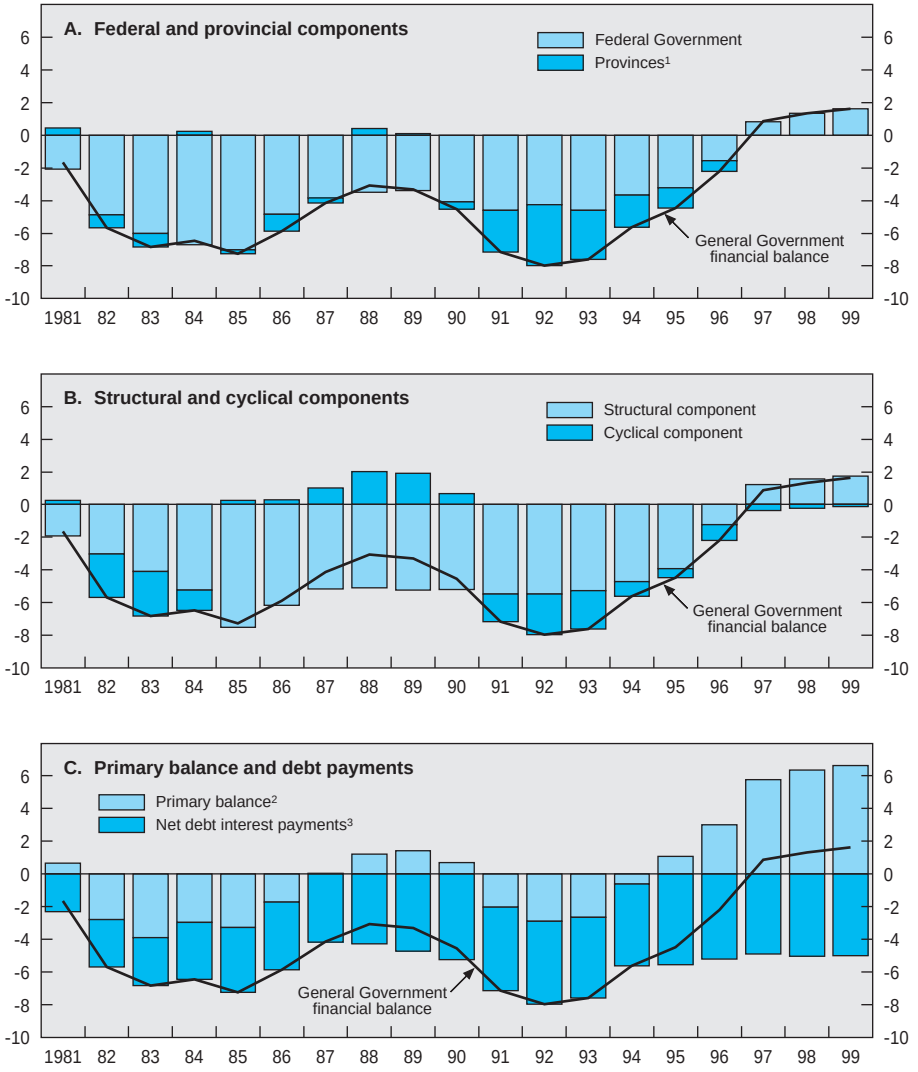
Fiscal policy has also now switched to a more neutral stance. Following a prolonged period of budget consolidation, fiscal retrenchment has diminished

markedly with the achievement of surpluses. During the four years to 1997, the improvement in the general government financial balance (national accounts definition) has been significant, averaging 2 per cent of GDP per annum and amounting to a total reduction in terms of GDP of 8½ per cent (Figure 10). This compares with ¾ per cent both in the euro area and the OECD as a whole over the same time span. In 1998, the positive swing in the financial balance slowed markedly, broadly in line with international developments, lifting the budget surplus that had emerged in the year before only slightly to around 1 per cent of GDP. According to OECD Secretariat estimates, the bulk of the improvement in Canada's public finances can be traced to discretionary measures, with cyclical influences (that is, decreasing economic slack) contributing only about one-quarter. Over the four years to 1997, the improvement in the structural budget balance amounted to about 6½ per cent of GDP (Figure 10, Panel B), more than double the corresponding estimate for the United States. The limited further rise in the actual general government budget surplus in Canada in 1998, in the context of some narrowing in the output gap, suggests that the fiscal stance has become broadly neutral.

The turnaround in Canada's public finances mainly reflects expenditure cuts. Nonetheless, although budget consolidation has depended less on revenue-enhancing measures than in many other countries, in the absence of effective indexation of tax brackets, the direct tax burden has edged up to historically high levels, despite some first steps to implement tax relief. The expenditure-to-GDP ratio has been brought down from a peak level in excess of 50 per cent in the early 1990s towards 43 per cent, with changes in economic activity accounting for about 2 percentage points of that decline. Easing debt servicing charges have also contributed somewhat, although net interest payments on Canada's large public debt (see below) have remained high, at about 5 per cent of GDP (Figure 10, Panel C). General government expenditure actually declined (in nominal terms) in both 1996 and 1997. Since then, it has picked up again, but its expansion has continued to fall short of that of GDP. The further small decrease in the expenditure ratio recorded in 1998 was attributable to moderate growth in government consumption, with other major spending components (transfers to persons and business, investment, interest payments) rising broadly in line with GDP (Statistical Annex Table F).

All levels of government have contributed to the amelioration in public finances. Budget consolidation in the provinces began earlier (Figure 10, Panel A), as their foreign debt exposure made them more vulnerable to adverse financial market reactions to high deficits and debt levels. However, after the achievement of broad budget balance at the provincial level in 1997, fiscal improvement has paused. Thus, the further rise in the general government financial surplus in 1998 was entirely due to developments at the federal level, where fiscal tightening continued, albeit at a slower pace. The next two sections review, in turn, recent

Figure 10. **Decomposition of the general government financial balance**
Per cent of GDP (National Accounts basis)




*Note:* 1999 data are OECD Secretariat projections.
1. Including local government, hospitals, Canada and Quebec Pension Plans.
2. Excluding debt service.
3. Interest payments are shown with a negative sign.
*Source:* CANSIM – Statistics Canada; OECD Secretariat estimates.

trends in federal and provincial finances in more detail. While the discussion so far has been based on the national accounts, public accounts data are used below. In practical terms, the latter tend to show somewhat less favourable budgetary balances (reflecting, among other things, different treatment of the transactions of government employee pension accounts).

### *Federal government*

Decisive efforts by the current Government since coming to office in 1993 have produced a marked improvement in the federal fiscal position (Table 8). If the C$ 3 billion contingency reserve incorporated in the budget planning framework is not in the end required in the fiscal year 1998/99 (ending in March), the positive swing in the budget balance will have reached C$ 45 billion (about 6 per cent of GDP). Underlying this is a decline in programme spending, largely as a result of the restraint measures introduced in the 1994, 1995 and 1996 Budgets,

Table 8. **Sources of changes in the federal budgetary balance**

| | 1993-94 to 1998-99 |
|---|---|
| | Billions of Canadian dollars |
| **Factors increasing the balance** | |
| Reduction in programme spending | 15.4 |
| Higher revenues due to economic growth | 37.8 |
| One-time revenue adjustments | 2.7 |
| Net impact of revenue actions | 0.0 |
| Subtotal | 55.9 |
| **Factors reducing the balance** | |
| Spending actions in 1998 and 1999 budgets | 7.5 |
| Increase in public debt charges | 3.4 |
| Inclusion of Contingency Reserve in 1998-99 | 3.0 |
| Subtotal | 13.9 |
| **Net improvement in budgetary balance** | 42.0 |
| | Per cent of GDP |
| Budgetary revenues | 1.6 |
| Programme spending | –3.9 |
| **Operating balance** | 5.6 |
| Public debt changes | –0.6 |
| Contingency reserve | 0.3 |
| **Net improvement in budgetary balance** | 5.8 |

*Source:* Department of Finance.

along with higher revenues, primarily from a growing economy. Partially offsetting these developments are higher public debt charges.

The lower level of spending compared with 1993/94 reflects both widespread cuts in federal government programmes (with a few exceptions, such as elderly benefits) and reductions in transfers to other levels of government (except for Equalisation payments). The impact of earlier restraint measures has been only partly offset by policy initiatives since the 1997 Budget (totalling C$ 7½ billion), directed primarily to health care and access to knowledge and skills training. Two-thirds of these represent additional Canada Health and Social Transfer (CHST) cash payments to provinces, the rest consisting of extra spending on other health-related initiatives, education (notably the Canada Millenium Scholarships) and economic adjustments (in particular for fisheries and agriculture). Notwithstanding these measures, the programme spending-to-GDP ratio is estimated to have fallen by 4 percentage points from 1993/94 to 1998/99.

At the same time, budgetary revenues as a share of GDP are estimated to have increased by 1½ percentage points. Apart from the (limited) effect of certain one-off factors (for instance, the introduction of the Child Tax Benefit), policy actions since 1993 have had no overall net impact on federal budgetary revenues. Some revenue-raising measures introduced in earlier Budgets, primarily designed to increase the fairness of the tax system and reduce a number of tax preferences, were balanced out by general tax relief initiated in the 1998 Budget and the cumulative impact of the reduction in employment insurance (EI) premiums in recent years. However, as noted, fiscal drag stemming from partial indexation, together with changes in the composition of income, have tended to raise the revenue-to-GDP ratio.

The 1997 Budget envisaged a gradual decline in the federal deficit to 2 per cent of GDP in 1997/98, and 1 per cent in 1998/99. At the time of the 1998 federal Budget, a zero balance was projected for both fiscal years. In the event, a surplus of C$ 3.5 billion (0.3 per cent of GDP) was recorded for 1997/98, the first since 1969/70. Most of this better-than-expected outcome was attributable to higher revenues, reflecting very cautious economic assumptions, which by far outweighed higher expenditure as a result of new policy initiatives. Final results for the 1998/99 fiscal year will not be available before the autumn, but outcomes so far show a budget surplus of the same order of magnitude as recorded for 1997/98. While revenues have continued to exceed initial budget plans, in contrast to the previous fiscal year, additional spending is likely to have broadly matched the revenue windfall. Public debt charges were significantly below Budget estimates because interest rates turned out to be much lower than assumed for planning purposes. However, at the same time, data revisions for the period 1996/97 to 1998/99 resulted in large upward adjustments to Equalisation

entitlements, leading to a marked increase in federal transfers to the provinces in the latter part of the 1998/99 fiscal year.

In the February 1999 Budget, the Government committed itself to "balanced budgets or better" for the current and next fiscal year. The federal Budget continues to be based on three key elements: a two-year fiscal plan premised on "prudent" economic and interest rate assumptions that are more cautious than private sector forecasts; a C$ 3 billion contingency reserve each year; and the use of the latter, if not needed, to pay down public debt. The growth of nominal GDP underlying the fiscal plan is 1 percentage point below the current private sector consensus in 1999 and ½ percentage point below in 2000. Programme spending is expected to continue to fall as a share of GDP, despite increased expenditure on health care and related research and infrastructure. However, the funds allocated for these purposes in the next two fiscal years were, to a large extent, pre-booked to 1998/99. At the same time, the revenue-to-GDP ratio is projected to decline as a result of personal income tax reductions (see Chapter III for details). Although there are some downside risks to this fiscal outlook (for instance regarding corporate income tax receipts), the cautious economic planning assumptions should ensure that the federal budget remains in surplus over the next two fiscal years on a *status quo* policy basis.

### *Provincial governments*

All provinces remain committed to the balancing of their respective budgets. However, as noted, the rate of fiscal improvement has slowed in most provinces, and in some cases, even halted. Eight provinces (out of ten) expect to have achieved a balanced budget or a surplus in 1998/99, compared with five in the previous year (Table 9). A number of provinces have been significantly affected by the Asia crisis. On the other hand, most provinces have benefited from higher federal transfers. One of the reasons for slower fiscal progress is that the 1998 budgets emphasised tax reductions, including jurisdictions that are still pursuing budget consolidation (such as Ontario). In fact, five provinces announced personal income tax cuts in 1998, and when 1997 initiatives are included, the number of jurisdictions that have implemented such measures rises to eight. Regarding business taxes, six provinces have alleviated their payroll tax burden or reduced their corporate income tax rate. The 1999 budgets emphasised investments to improve health (partially funded by increased federal cash transfers) and the continued reduction of the personal and corporate tax burden. For 1999/2000, three provinces (Ontario, British Columbia and Newfoundland) are still expecting budget deficits. All intend, however, to balance their budget within the next few years.

Eight jurisdictions (six provinces and two territories) have implemented legislated fiscal rules, seven of which include balanced budget legislation. To

Table 9. **Provincial deficits and debt**

Public accounts basis, fiscal years, percentage

| | Ratio of deficit/surplus to provincial GDP | | | | Ratio of net debt to provincial GDP | | | |
|---|---|---|---|---|---|---|---|---|
| | 1990/91 | 1994/95 | 1997/98 | 1998/99 | 1990/91 | 1994/95 | 1997/98 | 1998/99 |
| Newfoundland | –3.8 | –1.2 | –0.1 | 0.0 | 39.0 | 47.9 | 39.5 | 43.1 |
| Prince Edward Island[1] | –0.9 | –0.1 | –0.2 | 0.1 | 10.3 | 38.7 | 33.5 | 32.5 |
| Nova Scotia[2] | –1.5 | –1.2 | 0.1 | 0.1 | 27.7 | 45.1 | 41.4 | 43.2 |
| New Brunswick[3] | –1.3 | –0.4 | 0.4 | 0.1 | 24.1 | 35.5 | 32.9 | 32.3 |
| Quebec[4] | –1.9 | –3.4 | –1.2 | 0.0 | 24.5 | 33.7 | 47.1 | 46.2 |
| Ontario | –1.1 | –3.3 | –1.1 | –0.9 | 15.1 | 28.8 | 30.0 | 29.7 |
| Manitoba | –1.2 | –0.8 | 0.3 | 0.1 | 21.8 | 28.2 | 22.9 | 22.6 |
| Saskatchewan | –1.7 | 0.5 | 0.1 | 0.1 | 17.3 | 31.3 | 25.1 | 24.9 |
| Alberta[5] | –2.5 | 1.1 | 2.6 | 0.6 | 7.7 | 14.9 | 5.8 | 5.1 |
| British Columbia | –1.0 | –0.4 | –0.1 | –0.5 | 8.0 | 11.8 | 11.3 | 11.8 |
| Total[6] | –1.5 | –2.1 | –0.4 | –0.3 | 16.6 | 26.8 | 28.4 | 28.2 |
| *Memorandum item:* | | | | | | | | |
| Federal government | –4.7 | –4.9 | 0.4 | 0.0[7] | 57.6 | 71.1 | 66.9 | 65.3 |

1. Accounting changes implemented in 1993/94 and 1994/95 increased net debt.
2. Accounting changes implemented in 1998/99 increased net debt.
3. Accounting changes implemented in 1992/93 increased net debt.
4. Reflects the accounting reform in 1997/98 which substantially increased net debt.
5. Accounting changes implemented in 1992/93 increased net debt.
6. Total provincial deficit/debt as a share of national GDP,including the territories.
7. 0.3 per cent excluding contingency reserve.

*Source:* Department of Finance.

date, notwithstanding the recent slowdown in fiscal improvement at the provincial level, rules pertaining to fiscal balances and debt (see Annex Table A2 of last year's Survey) have, in general, been met or exceeded. For instance, Quebec is on track to surpass its deficit reduction targets for a third consecutive year by balancing its budget a year ahead of schedule. For 1998/99, the Northwest Territories are the only jurisdiction that is at risk of not meeting its legislative requirement to maintain budget balance (legislation there permits one-year carry-forward for deficits). Certain jurisdictions have adopted fiscal policy plans that are not implemented through legislation. For instance, New Brunswick has set out a path for debt repayments over the next fifteen years, outlining surpluses to be attained over four-year periods. In Ontario, the provincial government is guided by a five-year deficit elimination plan, but has tabled legislation that would call for budget balance from 2001/02, with any tax increases requiring the approval of voters. On the other hand, British Columbia, which has been strongly affected by the Asia

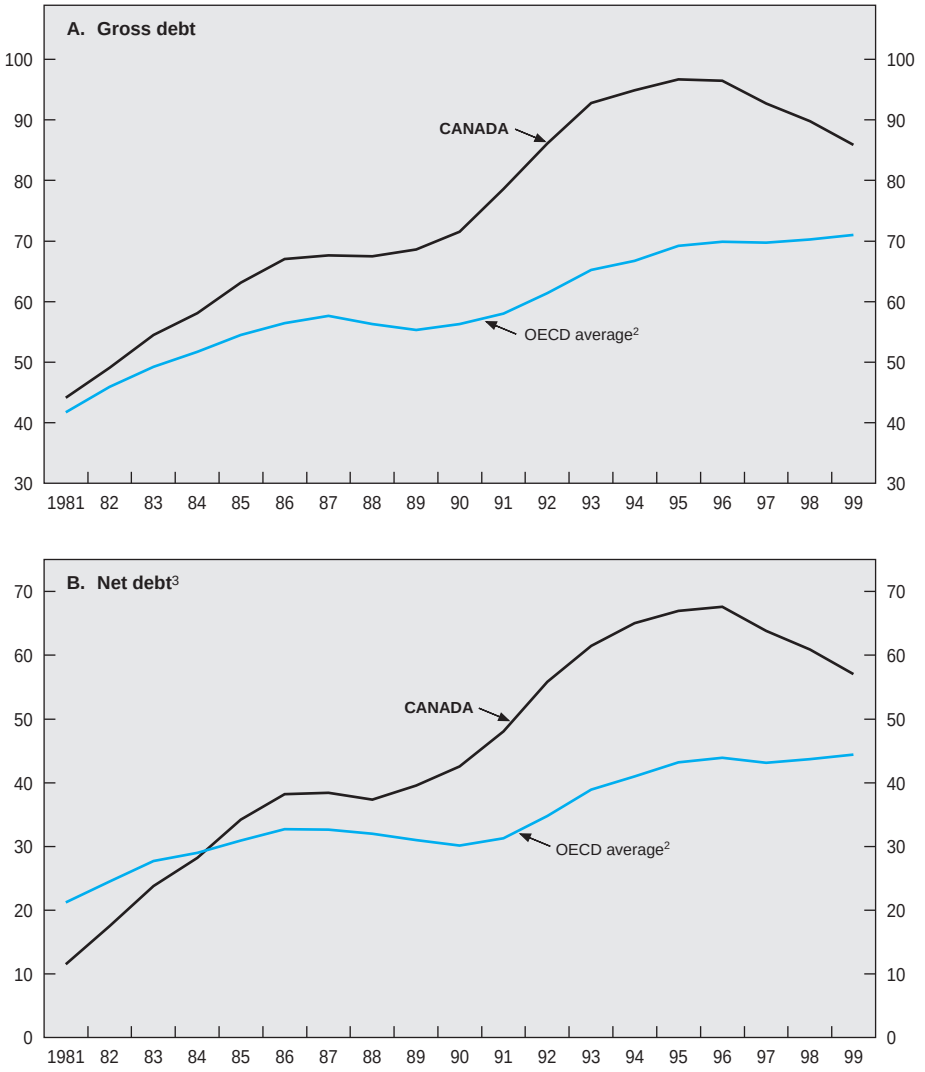
crisis, introduced in its 1999 budget a new five-year deficit reduction plan, leading to a balanced budget by 2002/03; moreover, it increased its debt-to-GDP target to allow for counter-cyclical investment as well as unexpected changes in GDP.

### *Debt developments*

Recent progress in fiscal consolidation has put Canada's public debt ratio on a clear downward track. However, this impressive performance has to be seen in perspective. Net general government debt rose sharply from some 13 per cent of GDP in 1980 to 67 per cent in the mid-1990s (national accounts basis). Although similar trends are present in some other OECD economies, Canada's relative position tended to worsen over time. Having had the third lowest net public debt-to-GDP ratio amongst the major seven economies in 1980, it subsequently moved to having the second highest (after Italy). By the mid-1990s, Canada's public debt ratio exceeded that prevailing on average in the OECD area by almost 25 percentage points of GDP (Figure 11). In the meantime, with debt ratios continuing to edge up in other countries, this differential has shrunk substantially, but is estimated to be still in the order of 15 per cent of GDP at the time of writing. This improvement mainly reflects developments at the federal government level, where debt has already declined markedly relative to GDP, while the provinces' debt ratio has just begun falling and is still higher than in the mid-1990s (Table 9). However, the federal government's debt was much more important at the time that fiscal consolidation started, accounting for almost three-quarters of total government debt. Nonetheless, as noted, provinces have been more exposed to international investor sentiment given their reliance on foreign funding. Only the provinces that have run surpluses for several years (Saskatchewan, Manitoba, Alberta) have benefited from a credit upgrade from the major rating agencies. British Columbia is the only province to have been downgraded in the last two years, although its debt is relatively low compared with provincial GDP, apparently reflecting its uncertain fiscal outlook.

In recent years, the federal government has taken measures aimed at better managing unexpected changes in interest rates by prudently restructuring its debt stock. The share of federal debt that is maturing in the short run has been reduced significantly, so that the first year impact of an interest rate increase has halved compared with what could have been expected in the mid-1990s. At the same time, non-residents' holdings of Government of Canada debt have been steadily declining from a peak of 28 per cent of the total in 1993 to less than 25 per cent today, with foreign currency denominated debt accounting for less than 10 per cent. The federal government is committed to maintaining a prudent debt structure by keeping the fixed-rate share at the level of two-thirds of the total that has been achieved recently. As market debt declines, a high priority for the authorities is to ensure both that the market for it continues to function well

Figure 11. **Government debt**[1]
Per cent of GDP




1. General Government; National Accounts definitions. 1999 data are OECD projections.
2. Weighted average using 1991 GDP weights and exchange rates.
3. Financial liabilities less financial assets.

*Source:* OECD, *National Accounts*; Secretariat estimates.

and that it remains attractive to investors in this new environment. Initiatives in this respect include a bond buyback programme, changes to the government's auction rules and the promotion of the futures market for Government of Canada securities.

## Assessment and challenges

The past year has presented a special challenge to monetary policy makers everywhere, given the difficulties posed by the uncertainties regarding world economic and financial developments. In the case of Canada, the task of the authorities has been additionally complicated by the importance of declining prices of natural resources for the economy. By reinforcing downward pressure on the exchange rate in the context of the Russian crisis, this factor motivated the Bank not to cut interest rates during this period out of concern that, in the context of unsettled international financial markets, this would lead to a loss of confidence in Canadian dollar-denominated assets. Indeed, during the summer of 1998, the decline in the Canadian dollar developed such a momentum that, given rising longer-term interest rates, the Bank acted by raising short rates temporarily.

With the benefit of hindsight, and in the light of the experience of commodity-producing countries confronted with a similar situation, a less interventionist approach might have been possible. However, it must be recognised that the Bank's decision occurred in a particularly turbulent environment and amidst much uncertainty, so that ignoring market pressures risked having adverse effects both on financial market stability and on the confidence and the behaviour of households and businesses. The issue remains, nonetheless, how the Bank should ensure that they communicate clearly the reason for, and temporary nature of, an interest rate change when it is aimed at preventing a loss of confidence in Canadian dollar assets. In the event, the sharp reduction in US interest rates in the autumn that calmed market conditions allowed a rapid unwinding of interest increases in Canada, so that their impact on economic developments appears, in the end, to have been relatively minor. But the episode illustrates the importance of further enhancing policy credibility and transparency in order to allow the Bank to concentrate more on the medium-term path of monetary conditions consistent with the inflation objective.

Recent developments also stress the care with which the Bank must express its views about future developments in monetary conditions. The markets and the media have tended to treat any statements as unconditional and to be surprised and confused if unforeseen events result in a different outcome. For instance, the easing in monetary conditions in response to declining commodity prices seems to have led to market perceptions that the Bank would not act to offset the effect of a potential loss in confidence in Canadian dollar assets. Thus,

rather than comment on the prospective policy stance, it might be more effective if the Bank continually reminded market participants of the detailed account of economic activity contained in its regular publications, and then leaves it to the market to draw conclusions about the implications for the future path of monetary conditions.

Moreover, the fact that the Canadian dollar reached a historical low (against its US counterpart) in 1998 has triggered a debate about the appropriateness of the floating exchange rate regime. While there is no neat and simple way of identifying the costs and benefits of alternative regimes, recent developments suggest that flexible exchange rates have served Canada well, limiting output and employment variability in the face of economic shocks. Typically, the shocks hitting Canada are different from those affecting the United States. In particular, its terms of trade tend to be negatively correlated with those of its neighbour country, because Canada is a net exporter of commodities while the United States is a net importer. However, last year's experience suggests that the potential advantages of exchange rate flexibility in response to economic shocks are reinforced by the achievement of fiscal and monetary policy credibility.

Looking ahead, policy makers will have to encourage monetary conditions that both support a durable expansion and preserve Canada's low trend rate of inflation. With annual consumer price increases running near the bottom end of the official target band, there does not seem to be a need for an immediate tightening of monetary conditions. This is not to say that a less stimulative monetary stance will not be required at some stage. While the OECD Secretariat's central projections do not expect economic slack to be fully taken up in the short run, excess supply is not large, and a closing of the output gap during the next year cannot be excluded. The Bank's intention to "probe" for the potential level of output would seem appropriate, in the light of the US experience in this respect, the wide margin of error around estimates of the output gap and the present subdued inflation. However, it is clear that such an approach involves greater inflationary risk than the traditional one of symmetrical response to changes in estimates of the output gap.

Continued progress in fiscal consolidation could serve to mitigate some of the risks implied by such a strategy. Fiscal improvement has been impressive both by international and historical standards. After a protracted period of large deficits, the government budget has now been in surplus for two years, the first time since the early 1950s. This has put the public debt ratio on a clear downward track. However, with a long series of deficits, public debt had increased enormously and is still very high by international comparison despite its recent decline. At the same time, with the achievement of budget surpluses, pressures to reduce taxes and increase expenditures more quickly have mounted, so that fiscal progress has slowed. Indeed, in both 1997 and 1998, new spending and tax

relief measures were calibrated to absorb the estimated budget surplus that could have expected to emerge on a *status quo* basis. Thus, the federal government has aimed to maintain a broad budget balance since the deficit was eliminated in 1997/98. At the provincial level, too, fiscal consolidation has slowed markedly, even though debt ratios have just started to decline there, primarily reflecting tax reductions in many jurisdictions but also spending initiatives.

This raises the question of what the appropriate longer-term fiscal policy settings might be. Reducing the high public debt ratio will be critical to consolidating market confidence in the country's fiscal management. In addition, lowering debt-servicing charges would release resources to meet government priorities for reforming the tax system and strengthening health care and skills development. While there are no easy answers concerning the pace of debt reduction that the government should choose, a possible objective could be to bring Canada's total government debt-to-GDP ratio in line with the OECD average, which is currently about 15 percentage points lower. On current projections, this would be achieved by 2001. Alternatively, Canada could aim to match US performance, arguably a more relevant benchmark. Maintaining a balanced budget, on a public accounts basis, at both federal and provincial levels, could bring the public debt ratio close to US levels after about ten years. Although both of these objectives are rather arbitrary in nature, economic theory provides little in the way of precise analytical guidance as to appropriate public debt ratios. It is nonetheless clear that the Canadian situation points to the need for a sustained and rapid reduction in government debt in order to accelerate the decline in the public debt-to-GDP ratio. Running budget surpluses would also provide a buffer against future economic shocks. Such an approach would not exclude new spending and tax initiatives. Indeed, a large number of taxation issues need to be addressed (including indexation, pension and employment insurance premiums, and efficiency and competitiveness imperatives). The scope for such measures would be greatly enhanced by reprioritising, and maintaining tight control of, government expenditure. Tax policy and public sector reform are discussed in the following Chapter.

# III. Progress in structural reform

Undertaking structural reform to improve economic performance has been an important thrust of policy for successive Canadian governments since the mid-1980s. Over the following decade, a number of structural initiatives were launched: free trade with the United States, extended later to Mexico; financial sector de-regulation; tax reform, which included adopting a value-added tax; and the privatisation of a number of public entities. While improving labour market outcomes was an important consideration over this period, attention toward this issue did not become well focused until unemployment rose significantly during the recession in the early 1990s, and then failed to decline substantially in the subsequent recovery. In the 1994 OECD *Jobs Strategy*, which set out a broad programme of action for Member countries in dealing with high and persistent unemployment, a number of specific policy recommendations were made for Canada in five areas: unemployment and related benefit systems; active labour market policies; the wage-formation system; labour force skills and competences; and product market competition.[1]

The following paragraphs highlight the measures the Canadian authorities have adopted to address policy shortcomings that were previously identified in these areas (Table 10). This is followed by an up-to-date account of structural policy actions which have been taken more recently in a number of areas other than the labour market: the financial sector; international and internal trade; taxation; and public sector reform. A concluding section discusses ongoing issues in the microeconomic policy field, notably with respect to improving productivity performance.

## OECD *Jobs Strategy* follow-up

### *Unemployment and related benefit systems*

In Canada, as in other countries, the generosity and ease of access to unemployment and related benefits (including social assistance) has been an important determinant of less-than-satisfactory labour market performance. For

Table 10. **Implementing the OECD Jobs Strategy – an overview of progress**

| Jobs Strategy proposal | Actions taken since 1996 | OECD assessment/recommendations |
|---|---|---|
| **I. Reform unemployment and related benefit systems** | | |
| – increase extent of experience rating<br>– reduce regional dependence on unemployment insurance<br>– monitor eligibility to disability benefits<br>– increasing threshold of allowable earnings to social assistance benefits<br>– make passive income support conditional<br>– increasing the working income supplement to low-income working families | – in 1996, Unemployment Insurance (UI) system revamped under the Employment Insurance (EI) Act; EI system increases experience rating; tightens eligibility requirements; and reduces both the extent and duration of benefits<br>– social assistance levels cut in Ontario (as well as in other provinces); and introduction of a mandatory workfare programme for recipients of assistance deemed employable<br>– a two-step doubling of the Working Income Supplement for low-income working families, recently replaced by the National Child Benefit (NCB) | – the EI system should help lessen work disincentives; however, the variation in regional generosity still largely remains and experience rating could be further strengthened<br>– make sure that workfare will add to human capital accumulation and does not undermine ALMPs<br>– the NCB is a positive step to removing barriers to work for families. The government should monitor its impact to assess whether it is achieving the intended goals |
| **II. The wage formation system** | | |
| – grade minimum wages by age | – in 1998, the minimum wage in BC was increased | |
| **III. Improve labour force skills and competence** | | |
| – address adult literacy problems<br>– reduce barriers to mobility for workers<br>– develop the Pan-Canadian Indicators Program | – work under way to recognise occupational qualifications and competencies across provinces | – Agreement on Internal Trade which includes labour mobility has been in place since mid-1995 and negotiations seemed to be bogged down. The government should ensure that deadlines set under the new Social Union Agreement are met |

Table 10. **Implementing the OECD Jobs Strategy – an overview of progress** *(cont.)*

| Jobs Strategy proposal | Actions taken since 1996 | OECD assessment/recommendations |
|---|---|---|
| **IV. Active labour market policies** | | |
| – target ALMPS<br>– allow provinces greater responsibility for ALMPs<br>– investigate other forms of employment assistance<br>– maintain the operation of a "one-stop" shop for ALMPs | – since 1996, 9 provinces have opted to accept more direct responsibility of ALMPs; negotiations with Ontario are in progress<br>– in 1997, the government announced the Youth Employment Strategy; in 1998 funding for this programme was increased<br>– in 1997 it also announced measures to help persons with disabilities make the transition to employment | – potential for substantial gains as ALMPs should now be better tailored to regional needs and as duplication of efforts is eliminated; however, provinces must now adopt a more rigorous evaluation of the system than heretofore |
| **V. Enhance product market competition** | | |
| – continue implementation of the labour mobility chapter of the Agreement on Internal Trade | – implementation of the labour mobility chapter of the Agreement on Internal Trade is ongoing | – see point III above; the Aggrement has been extended to include the MASH sector (although BC and the Yukon have opted out of this provision), meanwhile progress in many other areas remains stalled |

*Source:* OECD.

example, the former unemployment insurance programme, since it was introduced in 1971 and subsequently adjusted, has been variously estimated to have added up to 3 percentage points to the Canadian structural rate of unemployment.[2] Since the mid-1990s, a number of impressive reforms in this area have been implemented.

*First*, in 1996 the Employment Insurance (EI) programme was introduced, leading to the most fundamental reform to the unemployment system in several decades. This programme dealt with nearly all of the concerns expressed by the *Jobs Strategy* over the previous system including:[3] measures to tighten eligibility requirements and to reduce the extent and duration of unemployment benefits; limited experience rating to address the intensity of use; and a clawback of benefits on incomes above a certain threshold. While EI reform could have gone further to address the regional differentiation of benefits and to increase experience rating of benefits,[4] the changes have contributed to: a marked decline in the work disincentives coming from the unemployment insurance system in Canada;

reduced programme costs and, at the same time, better targeting support to the unemployed. A mandate of EI reform is to gauge its impact through an annual *Monitoring and Assessment Report*. In the first two years of the new system (1995/96 to 1997/98) the following outcomes have so far been observed: new EI claims fell by 14 per cent and the amount of benefits paid out dropped from around C$ 12 billion to C$ 10 billion (in the report, the decline in benefit payments is attributed equally to the reform of EI itself and to recent labour market developments, such as fewer laid-off workers and a new mix of unemployed); the intensity rule, which reduces the benefit rate upon successive claims has begun to take effect, as some benefit levels among repeat users has fallen; and as a result of the clawback provision affecting high income earners, repayments to the EI fund have risen from C$ 20 million to C$ 70 million.

*Second*, eligibility for disability benefits, under both the Canada Pension Plan and provincial social assistance programmes has been tightened to reflect medical criteria to de-emphasise the use of socio-economic factors in allowing benefits, as suggested by the *Jobs Strategy*. In the case of social assistance, a number of provinces have pursued reform in response to: policy changes at the federal level (for example, the implementation of the Canada Health and Social Transfer, see below, and EI); budgetary pressures; and the need to reduce welfare dependency (which peaked in 1994 but has declined since). These reforms are based on a shift from "passive" assistance to "active" measures that are aimed at helping clients integrate back into the labour force. Some of the main elements of policy changes since the mid-1990s include: reductions in social assistance coverage; the adoption of more stringent requirements with respect to participation in employability initiatives (some of which are mandatory to receive social assistance); training and education programmes for employable clients; and categorical ineligibility (for students and young people) as well as tighter eligibility rules.

*Third*, a number of changes to the tax system have been introduced that aim to shift the balance between incomes in and out of work to encourage labour force participation (such adjustments have also taken place at the provincial level to the same effect). The most important of these tax measures is contained in the National Child Benefit (NCB) programme, which was announced in 1996 and implemented in 1998. The NCB is a joint federal-provincial initiative consisting of *i)* an enriched child tax benefit (C$ 1 625 for the first child and C$ 1 425 for each additional child) delivered by the federal tax system and extended to low and modest income families with children; *ii)* provincial/territorial reinvestments of savings in their social assistance budgets and; *iii)* some existing measures (such as the Working Income Supplement). The 1999 federal budget also included a proposal to further enrich the Child Tax Benefit, *i.e.* by C$ 180 per child in July 1999 and by an additional C$ 170 in July 2000. In moving income support benefits for children outside the welfare system, the NCB achieves two key labour-market-related objectives: people at the marginal of the labour force can receive income

top-ups (based on their earnings and the size of their family) to help with child rearing costs and to keep them from having to apply for welfare; and for those already on welfare, the financial and other supports that are available for their children, once they leave the system for work, help break down the barriers to employment.

### *Active labour market policies (ALMPs)*

For nearly all OECD Member countries, the *Jobs Strategy* placed considerable emphasis on moving toward the use of active, rather than passive labour income support for the unemployed. For Canada, the specific recommendations in this area involved in particular:

- Giving the provinces more responsibility with a view to taking advantage of regional and local knowledge of labour market conditions.
- Adopting more of an evaluation culture in order to assess what works and what does not. The federal government has, however, retained its involvement with pan-Canadian labour market issues through the administration of EI income-benefits, and for youth and other labour adjustment programmes.

In the event, the federal government withdrew from the provision of labour market training and agreed (as part of EI reform) to offer the provinces options in participating more directly in all aspects of designing, delivering and evaluating ALMPs. At present, ALMPs are now being devolved to a varying degree to provincial responsibility (through Labour Market Development Agreements, LMDAs), with the exception of Ontario (with whom negotiations are continuing). The LMDAs may either involve a full transfer of authority to the provinces of benefits and measures, or co-management, where provinces, together with the federal government, will be jointly responsible for the planning, design and evaluation of these active measures. The implementation of these agreements is well underway, although it is too early to gauge their effect. In that regard, assessments will be undertaken (as mandated by EI reform) on the impact and cost-effectiveness of the LMDA in each province. The first such report is due in the year 2000.

### *Wage formation*

In Canada, virtually all paid workers are subject to legislated minimum wages which are set at the provincial level. As a proportion of provincial average hourly earnings, the minimum wage varied, in the mid-1990s, between 40 per cent (Alberta) and almost 50 per cent (Quebec). Since then, there have been no increases in the minimum wage (except in British Columbia), so that the trend as a proportion of average hourly earnings has declined, and thus unlikely to have contributed to any rise in structural unemployment over the latter part of the

1990s. Even so, the *Jobs Strategy* indicated the potential for such wages to adversely affect the employment prospects of young workers. It suggested that Canada move to address this concern, given the absence of grading minimum wages by age (although a few provinces do have reduced rates for students or for particular jobs where youth employment is likely to be more predominant). To date, no action has been taken in this respect.

### *Labour force skills and competences*

Canada has one of the most highly-educated populations among industrial countries. However, as indicated in previous surveys, it also has a disproportionately large share of individuals with poor literacy skills. As noted in the previous *Survey*, this probably reflects a combination of low educational attainment rates among older people and a deterioration of skills of those who do not work in literacy-rich environments. This poor literacy finding is surprising, given the high levels of education spending. In order to raise labour force skill levels, the *Jobs Strategy* stressed the need to identify why such a problem has arisen, and to remove barriers to the mobility of teachers and students, particularly through improved inter-provincial recognition of higher educational qualifications (such as the transferability of college/technical institutes and university credits). In the event, some provinces are moving "back to the basics", including the introduction of province-wide testing to help ensure minimum school standards are met. Furthermore, the introduction of the Agreement on Internal Trade in 1995 (see below) provided an explicit chapter that purports to address concerns over labour mobility (including for teachers). In order to improve both the accessibility and affordability of post-secondary education in Canada, the federal government established the Millennium Scholarship Foundation in 1998. This Foundation builds on existing (federal and provincial) programmes of student financial aid. It will grant scholarships to post-secondary students based on financial need and merit, at the rate of 100 000 scholarships per year, beginning in the year 2000 and continuing for the following ten years.

### *Enhancing product market competition*

Since the mid-1990s, Canada has pursued and implemented a significant number of policy initiatives to enhance product market competition. These relate primarily to trade liberalisation measures taken at both the international and inter-provincial levels. On the international side, initiatives include the following: the conclusion and undertaking the commitments of the Uruguay Round of multilateral trade negotiations in traditional and new areas (services and agriculture); the extension of the Canada-US Free Trade Agreement to comprise Mexico under the North American Free Trade Agreement (NAFTA); the conclusion of separate free trade agreements with Chile and Israel in 1997; the ongoing pursuit of free

trade in the Asia-Pacific region (by 2010 for developed economies and 2020 for developing economies); the chairmanship, for the first eighteen-month period, of the Free Trade of the Americas (FTAA) negotiations launched by leaders of the western hemisphere in April 1998; and, in 1998, the implementation of a new simplified, more transparent customs tariff providing room for unilateral rate reductions on a wide range of goods. For example, the new tariff allows the elimination of so-called nuisance rates (those below 2 per cent). On the inter-provincial side the Agreement on Internal Trade (AIT) was introduced as noted above. The AIT states, as its objective, the reduction and elimination "to the extent possible, of barriers to the free movement of goods, services, persons, and investment within Canada". All provinces and territories are signatories to the Agreement. A host of barriers and non-conforming activities have been eliminated and significant effort has been directed at freeing up procurement markets, and ensuring that the institutional machinery to monitor adherence and to facilitate ongoing negotiations is functioning smoothly. However, as detailed in previous *Surveys*, at this point the Agreement can only be considered as work in progress since much remains to be done to implement it fully (see below).

*In summary*, a wide array of policies have been pursued in Canada which largely meet the specific areas of action outlined in the OECD *Jobs Strategy* in 1994. For this, the Canadian authorities should be commended. Although the recent strength in employment growth and the decline in the unemployment rate reflects cyclical influences (see Chapter I), the labour-related reforms taken since the mid-1990s should help both to sustain and, more importantly, to build on this improvement in the future. International experience suggests that the benefits of both macro- and micro-policy changes are likely to be slow to emerge, even when reform is comprehensive and the policy framework is right.[5] As well, there is constant need for attention and for an ongoing reform effort. The next section highlights the policy initiatives the Canadian authorities have taken over the past year, in the spirit of moving that agenda forward.

## Recent reform initiatives

### *Financial sector*

Canada's financial sector continues to be an area where significant future changes are likely to occur, as a result of both structural adjustment and policy measures. In the former case, globalisation, technological advance, demography (for example, population ageing inducing greater demand for funds management), and economic forces are resulting in innovation and more intense competition in the provision of financial services. In the latter case, as discussed below, recent policy proposals, such as those contained in the Report of the (MacKay) Task

Force on the Future of the Canadian Financial Services Sector presented in September 1998, and government decisions, such as the refusal to allow proposed bank mergers, indicate that further policy developments are probably on the way.

After nearly two years of study and consultation with industry stakeholders and participants, the MacKay Task Force provided 124 recommendations concerning: improving competition and competitiveness; buttressing the rights of consumers; improving corporate conduct; and strengthening the regulatory framework.[6] Since the tabling of this report, and following-up on previous commitments, the government has pushed ahead on several fronts:

- Legislation allowing federally-regulated mutual life insurance companies to convert to stock ownership (demutualisation) came into effect in March 1999 and a number of companies have already indicated moves in this direction.[7] These companies have expressed interest in demutualisation as a means to improve their efficiency and competitiveness, through both market discipline and the increased flexibility that stock ownership provides, and through the adoption of a better understood corporate and governance structure.
- Legislation is currently before parliament which will allow foreign banks to offer a range of services in Canada, via branches rather than through separate, fully-regulated, banking subsidiaries, thus bringing Canada's foreign branch bank regime more into line with that of other major OECD countries.[8] As well as removing unnecessary regulatory obstacles to more effective competition from foreign banks (leading to further innovation and improved services in the domestic market), the new rules should also result in new sources of funds.
- A policy paper outlining the government's detailed response to the MacKay report is to be issued by mid-year, with the hope of introducing a new policy framework to address the key issues facing the financial services sector before the end of the calendar year.

This latter initiative is to be welcomed since, over a number of years, the Economic and Development Review Committee has been pressing Canada to complete the reforms of the financial sector that were initiated in the early to mid-1990s. The MacKay Task Force has now provided support for further policy changes (many of which have been indicated in previous *Surveys*) such as:

- Relaxing limitations on ownership restrictions in banking to permit more players to enter the market, perhaps by increasing from 10 to 20 per cent the maximum share that can be held by a single investor, and allowing more flexible ownership structures (such as the creation of holding companies and joint-venture subsidiaries).

- Opening up competition in the sale of insurance products and auto leasing.
- Creating competitive pressures through, for example, strengthening the credit union movement.
- Harmonising federal and provincial regulations, especially where overlap imposes needless costs for both governments and the private sector and reduces the overall efficiency of the financial industry. (The financial sector was not even included in the Agreement on Internal Trade, whose mandate is the reduction of trade, investment and other barriers throughout the Canadian federation).
- Allowing wider access to the Canadian Payments System for all (appropriately regulated) financial institutions.

Towards the end of last year, after reviewing policy input from both the Competition Bureau and the Office of the Superintendent of Financial Institutions (OSFI), the Minister of Finance turned down earlier proposals for bank mergers among four of the country's five largest banks.[9] (Unlike other mergers, bank amalgamations are unique in that under provisions of the Bank Act they require the approval of the Minister of Finance.) This decision reflects the Minister's view that the proposed mergers would not, ultimately, have been in the best interests of Canadians based on the following considerations: they would have led to an unacceptable concentration of economic power in the hands of fewer, larger banks (the merged entities would have had 60-70 per cent of deposit-taking activity); they would have had the effect of significantly reducing competition; and they would have led to reduced policy flexibility for the government in addressing potential future prudential concerns (for example, should one of the merged entities get into financial trouble, because of its size, it would be difficult to find a private-sector, rather than public-sector, solution to the problem). The government also indicated that it would not consider any future bank mergers until a new policy framework is put into place and, further, that such a union could only be acceptable if it addressed the highlighted concerns.

### *International and internal trade*

As noted above, trade policy has played an important role in Canada's structural reform agenda, and a vast number of initiatives have been pursued and implemented since the mid-1980s. Over the past six months or so, several developments have also occurred, both on the international and internal trade fronts.

In the international area, there is a perception that Canada has been involved in a growing number of trade disputes. This perception probably reflects two coincidental factors. *First*, while one of the most active users of the World Trade Organisations dispute settlement system,[10] Canada has not been involved in a large number of disputes recently. Rather, the current visibility of trade

issues reflects the fact that a number of long-standing disputes are nearing resolution (for example, a dispute between Canada and Brazil concerning financial support for commercial aircraft that began in 1997; a dispute with the United States over excise taxes on magazines began in 1996; and a dispute with the United States and New Zealand regarding the import of milk and the export of dairy products that began in 1997).

*Second*, trade tensions between Canada and the United States, the country's most important trading partner, increased recently as a result of US reaction to Canada's Bill C-55, the Foreign Publishers Advertising Services Act.[11] The purpose of the legislation is to ensure that Canadian periodical publishers have access to Canadian advertising revenues by prohibiting foreign periodical publishers from supplying advertising services to Canadian advertisers which are directed primarily at the Canadian market. This legislation is consistent with Canada's long-standing cultural policies that support the creation and communication of Canadian ideas, stories and information. In early June, Canada and the United States resolved their differences, and signed an Agreement which *i)* provides that Canada will allow foreign periodical publishers limited access to Canadian advertising directed at the Canadian market; *ii)* provides for changes to income tax rules to allow Canadian advertisers to fully deduct the cost of advertising in magazines with 80 per cent or more Canadian editorial content while advertising in magazines with less than 80 per cent Canadian editorial content would be 50 per cent deductible and removes Canadian ownership of a magazine as a requirement for the cost of advertising in it to be deductible; and *iii)* provides for changes to Canada's investment policies to allow foreign publishers to establish periodicals in Canada with majority Canadian content. The Agreement also states that the United States will take no action in response to the legislation pursuant to the WTO, NAFTA or its domestic trade law. The legislation before parliament has been amended accordingly.

Within Canada there has been considerable debate on approaches to support and develop cultural activities that are also consistent with the country's trade obligations.[12] Indeed, like certain countries, Canada has sought to obtain broad "cultural exemptions", or in other words, to take "culture" off the trade negotiating agenda (as was done in the Canada-US and subsequent North American Free Trade Agreement). The *Cultural Industries Sectoral Advisory Group on International Trade* (SAGIT)[13] has recently provided several cultural trade policy options for consideration by the government:[14] maintaining the status-quo; making no international commitment on culture (or accepting any obligations on behalf of the cultural sector); developing agreements covering specific cultural industry sectors, measure or practices; and creating a new international cultural instrument. As noted by the Advisory Group, this latter option seems to have some attractions – primarily insofar as it could lay ground rules for cultural policies and

trade that could allow Canada and other countries to maintain policies to promote their cultural industries.

Some progress has been achieved in removing long-standing barriers to inter-provincial trade, investment and factor mobility in the context of the *Agreement on Internal Trade* (AIT) (see Table 11 for details). Several key commitments were made recently as part of the *Social Union Framework Agreement* (see below) achieved in February and initialled by all provinces except Quebec that would further support the AIT in the area of labour mobility:

- Through this Framework, the nine provinces set a deadline of mid-2001 for full compliance of the mobility provisions of the AIT, including the requirements for mutual recognition of occupational qualifications and elimination of residency requirements for access to employment.
- The signatory provinces will ensure that no new barriers to mobility (for labour as well as for other productive factors) are created through new social policy initiatives.
- Provincial governments also agreed to eliminate, within three years, any residency-based policies or practices which constrain access to post-secondary education, training, health and social services as well as social assistance, unless they can be demonstrated to be reasonable and consistent with the principles of the Social Union Agreement, and the AIT.

All in all, although limited, this progress appears significant, given that, in particular, easing labour mobility has been a difficult issue to confront. Indeed, while not yet moving to complete liberalisation, at least deadlines have now been set.

Environmental protection measures (Chapter 15 of the AIT), were strengthened by the signing of the Harmonisation Accord (with the exception of Quebec), and related sub-agreements on standards, inspections and environmental assessment. This is expected to reduce some of the regulatory burdens facing businesses operating across provinces. In February 1998, governments (with the exception of those of British Columbia and the Yukan) negotiated a significant expansion to the scope of open and transparent procurement by agreeing to have their municipalities, academic institutions, social service agencies and hospitals covered by procurement disciplines in July 1999. In addition, the development of a single window interest-based electronic tendering system, now used by the federal government and seven provinces, has made procurement across Canada more open and transparent, while increasing accessibility and lowering costs to suppliers. In addition, for trade in alcoholic beverages, Canadian wine standards have been developed and approved as voluntary national standards (although these standards are undergoing clarification), while various associations are examining ways to reduce technical barriers such as those related to packaging/case marking.

Table 11. **Agreement on Internal Trade: major outstanding obligations**

*Even though a substantial number of outstanding obligations of the AIT exist, discussions on the development of a future agenda aimed at strengthening and improving it have started. Interest is also being expressed to work with the private sector to develop practical means to boost trade flows, deliver government services to business more efficient, and to use technology to develop new and increased market opportunities.*

| Chapter | Obligation | Status |
|---|---|---|
| Procurement (5) | By June 1995, extend coverage to the MASH sector (municipalities, academic institutions, social services and hospitals) | February 1998, agreed (except for British Columbia and the Yukon) to include the MASH sector under the AIT. Provisions of this new annex will enter into force in July 1999. |
| | By July 1998, review, harmonise, reconcile bid protest procedures | No action yet. |
| | By July 1996, further negotiate reduction of excluded services (including professional, transportation, financial, health and advertising) | Negotiations have been suspended. |
| | By June 1996, accelerate and conclude negotiations to move government entities (mainly crown corporations) off the exclusion list | Negotiations are well advanced but an agreement acceptable to all parties has not yet been reached. |
| Investment (6) | By December 1996, make recommendations as to the retention, removal or replacement of local presence and residency requirement measures | Recommendations approved in February 1998. Some local presence and residency requirements remain (Annex 604.4). |
| | Examine matters as directed by Ministers, including on interpretation of the Code of Conduct on Incentives | Negotiations on clarification of, and improvement to, the code of conduct on incentives ongoing. |
| Labour mobility (7) | In a "reasonable time", seek compliance of regional, local and other forms of municipal governments or governmental and non-governmental bodies | Consultations ongoing. |
| | Mutual recognition of qualifications and reconciliation of occupational standards (process started in July 1996) | At the end of 1996 more than 400 occupational regulatory bodies invited to initiate work towards compliance with the Agreement. February 1999, in the context of the Social Union Framework Agreement, all provinces (except Quebec) set a deadline of 1 July 2001 for full compliance of the mobility provisions of the AIT, including the requirements for mutual recognition of occupational qualifications and elimination of residency requirements for access to employment opportunities. |

Table 11. **Agreement on Internal Trade: major outstanding obligations** *(cont.)*

*Even though a substantial number of outstanding obligations of the AIT exist, discussions on the development of a future agenda aimed at strengthening and improving it have started. Interest is also being expressed to work with the private sector to develop practical means to boost trade flows, deliver government services to business more efficient, and to use technology to develop new and increased market opportunities.*

| Chapter | Obligation | Status |
|---|---|---|
| Agricultural/food products (9) | By September 1997, review scope and coverage of chapter | Agriculture authorities undertook the required review and, based on public consultations, which reaffirmed the importance of, and support for, liberalising internal trade, have decided to pursue negotiations to revise the scope and coverage of the Chapter. Quebec has indicated that it would not participate in the process. |
| | Review supply management, Western Grain Transportation Act, and agricultural safety nets | With respect to supply management of poultry and eggs, Agriculture Ministers agreed to aim for greater flexibility and better adaptation to changing market conditions. The WGTA was cancelled in the 1995 Budget. Agriculture Ministers also extended the existing satefy net programmes until March 2000 and agreed to develop a new framework agreement by the summer of 1999. |
| Alcoholic beverages (10) | Review a host of non-conforming measures | Problems related to New Brunswick's and Quebec's differential fees or charges for beer remain ongoing. A working group reviews annually the non-conforming measures with a view to their elimination. Canadian wine standards have been developed and approved as voluntary national standards by the Canadian General Standard Board (although these standards are undergoing clarification). The Canadian Association of Liquor Jurisdictions has been examining a number of packaging/case marking issues so as to determine possible harmonisation implications. This Association has also established a National Quality Assurance Committee which meets regularly to harmonise technical standards for alcoholic beverages in Canada. |
| Natural resource processing (11) | By July 1998, review achievement of objectives, identify and resolve implementation issues and make necessary revisions to the chapter | No action yet. |

Table 11. **Agreement on Internal Trade: major outstanding obligations** *(cont.)*

*Even though a substantial number of outstanding obligations of the AIT exist, discussions on the development of a future agenda aimed at strengthening and improving it have started. Interest is also being expressed to work with the private sector to develop practical means to boost trade flows, deliver government services to business more efficient, and to use technology to develop new and increased market opportunities.*

| Chapter | Obligation | Status |
|---|---|---|
| Energy (12) | By July 1995, include energy under the Agreement | Negotiations ongoing; considerable progress has, however, been made towards an agreement that would require utilities to transmit electricity from neighbouring provinces to third markets on a non-discriminatory basis. |
| Transportation (14) | By July 1996, extend coverage to municipal governments | Transportation Ministers recommend deletion of obligation. |
| | By January 1996, reconcile regulations and standards-related measures | Work ongoing (mostly completed). |
| | Phase-out non-conforming measures | Ongoing negotiations. |
| Environmental protection (15) | Harmonise environmental measures | In January 1998, provincial Environment Ministers (except Quebec) signed the Harmonisation Accord and related sub-agreements on standards, inspections and environmental assessment. In doing so, they agreed to work in partnership to achieve the highest level of environmental quality across Canada. Under Harmonisation, each government retains its existing powers and will use them collaboratively. In September 1998, those Ministers approved an Annex to the Harmonisation Accord providing clarification on principles for shareholder involvement and public accountability. (Work is underway to develop Canada-wide standards in six key areas: particulate matter; ozone; benzene; petroleum hydrocarbons in soil; dioxins and furans; and mercury. |
| Institutional provisions (16) | By April 1996, report on effects of the Agreement | Not yet available. |
| Final provisions (18) | Annual review of scope and coverage of the Agreement | No review in place. |

*Source:* Updated version of Table 19, *OECD Economic Survey of Canada*, 1998.

While progress has been commendable, much more work needs to be done before the Canadian federation achieves free trade in goods and services and national treatment across provinces for investment and other factor inputs. The longer this exercise takes, the longer Canadians will be denied the benefits that pan-Canadian free trade can bring.

### *Taxation*

As noted, along with the emergence of a fiscal surplus there have been increasing calls for new and further spending initiatives as well as tax cuts. The February Budget did contain some of both but, not surprisingly, not enough to appease the public in the context of such an improved fiscal situation. Nonetheless, it is important to maintain some perspective in the debate, given that the size of current and prospective surpluses is not overly large and ongoing action is required to reduce public debt levels that remain high by international comparison. Two issues are at the forefront of any discussion concerning a future fiscal policy framework (Chapter II): the need for the authorities to lay out a coherent prospective plan for spending and tax changes in order to anchor expectations about what comes next; and the need to direct the use of such scarce resources toward growth-enhancing initiatives and not just to programmes that have popular appeal.

In the latter context, adjustments to the tax system should be accorded high priority. The share of overall tax revenues-to-GDP in Canada, at around 36 per cent, is not overly high compared with the OECD average. However, it is considerably higher than the United States (by more than 8 percentage points), with the difference mainly accounted for by Canada's greater reliance on both consumption and personal income taxes (Table 12). And, as Chapter II points out, the burden on Canadian taxpayers has considerably increased over the last several years, largely as a result of a non-indexed tax system. A strong economic case can be made to support the greater use of consumption taxes because high levels of income taxation have greater negative economic effects, as was discussed in the 1997 *Economic Survey of Canada*.

Since the mid-1990s, tax policy has been carefully *targeted* to achieve economic and social objectives by providing assistance to education, child-care, charities and the disabled, and to improve tax fairness. The 1998 Budget marked the beginning of *general tax relief*, initially for low and middle-income earners. Moreover, with the principle that such tax relief should not be provided with borrowed money:

– The 1998 Budget provided a C$ 500 increase in the amounts used to establish the basic personal and spousal credits for low-income Canadians. This amount was increased to C$ 675 and extended to all

Table 12. **Structure of taxation**

Per cent of GDP

| | Corporate income taxes | | Individual income tax | | Social security and payroll taxes | | Consumption taxes | | Other taxes including property taxes | |
|---|---|---|---|---|---|---|---|---|---|---|
| | 1980 | 1996 | 1980 | 1996 | 1980 | 1996 | 1980 | 1996 | 1980 | 1996 |
| United States | 2.9 | 2.7 | 10.5 | 10.7 | 5.9 | 7.0 | 4.7 | 4.9 | 2.9 | 3.1 |
| Japan | 5.5 | 4.7 | 6.2 | 5.7 | 7.4 | 10.4 | 3.8 | 4.4 | 2.1 | 3.3 |
| Germany | 2.1 | 1.4 | 11.3 | 9.4 | 13.2 | 15.5 | 10.3 | 10.6 | 1.3 | 1.2 |
| France | 2.1 | 1.7 | 5.4 | 6.4 | 18.7 | 20.8 | 12.6 | 12.4 | 2.7 | 4.3 |
| Italy | 2.4 | 4.0 | 7.0 | 10.8 | 11.7 | 14.8 | 7.5 | 10.6 | 1.1 | 2.3 |
| United Kingdom | 2.9 | 3.8 | 10.8 | 9.3 | 7.4 | 6.2 | 10.3 | 12.7 | 4.2 | 3.9 |
| Canada | 3.7 | 3.3 | 10.9 | 13.9 | 3.4 | 6.0 | 9.9 | 8.7 | 3.3 | 4.2 |
| Average OECD | 2.5 | 3.1 | 10.5 | 10.1 | 8.1 | 10.1 | 9.9 | 11.7 | 1.8 | 2.2 |
| Average G7 | 3.1 | 3.1 | 8.9 | 9.5 | 9.7 | 11.5 | 8.4 | 9.2 | 2.5 | 3.2 |

*Source:* OECD Revenue Statistics.

taxpayers in the 1999 Budget. This latest threshold increase helps to partly offset the lack of indexation of the personal income tax system.

– The 1998 Budget began the process of eliminating the 3 per cent income surtax by providing complete relief for income earners up to around C$ 50 000 and reductions for those with incomes between C$ 50 000 and about C$ 65 000. This surtax, first introduced in 1986 as a temporary measure to help reduce the fiscal deficit at the time, was eliminated altogether in the 1999 budget, resulting in a reduction in marginal tax rates for all Canadians and thus helping to increase economic efficiency. The latest budget also proposed to increase the Canada Child Tax Benefit, paid to modest and middle-income families.

Although these are seemingly small adjustments, taken together they provide tax relief of C$ 3.9 billion in 1990/2000, C$ 6 billion in 2000/2001 and C$ 6.6 billion in 2001/2002 (or more than ½ per cent of GDP in the third year). Indeed, any significant tax reduction, particularly on personal income levels, is a costly undertaking, the extent of which is highlighted in Table 13. For instance, a 1 percentage point reduction in each of the three marginal tax rates would amount to an estimated revenue loss of more than C$ 3.7 billion annually (⅓ per cent of GDP). Given the government's commitment to balance the budget, this means that – in the absence of further cuts to programme spending – prospective tax relief will necessarily be modest. Even so, there is a strong case to be made for placing greater emphasis on reducing the tax take, rather than increasing expenditures in the period ahead.

In this regard, perhaps the highest priority should be placed on reducing personal income taxes, both the relatively high marginal and average tax rates faced by Canadians (compared with the United States), and raising the thresholds for which each of the three marginal tax rates kicks in. These measures would lead to efficiency gains for the economy, through improved investment, labour supply and savings incentives, help offset the lack of past non-indexation, and reduce pressures on the tax base or of the so-called "brain drain" to the United States. In the latter case, while taxation no doubt plays a role in the decision to migrate, the importance of other factors should not be discounted. In the case of Canadians contemplating a move south of the border, these could include the potential for higher incomes, better employment and career opportunities, and access to better resources (medical and scientific equipment, research grants).

The absence of full indexation for inflation has meant "bracket creep", whereby tax liabilities rise simply because an increase in nominal incomes causes a larger proportion of incomes to fall into higher tax brackets. As noted in previous surveys, the lack of full indexation has pushed around 20 per cent of tax filers into higher tax brackets over the past ten years, resulting in increasing average tax rates at all income levels (although proportionately more for low- and middle-

Table 13. **Fiscal costs of tax and premium rate reductions**

Full-year impact estimates for 1999, C$ million

| | Cost of change |
|---|---|
| **Personal income tax** | |
| **C$ 100 tax reduction for all taxpayers**[1] | 1 450 |
| **C$ 100 increase in amounts used to established selected credits** | |
| Basic personal amount | 250 |
| Married/equivalent-to-married amount | 40 |
| **Federal surtaxes** | |
| Reduction by 1 percentage point of the general 3% surtax[2] | 350 |
| Reduction by 1 percentage point of high-income 5% surtax[3] | 130 |
| **Reduction in marginal tax rates (per percentage point)**[4] | |
| Lowest rate (17%) | 2 060 |
| Middle rate (26%) | 1 100 |
| High rate (29%) | 570 |
| 1 percentage point reduction in each rate | 3 730 |
| **C$ 100 increase in base benefit under Canada Child Tax Benefit**[5] | 600 |
| **C$ 100 increase in GST credit for a family of four**[6] | 505 |
| **Restoring index of tax parameters**[7] | |
| Total impact: | |
| Year 1 | 840 |
| Year 2 | 1 690 |
| Year 3 | 2 550 |
| Year 4 | 3 410 |
| Components | |
| Personal credits and tax brackets: | |
| Year 1 | 610 |
| Year 2 | 1 215 |
| Year 3 | 1 825 |
| Year 4 | 2 435 |
| Canada Child Tax Benefit (CCTB): | |
| Year 1 | 160 |
| Year 2 | 325 |
| Year 3 | 495 |
| Year 4 | 665 |
| Goods and services tax credit (GSTC): | |
| Year 1 | 80 |
| Year 2 | 160 |
| Year 3 | 245 |
| Year 4 | 330 |
| **Employment Insurance Premiums** | |
| **5-cent reduction in employee-rate/7-cent change in employer rate (combined change)** | |
| Employee 5-cent reduction[8] | 145 |
| Employer 7-cent reduction[8] | 205 |
| Total | 350 |

Table 13. **Fiscal costs of tax and premium rate reductions** *(cont.)*

Full-year impact estimates for 1999, C$ million

| | Cost of change |
|---|---|
| **Business income tax** | |
| **1-percentage-point reduction in rates:** | |
| All rates | 780 |
| Selected rates | |
| General rate (excluding M&P and small business income) | 375 |
| M&P rate | 220 |
| Small business rate | 185 |
| **1-percentage-point change in the 4% surtax**[9] | 145 |
| **0.025-percentage-point change in the large corporations tax**[10] | 170 |
| **Sales tax** | |
| **1-percentage-point change in GST**[11] | 3 000 |
| **1-cent-per-litre change in motor and aviation fuels** | 620 |
| **1-per-cent change in excise duties on:** | |
| Spirits | 5 |
| Beer | 5 |
| Wine | 1 |
| Tobacco | 20 |

1. Non-refundable.
2. The general 3% surtax was eliminated for all taxpayers earning less than C$ 50 000 and reduced for those with incomes between C$ 50 000 and C$ 65 000 in the 1998 budget. The cost refers to the remainder of the surtax.
3. Currently applies on basic federal tax in excess of C$ 12 500 on an income level of about C$ 65 000.
4. 17% rate applicable to taxable incomes up to C$ 29 590; 26% rate applicable to taxable incomes from C$ 29 591 to C$ 59 180; 29% rate applicable to taxable income from C$ 59 181 and up.
5. Current credit value of base Canada Child Tax Benefit (CCTB) is C$ 1 020.
6. Current credit value of goods and services tax credit (GSTC) depends on family type:
   – C$ 199 for the filer and spouse or equivalent-to-spouse; and
   – C$ 105 for each child.
7. Estimates assume 1.5% annual inflation. Impacts are cumulative.
8. Employers pay 1.4 times employee premium.
9. On basic 28% federal corporate tax.
10. Current rate of 0.225%.
11. No change to GSTC.

*Source:* Department of Finance, Canada, "The Economic and Fiscal Update", 1998.

income individuals). Although adopting full indexation at once would be costly (see Table 13), some moves in that direction should begin to be made.

Although payroll taxes (Employment Insurance Premiums) have declined over the past several years – from C$ 3.07 per C$ 100 of insurable earnings to C$ 2.55 in 1999 – their reduction could also be accelerated: to bring the revenues from this tax more into line with the benefits paid-out, allowing a sufficient margin to assure funding of EI over the business cycle (at present the EI programme generates a considerable surplus); to reduce the potential for any adverse effects on employment, in order to partially offset the contribution increases implemented as part of the reform of the Canada Pension Plan; and to ease the problem that arises from the fact that the use of EI premiums to support general

federal revenues is troublesome for the provinces since it involves the use of a federal social security programme as a revenue source.

On the business tax side, the *Technical Committee on Business Taxation* issued a report in 1997 that identified a number of deficiencies which the federal government (and the provinces) are now studying. These include: corporate income tax rates above US levels; distortions caused by differences in tax rates across sectors; deficient international tax rules that effectively subsidise out-bound investment to the detriment of domestic investment; high capital taxes; and the growing erosion of the corporate tax base due to planning techniques that result in otherwise taxable profits flowing through non-taxable entities. The government needs to begin to address business tax issues and to engage the provinces in the process, including action to reduce taxes as quickly as fiscal resources permit. Important steps in this respect would include a gradual reduction in federal business income tax rates and fixing the deficiencies in international tax rates, as well as a review by the provinces of both the level and structure of their income and capital taxes.

### *Public sector*

The move to rein in public spending since the government took office in 1993 has been accompanied with a drive to raise their quality. Over the fiscal years 1993/94 to 1998/99, the ratio of total federal programme spending-to-GDP declined from 16.6 to 12.6 per cent, despite recent expenditure initiatives (see Chapter II). Such a reduction was initially directed by a Programme Review, which resulted in the following accomplishments:

- The elimination of programmes deemed no longer necessary, notably business and transportation subsidies.
- The hand-over to provincial responsibility of activities which can be dealt with more efficiently and effectively at the regional level, such as social housing and labour market training.
- The privatisation or commercialisation of a large number of businesses which could best be provided by the private sector such as the air navigation system, Canadian National Railways, and government interests in natural resources, shipping and communications.
- In an effort to increase both the transparency and accountability of the use of public resources, the federal government has established an *Improved Reporting to Parliament Project* which promotes the development of performance measures for each department. This should enable them to assess the impact of policies and procedures; it should also help provide criteria to evaluate whether or not they are achieving their expected results (see Box 1 for an example of this approach of performance measurement).

## Box 1. Industry Canada's performance measurement

In 1998, Industry Canada addressed the need for corporate-level performance information by developing frameworks for each of its five strategic areas. These are:

- Innovation: improving Canada's innovation performance and the transition to a knowledge-based economy.
- Connectedness: making Canada the most "informationally"connected nation in the world.
- Marketplace: building a fair, efficient and competitive marketplace.
- Investment: improving conditions for investment in the Canadian economy.
- Trade: working with Canadian companies to increase Canada's share of global trade.

The Box Table provides a summary of the expected results in these key areas as well as highlighting the measure to judge policy and programme performance. While some of the results are themselves difficult to estimate, the emphasis being placed on outcomes is to be welcomed. This should help to lift the quality of public policy and programmes by making transparent what works, and what does not (although there may be disagreement among stakeholders about the appropriate indicators to compare). Nonetheless, it should also be made clear over what time frame these results are expected to be achieved – an element which needs greater attention in Industry Canada's implementation of performance measurement – in order to set realistic expectations, and to give an indication of when policies might need to change course to improve performance.

**Industry Canada: a summary of priorities and expected results**

| Key commitment | Expected results | Performance indicators |
|---|---|---|
| Innovation | Increased recognition of innovation as a critical success factor by organisations in all sectors | Increase in university resources devoted to commercialisation |
| | | Increase in domestic expenditure on R&D as a percentage of GDP |
| | Expanded knowledge base, especially in fields with good opportunities for early application | Increase in the number of patent applications by Canada-based researchers |
| | | Increase in the number of scientific/ technical publications by and citations to Canadian or Canada-based researchers |
| | Accelerated commercialisation and adoption of innovative processes and products by Canadian organisations | Increase in Canadian business's domestic expenditure on licensing technology and for the acquisition of intellectual property |
| | | Increase in the rate of adoption of new technologies by Canadian organisations in all sectors of the economy |
| Connectedness | Canadians connected to each other and to the world in a way that is affordable and accessible | Percentage of Canadians with Internet access |
| | | Percentage of households with Internet access |

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*(continued)*

| | | |
|---|---|---|
| | A world-leading environment for electronic commerce<br>Canadian digital content and applications on-line maximised | Percentage of schools, libraries and communities with Internet access<br>Percentage of businesses with Internet access<br>International ranking of Canada's infrastructure<br>Canada's dollar, share of global electronic-commerce revenues, and growth rate<br>Business recognition of electronic commerce as a critical success factor<br>Quantity, quality and type of content produced (on-line courses, digitised collections, software, animation, new media, government information and so on)<br>Canadian dollar and percentage share of global market |
| Marketplace | A fair, efficient and competitive marketplace framework created and maintained for businesses, consumers and investors<br>Behavioural change induced so that the marketplace operates in accordance with the framework statutes, regulations, policies and procedures<br>Confidence instilled that the marketplace is fair, efficient and competitive | Perception of businesses, consumers and investors that frameworks are effective in a globally competitive marketplace<br>Location of choice for investment by businesses committed to innovation |
| Investment | Improved domestic and international investment climate<br>Increased awareness of Canada as an investment location of choice<br>Increased attraction and retention of multinational investment in Canada<br>Increased investment by SMEs and by Aboriginal businesses | *World Competitiveness Report* ratings<br>The extent to which Canadian direct investment abroad is protected by bilateral/regional/multilateral trade and investment treaties<br>Foreign barriers to investment reduced<br>Attitude and behavioural change towards investing in Canada<br>Re-investment by multinationals operating in Canada<br>Investment flows by country of origin and industry |

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| | | |
|---|---|---|
| | | Canada's share of FDI flows to North America |
| | | Number of alliances and partnerships formed |
| | | Investment, job creation, profit trends by sector |
| | | Number of supported businesses still operating profitably after two years |
| | | Number of supported or assisted businesses that grew or added employees after two years |
| Trade | Secure market access maintained and improved | Progress toward the opening of markets |
| | | Resolution of trade irritants |
| | Export capability and preparedness internationally competitive and export-oriented industries and firms | Reduction of trade barriers |
| | | Number of Team Canada Inc. partners |
| | | Number of partners actively contributing to Team Canada Inc., Regional Trade Networks, regional trade plans, Trade Team Canada Sectors and the Canadian Tourism Commission |
| | International market development – increased exports of Canadian goods and services | Number of export-ready firms, particularly SMEs (target of 6 250 new export-ready SMEs by 2000-01) |
| | | Number of new exporters (target of 5 000 new exporters by 2000-01) |
| | | Business generated by the International Business Opportunities Centre |
| | | Client use of services |
| | | Market share in key priority and emerging markets |

*Source:* Industry Canada, *Part III Report on Plans and Priorities, 1999-2000 estimates.*

In addition to the Programme Review, the authorities undertook a fundamental reform that changed the nature of its transfer programmes. In 1996, a new block-funded transfer, the *Canada Health and Social Transfer* (CHST), combined and replaced the previous measures used to help finance provincially-provided social programmes, health care and post-secondary education. While provinces raise significant revenue in their own right, the CHST ensures that these important programmes are adequately funded and upholds certain principles (for example, in the case of health care, those of universality, comprehensiveness, accessibility, portability and public administration; and that there be no minimum period of

residency required to receive social assistance). As a share of all federal transfers to the provinces, CHST accounts for more than two-thirds, at around C$ 26 billion at present. The motivation for the reform of these transfers was twofold: to introduce cost savings/controls by removing a perverse feature of cost-sharing through which the federal government contributed 50 per cent to all eligible programme expenditures made by the provinces, thus creating potential for over-spending (although there were caps on growth imposed on the "richer" provinces); and, in providing block funding, to provide provinces with greater flexibility in allocating resources in the manner which they deem desirable.

Starting in 1996/97, transfers under the previous arrangements and the CHST declined in aggregate and there were complaints from the provinces that such retrenchment has led to a deterioration of the quality of higher education and health care, in particular. The 1999 Budget proposes to address this issue with a boost in the CHST which will see it rise above past levels in five years time (at over C$ 31 billion). To be specific, in each of the next two years, provinces will receive an additional C$ 2 billion which is targeted specifically for health care (and will be allocated on an equal per capita basis), and this will rise to C$ 2.5 billion in each of the following three years. This increase in funding is being provided to address immediate concerns of Canadians about hospital waiting lists, and crowded emergency rooms and diagnostic services. While this increase in health care spending will help to alleviate short terms pressures, longer-term policy reforms to the health care system ought to be considered, with a view to making the sector more efficient and effective. Such reforms might address the following issues: looking at alternative ways to finance hospitals to control costs; introducing greater competition as a means to improve efficiency, for example, by allowing greater scope for funding to follow patients and flow to private sector health providers where they can deliver services at greater cost efficiency; and, perhaps, through greater use of user-part charges (insofar as these would not violate principles of universality and accessibility).

In February 1999, the federal government and all of the provinces and territories (except Quebec) signed a *Social Union Framework Agreement*. This agreement has seven key elements:

1. *Principles*: A set of principles which state that Canada's "social union should reflect and give expression to the fundamental values of Canadians – equality, respect for diversity, fairness, individual dignity and responsibility, and mutual aid and our responsibilities for one another".
2. *Mobility within Canada*: To ensure the free mobility of Canadians across the country, and the commitment not to erect new barriers to that mobility and to review and eliminate existing barriers to that mobility.

3. *Informing Canadians – public accountability and transparency*: To strengthen the social union through such measures as sharing information, monitoring and reviewing outcomes, making regular reports on the performance of social programmes and making eligibility criteria and service commitments publicly available.
4. *Working in partnership for Canadians*: Allowing for joint planning and collaboration, reciprocal notice and consultation prior to implementing new policies or making fundamental changes to existing ones.
5. *The federal spending power – improving social programmes for Canadians*: A number of commitments made by the federal government to: ensure funding predictability; work collaboratively with all provincial governments; not introduce new inter-governmental transfer programmes without the agreement of the majority of provinces; and to promote equality of opportunity, mobility and other Canadian-wide objectives.
6. *Dispute avoidance and resolution*: Work to avoid disputes through information sharing, joint planning and collaboration, and to allow maximum flexibility to resolve disputes in a non-adversarial way.
7. *Review of the Social Union Framework Agreement*: By the end of the third year of the agreement, jointly undertake a review of its implementation and make adjustments where appropriate.

The Agreement applies broadly to social policies and programmes and should be seen as offering governments an instrument for better managing their interdependence in this area. In economic terms, it might also be seen as a potentially valuable tool both for controlling the costs of these expenditures and in raising their quality. This could take place through the need to consult and to collaborate on new initiatives, greater accountability through the monitoring and measuring of outcomes, and providing provinces and territories the flexibility they need to respond to regional circumstances, within a framework of agreed-upon and shared principles and objectives.

## Ongoing issues

Economic reforms have begun to produce results. As discussed in Chapter I, the structural rate of unemployment appears to have declined, and the latest estimates of the growth of total factor productivity (TFP), which are based on revised national accounts and capital stock data, show a somewhat better performance than reported previously (see Box 2 and Annex I). Moreover, they also point to some improvement in recent years, which is encouraging as it might indicate some pay-off from structural reform since the mid-1980s. With corresponding US estimates having been revised downward in the meantime,[15] Canada seems to have fared better by international comparison in terms of TFP

## Box 2. Canada's productivity performance

One of the most important determinants of the standard of living is productivity, which is a measure that attempts to capture the efficiency of productive inputs (capital, labour, raw materials, energy) and technical progress. However, productivity is difficult to evaluate both in conceptual and practical terms, and the main methods for calculating it each contain their share of estimation problems and measurement errors.[1] There is therefore no single-best productivity measure. Annex I provides a detailed discussion of the sources and methodology underlying both the OECD Secretariat's and Statistics Canada's productivity calculations.

Measuring labour productivity is relatively uncontroversial and estimates of its rate of change from both the OECD and Statistics Canada are very similar (Box Table, Panel A). This is not the case, however, for total factor productivity (TFP) which is viewed as the most comprehensive measure, as it attempts to capture the growth in output not accounted for by increases in factor inputs. Here, there are significant differences between the two measures calculated by the OECD Secretariat[2] and that of Statistics Canada; given the similarity in labour productivity growth, this implies that the major discrepancies fall on the capital side (Box Table, Panel B)

In March, Statistics Canada released TFP estimates that reflected both an updating of the capital stock data (the base year was updated from 1986 to 1992) as well as revised and updated national accounts.[3] These new estimates suggest that productivity performance has been somewhat better than previously thought. Statistics Canada

**Productivity measures for Canada**

| | Percentage changes at annual rates | | |
|---|---|---|---|
| | 1973-79 | 1979-88 | 1988-97 |
| **Panel A: Labour productivity** | | | |
| Statistics Canada (business sector) | 1.5 | 1.0 | 1.1 |
| OECD | | | |
| ADB (business sector) | 0.5 | 1.1 | 0.9 |
| ISDB (total industries) | 0.8 | 1.0 | 0.9 |
| **Panel B: Total factor productivity[1]** | | | |
| Statistics Canada (business sector) | 0.6 | 0.5 | 0.7 |
| OECD | | | |
| ADB (business sector) | 0.4 | 0.2 | 0.1 |
| ISDB (total industries) | 0.2 | 0.5 | 0.4 |

1. Total factor productivity growth is defined here as the weighted average of the growth in labour and capital productivity (and in the case of Statistics Canada, combined inputs as well), which is equivalent to defining it as the difference between the growth of output and the growth of the weighted average of labour and capital inputs. Caution should be used in interpreting the figures across the various sources, given differences in the definitions and methodology used to calculate the estimates. For more details see Annex I.

*Source:* Statistics Canada; Analytical Data Base (ADB), OECD Economics Department; and International Sectoral Data Base (ISDB) 1999, OECD Statistics Directorate.

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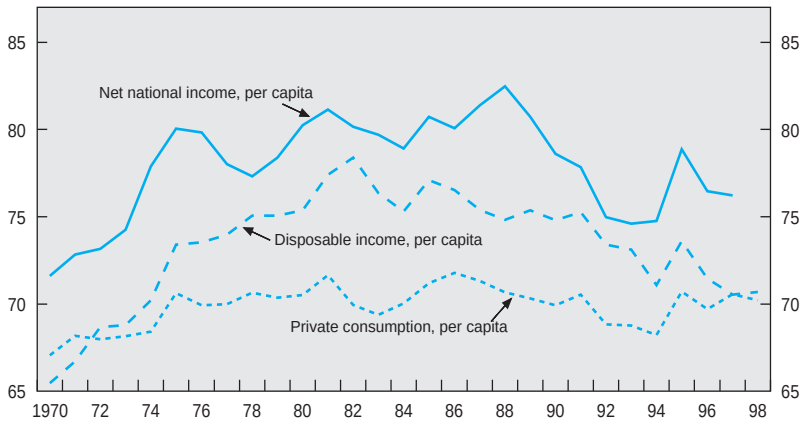
data show that business-sector TFP surged to 2.9 per cent in 1997, following growth of only 0.1 per cent in 1996. From a longer-term perspective, TFP increased by 0.7 per cent per annum over the period 1988-97, compared with 0.5 per cent between 1979-88. In comparison with the Statistics Canada figures, both OECD measures show less favourable productivity performance over the two periods noted above but also better outcomes than estimated previously. *However, given the wide margins of uncertainty surrounding productivity calculations, these differences are probably not statistically significant (if account is taken of the various definitions used).*

The revised Statistics Canada figures are, nevertheless, encouraging, as they might be evidence of the long-expected pay-off of structural reform since the mid-1980s. However, this does not change the conclusions of last year's OECD *Canada Survey*:

– While *productivity growth* appears to have been better in Canada than anticipated, there continues to be a wide gap in *productivity levels* compared with the United States, Canada's most important economic partner. This gap is reflected in a substantially lower standard of living in Canada, relative to the United States (see Box Figure, which presents various relevant indicators). If productivity growth does not improve further, this relative income gap will be slow to close.[4]

**Measures of standard of living (relative to the United States)**

United States = 100, at current prices and current PPPs




*Source:* Statistics Canada; OECD, *National Accounts.*

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– At the aggregate level (business sector), the updated data show that Canadian firms have kept pace with their American counterparts in terms of productivity growth since the early 1970s. However, in the manufacturing sector, productivity growth in Canada is probably lagging behind that of the United States. (Statistics Canada attributes this relatively poorer performance to the greater importance of computer-related manufacturing in the United States than in Canada, where there has been enormous productivity growth.) Given the potential for technological catch-up or convergence, particularly in manufacturing, and structural reforms affecting this sector (replacement of the manufacturing sales tax with the Goods and Services Tax; free trade with the United States and Mexico; and de-regulation), a rather better Canadian performance might have been expected.

1. For a review of the measurement issues see, OECD, *Industry Productivity: International Comparison and Measurement Issues*, OECD Proceedings, Paris, 1996. In addition, the OECD is in the midst of compiling a manual on productivity measurement, which will describe different ways of undertaking such calculations, as well as elaborating on the strengths and weaknesses of the various approaches used in practice. This manual will be completed next year.
2. One OECD measure is calculated using its Analytical Data Base, the other using its International Sectoral Data Base. The former gives an estimate of aggregate productivity while the latter calculates total factor productivity at the level of an individual industry.
3. The base year for the national accounts has been updated from 1986 to 1992 and the capital stock has been re-estimated, leading to a lower level of capital. See Statistics Canada, *The Daily, March 23, 1999*.
4. While productivity growth and the standard of living are highly correlated over the long term, the two can diverge over the short term for a number of reasons, including the impact of taxes and changes in the employment/population ratio, which will affect income growth.

growth than thought before, except for the manufacturing sector where US performance appears to have been superior. Any such estimates should, however, be interpreted with considerable caution, given the different sources, definitions and methodologies underlying them. What can be said with a reasonable degree of confidence is that, on balance, and given the size of the confidence intervals around estimates of total factor productivity *growth*, Canadian business sector performance in this respect is likely to have been on par with that of the United States over the past two decades or more. However, Canadian manufacturing sector performance is likely to have been less robust than that of the United States over the past decade or so, in large part because of the greater importance of the relatively high-productivity growth in computer-related manufacturing in the United States. At the same time, Canada continues to lag the United States in

terms of the *level* of productivity. This gap is reflected in various measures of the standard of living (see Figure in Box 2) which are 20 to 30 per cent below corresponding US levels.

Thus, a number of medium- to longer-term structural policy challenges remain in Canada, as highlighted in last year's Survey:

- Rolling back the relatively high average tax burden and lowering high marginal tax rates for both individuals and businesses.
- Initiate a restructuring of the business tax system to remove deficiencies, both at the federal and provincial levels.
- Augmenting the future supply of labour.
- Devoting ongoing attention to upgrading the skills and training of the labour force and for those with little previous attachment, as well as encouraging innovation.
- Bolstering the mobility of productive resources and of goods and services across provinces.
- Maintaining wide and secure access to world markets.
- Creating policy settings to accommodate the changing nature of competition in various sectors in response to globalisation and rapid developments in information and communications.

Recent measures address to some extent these ongoing issues, in particular: the start of general tax relief in the 1998 Budget which is continued in the one for 1999; making commitments (through the Social Union Agreement) to freeing labour mobility; and implementing policy measures to increase competition in the financial sector. But additional efforts are still needed in some areas. Over the medium term, the following appear to be areas of high structural policy priority for Canada:

- Dealing with unfinished business in the context of the OECD *Jobs Strategy*, including: looking further into experience-rating of EI benefits and their ongoing differences in its regional generosity; completing the negotiations with Ontario for the hand-over of active labour market programmes as is now done for the rest of the provinces and territories; adopting an age-grading scale for the application of minimum wages; and moving to implement the labour mobility provisions of the Agreement on Internal Trade.
- Tilting the balance toward growth-promotion, in the context of ongoing fiscal surpluses and, in this respect, considering more substantial adjustments to tax policy such as: cutting taxes further at the personal level and raising the threshold at which each of the three marginal tax rates kicks in; making a start toward complete indexation of personal income taxation; lowering EI premiums at a much faster rate; and, together with the provinces, lowering taxes on business to more

internationally comparable levels as well as addressing structural deficiencies in the business tax system that undermine the incentive to invest in Canada.

– Working much harder to fulfil the commitments laid out in the Agreement on Internal Trade (and in several respects strengthened in the Social Union Framework) to achieve free trade within Canada. Since 1995 much has been made about the value of such an agreement but, in practice, the full benefits are likely being denied given the slow implementation record so far.
– Aiming at further financial sector reform. Although the government rejected the proposed bank mergers that would have substantially altered the landscape of Canada's financial sector, it announced, at around the same time, wide-ranging reforms that would nonetheless significantly re-shape the future environment. The broad nature of these reforms is due to be announced by mid-year with specific details to be released by year end. The authorities are urged to keep to this schedule. It is hoped that such reforms will be pushed forward quickly and include: the relaxation of ownership restrictions in the banking sector; enhancing competition in the sale of insurance products and auto leasing; creating competitive pressures across institutions through, for example, extending the reach of credit unions; harmonising federal and provincial regulations in this sector; and allowing wider access to the Canadian Payments System for all (appropriately regulated) financial institutions.

# Notes

1. Nine areas were highlighted in the *Jobs Strategy*. The other four areas include: enhancing the creation and diffusion of technological know-how; increasing flexibility of working-time; nurturing entrepreneurship; and reform of employment security provisions.
2. See *OECD Economic Surveys: Canada*, Annex I, 1996 for estimates of the structural rate of unemployment in Canada in the mid-1990s.
3. See *OECD Economic Surveys: Canada, 1996* for details.
4. Canada does not experience rate employers' premiums although it could consider this option as it decides on the appropriate level of their contributions. Moreover, it should be noted that with, the ongoing decline in EI premiums, the window for introducing any greater experience rating is closing, since as the payroll tax falls, it reduces the scope for cross-subsidisation of the programme across heavy and light users of the system.
5. See for example, *OECD Economic Surveys: New Zealand*, 1999.
6. See Box 1 in *OECD Economic Surveys: Canada*, 1998, Paris, for more details.
7. These included four of the five largest (mutual) life insurance companies, including: the Mutual Life Assurance Company of Canada; the Manufacturers Life Insurance Company; Sun Life Assurance Company of Canada; and the Canada Life Assurance Company.
8. These foreign bank branches will be permitted to offer commercial banking and broader lending services, but will not be permitted to take retail deposits (which are defined as deposits of less than C$ 150 000). However, the option of setting up a separate, fully regulated, bank subsidiary remains open to foreign banks that wish to take retail deposits in Canada.
9. The Royal Bank of Canada (second largest commercial bank by total assets) proposed a merger with the Bank of Montreal (third) in January 1998, while the Canadian Imperial Bank of Commerce (first) proposed a merger with the Toronto-Dominion Bank (fifth) in April 1998.
10. Canada has initiated six complaints and responded to nine challenges under the World trade Organisation's dispute settlement mechanism; it has also joined 30 disputes as a third party in order to defend certain principles or complementary interests that may be raised. For details, see World Trade Organisation, *Trade Policy Review: Canada*, 1999, Geneva.
11. The central issue revolved around so-called split-run magazines, which is a Canadian edition of a magazine published originally in another country that has basically the same content as the original but replaces more than 5 per cent of its original advertisements with ads targeted at Canadians. Producers of split-run publications cover

the cost of production through sales and advertising in their own market. They compete for Canadian advertising revenues with Canadian-produced publications which need the advertising income to cover their production costs.

12. At present, Canada uses an array of instruments to encourage and to protect Canadian cultural products in the domestic marketplace. These instruments include: financial and programme incentives; content requirements and other regulatory support; tax measures; rules concerning foreign investment and ownership; and measures to protect intellectual property.

13. The Cultural SAGIT is one of fourteen SAGITs covering a large number of sectors and industries originally established during the negotiation of the Canada-US Free Trade Agreement. These bodies provide a forum for private sector advice to the government on trade policy formulation and issues.

14. For details see Cultural Industries Sectoral Advisory Group on International Trade, Canadian Culture in a Global World: New Strategies for Culture and Trade, 1999.

15. Bureau of Labour Statistics, *News Release, Multifactor Productivity Trends, 11 February 1999*.

*Annex I*

# Measuring productivity

One of the most important determinants of the standard of living over the medium to longer term is productivity, which is a measure that attempts to capture the overall efficiency of input (capital, labour, intermediate inputs) use. However, productivity is difficult to measure both in conceptual and practical terms, and the main methods for calculating it each contain their share of estimation problems and are subject to measurement errors regarding the inputs.[1] There is also no single-best productivity measure, although total factor productivity is the most comprehensive one, as it attempts to capture the increase in output not accounted for by increases in factor inputs. The purpose of this annex is to set out the various issues involved in productivity measurement to elaborate on the OECD Secretariat's two methods of calculating total factor productivity and to compare the results of these methods for Canada with that estimated by Statistics Canada.

## The concept of total factor productivity

Growth in total factor productivity (TFP) is typically estimated as the difference between the growth in output and the growth in the weighted average of labour and capital inputs. Underlying this calculation is an assumption that production technology is appropriately represented by a Cobb Douglas production function, where the weights attached to each input correspond to their shares in total income or total costs.[2]

### *Labour and capital productivity*

Probably the most widely quoted measure of productivity is labour productivity, which is defined as the ratio between output and labour inputs. The most common measure of labour input, since it is readily available, is the number of employed persons. A more precise way to capture labour input, however, is to consider total hours worked, which takes into account changes in the shares of full-time and part-time workers or other factors that induce changes in the average work week. In addition, the input can be adjusted to reflect differences in the quality of labour, since, when there is up-skilling of the labour force, a quality-adjusted labour input would rise more rapidly than more simple measures of such a variable. However, a full quality adjustment poses significant data requirements and is therefore rarely implemented, particularly in conducting international comparisons.[3] Nevertheless, while several adjustments can be made to the definition of the labour input, there are fewer conceptual and measurement issues than for the capital stock.

Capital productivity is given by the ratio between output and the capital stock. The broadest measure of the latter is the *gross capital stock*, which is the value of capital assets at their "as new" prices in the current year (gross capital stock at current replacement cost) or in some base year (constant replacement cost). Several important assumptions are made

when calculating the gross stock, including not only how its value should be measured, but also how long an individual asset is expected to remain in the capital stock (its service life) and, once its estimated service life is over, how the asset will be removed (or retired) from the stock (sometimes referred to as the scrapping rate).[4]

The *net capital stock* provides another measure of the value of producers' assets. It is derived from the gross capital stock by subtracting accumulated depreciation, which is the decline in the current value of the stock of physical assets as a result of physical deterioriation, normal obsolescence or normal accidental damage.[5] The net stock also requires an explicit assumption about how the efficiency of assets declines as they age.

### *Different ways of calculating TFP*

Since total factor productivity is a constructed measure, the analytic task at hand typically influences its estimation. It is often measured for individual industries, for example automobiles, telecommunications or transportation, using data specific to the sector, *i.e.* employment, value added, capital stock and inputs purchased from other industries. The industry level, where establishments with similar activities are combined, is a natural starting point for TFP measurement, which requires the existence of a common production function. Productivity in a number of different sectors can then be aggregated to get a *bottom-up* estimate of overall productivity.

For the purpose of projecting future performance, however, macroeconomists, in contrast, usually take a *top-down* approach to the estimation of productivity. The focus here is on aggregate developments with a view to examining not only past overall productivity growth, but its future evolution, given its key role in influencing potential output, and ultimately future developments in a country's standard of living. Since econometric forecasting models are typically aggregate by nature – based on national accounts concepts – the measures of TFP that are calculated for use in these models are necessarily aggregate in nature as well. Structural shifts in the economy may thus cause some divergence between the historical estimates derived from this approach and those derived from a bottom-up approach. With consistent treatment of the data, however, such deviations should not significantly affect trend estimates, leaving policy implications similarly unaffected.[6]

In sum, a word of caution is clearly in order when examining any productivity calculation, given the complexities involved in such work; the changing structure of modern economies with the move towards services where measurement issues are less well understood; and the growing importance of high-tech products along with the need to account for quality changes in the output of this sector.

## Canadian productivity indicators calculated by Statistics Canada and the OECD Secretariat

### *Statistics Canada*

Statistics Canada measures both labour productivity and overall-productivity for the business sector based on a detailed analysis of developments at the industry level, using a *bottom-up* approach.[7] According to the *Canadian System of National Accounts*, the business sector "encompasses that group of transactors who produce goods and services for sale at a price which is calculated to cover costs and yield profit". The thirteen S-level (or small level) industries included in the calculation are shown in Table A1 (the actual number of

Table A1. **Statistics Canada: business sector coverage**

| S codes | Industry title |
|---|---|
| 1 | Agricultural and related services industries |
| 2 | Fishing and trapping industries |
| 3 | Logging and forestry industries |
| 4 | Mining, quarrying and oil well industries |
| 5 | Manufacturing industries |
| 6 | Construction industries |
| 7 | Transportation and storage industries |
| 8 | Communication industries |
| 9 | Other utility industries |
| 10 | Wholesale trade industries |
| 11 | Retail trade industries |
| 12 | Finance, insurance and real estate industries |
| 13 | Community, business, personal services industries |

*Source:* *Aggregate Productivity Measures 1993,* Statistics Canada.

industries included in the calculation is considerably larger, making use of detailed sub-industry level data). The data series include:

- GDP at factor cost by industry (constant price 1992), which excludes government royalties on natural resources and rents of owner-occupied dwellings.
- Labour input represented by total hours worked, which is defined as the sum of hours spent at the place of employment by persons at work (and therefore differs from a measure of hours paid by excluding vacation time, holidays, time lost due to illness, accidents etc.).
- Capital stock figures at a more disaggregated level than published in the *Fixed Capital Flows and Stocks* series, which embody a geometric pattern of depreciation, thus deriving a *net* capital stock series.
- Labour and capital shares, which reflect the actual weights at the sub-industry level.

### *OECD Analytical Data Base*

The OECD Secretariat calculates one of its measures of business sector productivity using a *top-down* approach, with a view of the economy based on a Cobb-Douglas (constant returns to scale) production function. Data for the calculation are drawn from the Analytical Data Base (ADB), which is the primary data source used in *OECD Country Surveys* and underlying the projections in the *Economic Outlook*. The main input for ADB is the national accounts of Member countries (in this case coming from Statistics Canada), and the data are adjusted both to ensure consistency with the INTERLINK macroeconometric model and comparability across OECD countries.

The variables and their definitions used to calculate the partial and total productivity measures using ADB include (ADB mnemonics):

GDPBV = real gross domestic product at factor cost, business sector; that is, real GDP minus real government wages (CGW/PCGW), net direct taxes (NITV), and government consumption of fixed capital (CFKG/PIG).

ETB = business sector employment; that is, total employment (ET) minus government employment (EG).

KBV = business sector capital stock; that is, for Canada, total of all industries less federal government services, provincial and territorial government services, local government services, elementary and secondary education sector, post-secondary non-university education sector, university education sector, and hospitals. The ADB capital stock measure, based on a perpetual inventory method, uses the national accounts volume series on private non-residential investment at 1992 prices to construct a gross capital stock series.

WSSE = compensation per business sector employee; that is (WSSS- CGW)/EEP, where WSSS is total compensation of employees, CGW is compensation of government employees, and EEP is dependent employment of the business sector [total employment (ET) minus self-employment (ES) minus government employment (EG)].

w = labour share of national income; that is, average of ((WSSE*ETB)/(PGDPB*GDPBV)) during the period 1960-1997, and where PGDPB is the gross domestic product, business sector deflator.

Thus, labour productivity is given by the ratio GDPBV/ETB and capital productivity by GDPBV/KBV. Total factor productivity can then be measured using a Cobb-Douglas production function framework:

$$TFP = [GDPV/ET^{w}*KBV^{(1-w)}].$$

Standardised (that is, common to all OECD economies) labour share (w) weights are used (currently 0.7, implying 0.3 for capital).

### *OECD International Sectoral Data base*

The International Sectoral Data base (ISDB), also used by the OECD Secretariat, was created for sectoral analysis and international comparisons at this level. However, the data can also be aggregated, using a *bottom-up* approach to calculate a measure of productivity for total industries, by combining a range of data series and sources (the most important of which is national accounts) related primarily to industrial output and associated factor inputs that are available for fifteen OECD Member countries. In order to ensure international comparability, the ISDB groups some activities and variables together since it is not possible to obtain separate series for certain countries. The general sectoral breakdown used is derived from the International Standard Industrial Classification (ISIC, Revision 2, see Table A2).

The variables and their definitions used to calculate the partial and total productivity measures using ISDB include (ISDB mnemonics):

GDPV = gross value added at factor cost (1990 prices), by industry (excluding public administration).

ET = total employment by industry.

GCS = gross capital stock by industry. The ISDB capital stock measure uses the Statistics Canada series on stocks and flows of fixed capital. Residential capital is included, based on volume investment series and a perpetual inventory approach.

Table A2. **International sectoral data base: industry coverage**[1]

| | Title of category |
|---|---|
| 1 | Agriculture, hunting, forestry and fishing |
| 2 | Mining and quarrying |
| 3 | Manufacturing |
| 31 | Food, beverages and tobacco |
| 32 | Textiles, wearing apparel and leather industries |
| 33 | Wood, and wood products, including furniture |
| 34 | Paper, and paper products, printing and publishing |
| 35 | Chemicals and chemical petroleum, coal, rubber and plastic products |
| 36 | Non-metallic mineral products except products of petroleum and coal |
| 37 | Basic metal industries |
| 38 | Fabricated metal products, machinery and equipment |
| 381 | Fabricated metal products, except machinery and equipment |
| 382 | Machinery except electrical |
| 385 | Professional, scientific, measuring and controlling equipment n.e.c., photographic and optical goods |
| 383 | Electrical machinery apparatus, appliances and supplies |
| 384 | Transport equipment |
| 39 | Other manufacturing industries |
| 4 | Electricity, gas and water |
| 5 | Construction |
| 6 | Wholesale and retail trade, restaurants and hotels |
| 61 + 62 | Wholesale trade and retail trade |
| 63 | Restaurants and hotels |
| 7 | Transport, storage and communication |
| 72 | Communication |
| 8 | Finance, insurance, real estate and business services |
| 81 + 82 | Financial institutions and insurance |
| 83 | Real estate and business services |
| 9 | Community, social and personal services |

1. The general sectoral breakdown used is taken from the International Standard Industrial Classification (ISIC, Revision 2).

*Source:* OECD Statistics Directorate, *ISDB98: User's Guide,* Paris, 1999, Table 4.1.

Thus, labour productivity is given by the ratio GDPV/ET and capital productivity by GDPV/GCS. A TFP index [TFP(I)] is produced using a common assumption that the respective factor shares in total cost reflect individual factor weights, following a Cobb-Douglas production function framework:

$$TFP(I) = [GDPV/ET^{w} * GCS^{(1-w)}]/TFP_0$$

where,

$TFP_0$ = total factor productivity, 1990 value.

w = standardised labour share weights (currently 0.7, implying 0.3 for capital).

### *Differences between OECD and Statistics Canada productivity measures*

An examination of the underlying methodologies, data coverage and definitions reveal several important differences between the three measures of productivity described above. These involve:

- *Gross fixed capital formation.* ISDB uses capital stocks based on the investment data in Statistics Canada's *Fixed Capital Flows and Stocks*, while ADB estimates the capital stock from investment series in the *Annual/Quarterly National Accounts*. A divergence arises between the volumes of the two investment series,[8] as a result of rebasing to link price indices across different base periods at the economy-wide versus individual industry level.[9] Because the investment series from the *Fixed Capital Flows and Stocks* grows at a much lower rate in volume terms than that from the *National Accounts*, the ISDB capital stock grows at a lower rate than that of ADB. By implication, capital productivity and TFP based on national accounts (ADB) grow at a lower rate than those based on capital flows and stocks (ISDB). Statistics Canada uses unpublished investment flows at the most detailed level. This series is comparable to that derived from the national accounts in that re-basing does not affect past growth rates.
- *Net versus gross stocks.* Both OECD measures use gross capital stock as the basis for productivity calculations, while Statistics Canada utilises a measure of the net capital stock. Over the 1979-97 time period, the average annual growth rate of Statistic's Canada capital input measure based on the net capital stock was similar to the ISDB gross capital stock measure, but these were about 1 percentage point lower than the gross capital stock measure in ADB.
- *Residential investment.* ISDB includes all residential investment in the construction of its "total industries" capital stock series, thereby combining information on non-residential investment from the *Fixed Capital Flows and Stocks* and on residential investment from the *National Accounts*. In contrast, ADB excludes all residential investment from the capital stock that enters the TFP computation, although the income from rented dwellings and the imputed income of homeowners is included in its output series. Statistics Canada includes that part of the residential capital stock (about one-third) in its business sector aggregate which corresponds to rented dwellings and thus constitutes input into the real estate service sector. They also include the output associated with this activity in their output measure. Since residential investment makes up 30 per cent of all business investment, and because its price index has been moving at a different rate from the price index for non-residential investment goods, its inclusion or exclusion can have significant implications for capital stock and productivity measures. In particular, for the period 1979-97, and using implicit deflators from national accounts, prices of residential investment goods have been rising faster than those of non-residential ones. Consequently, volume investment series that include parts or all of residential investment will rise by less than volume investment series of non-residential capital only.
- *Aggregation method across industries.* Statistics Canada's business sector productivity calculations are based on an aggregation method that uses Fisher indices to sum growth rates of individual industries to economy-wide measures.[10] In contrast, ISDB aggregates (and implicitly ADB calculations) are based on quantity Laspeyres indices, where a simple sum of the industries' gross capital stock and employment adds up to the total. The growth rate of this aggregate is not in general the same as the aggregate Fisher index of volume changes of the gross capital stock and employment in individual industries.

– *Labour inputs.* Both ADB and ISDB use persons employed as the series of labour input, whereas hours worked enter the Statistics Canada calculation. This difference can be important when growth in the number of workers differs from developments in the average work week, which has been the case for Canada, where employment growth has been faster than growth in total hours worked. This means that productivity growth estimates, which are based on persons employed, tend to be slightly lower than those based on hours worked (see Table A3).

Table A3. **Productivity measures for Canada**[1]

Percentage changes at annual rates

| Source | 1973-79 | 1979-88 | 1988-97 | 1979-97 |
|---|---|---|---|---|
| **Statistics Canada (business sector)** | | | | |
| Value added[2] | 3.6 | 3.2 | 2.0 | 2.6 |
| Labour input[3] | 2.2 | 1.9 | 0.9 | 1.4 |
| Capital input[4] | 4.3 | 3.8 | 2.1 | 3.0 |
| Labour productivity[5] | 1.4 | 1.3 | 1.1 | 1.1 |
| Capital productivity[6] | –0.7 | –0.6 | –0.1 | –0.4 |
| Total factor productivity[7] | 0.6 | 0.5 | 0.7 | 0.6 |
| **OECD ADB (business sector)** | | | | |
| Value added[2] | 4.1 | 3.0 | 1.9 | 2.5 |
| Labour input[3] | 3.6 | 1.9 | 1.0 | 1.4 |
| Capital input[4] | 3.9 | 4.9 | 3.6 | 4.2 |
| Labour productivity[5] | 0.5 | 1.1 | 0.9 | 1.0 |
| Capital productivity[6] | 0.1 | –1.9 | –1.7 | –1.8 |
| Total factor productivity[7] | 0.4 | 0.2 | 0.1 | 0.2 |
| **OECD ISDB (total industries)** | | | | |
| Value added[2] | 3.7 | 3.2 | 1.9 | 2.5 |
| Labour input[3] | 2.9 | 2.2 | 1.0 | 1.6 |
| Capital input[4] | 4.6 | 4.0 | 2.7 | 3.3 |
| Labour productivity[5] | 0.8 | 1.0 | 0.9 | 1.0 |
| Capital productivity[6] | –1.0 | –0.7 | –0.8 | –0.8 |
| Total factor productivity[7] | 0.2 | 0.5 | 0.4 | 0.4 |

1. Statistics Canada's estimates come from *Aggregate Productivity Measures;* OECD ADB is the Analytical Data Base, which is the working data base of the Economics Department; OECD ISDB is the International Sectoral Data Base, which is produced by the Statistics Directorate. Details on the coverage, definitions and methodology behind the derivation of all three measures can be found in the text.
2. GDP at factor cost, constant 1992 dollars (see the text for details).
3. Employed persons for ADB and ISDB, total hours worked for Statistics Canada.
4. For the details underlying the capital stock estimate, see the text.
5. Labour productivity is defined as value added minus labour input.
6. Capital productivity is defined as value added minus capital input.
7. Total factor productivity is defined as the weighted average of labour and capital productivity. For the OECD measures, a weight of 0.7 is attached to labour and 0.3 for capital; in the case of Statistics Canada, the weights reflect the time-varying, current-price shares in total costs of each input.

*Source:* Statistics Canada, *Aggregate Productivity Measures;* OECD Analytical Data Base; and OECD International Sectoral Data Base.

Overall, the Statistics Canada productivity measure is based upon more detailed data than those calculated by the OECD, where for purposes of international comparability as well as for purposes of projection in the case of the ADB measure, more aggregated data must be used.

### Estimates of Canadian total factor productivity growth

In March 1999, Statistics Canada released TFP estimates that took into account both revised national accounts and capital stock data.[11] These new estimates suggest that productivity performance has been somewhat better than previously thought. Statistics Canada data show that business-sector TFP growth surged to 2.9 per cent in 1997, following an increase of only 0.1 per cent in 1996. From a longer-term perspective, TFP grew by 0.7 per cent per annum over the period 1988-97, compared with 0.5 per cent between 1979-88 (see Annex Table 3).[12] In comparison, the measure based on the OECD's ADB shows a less robust performance over the period 1988-97, growing by only 0.1 per cent per annum. The estimate of TFP growth over the same period coming from the OECD's ISDB lies between the figures just mentioned, at 0.4 per cent per year. In the event, it should be highlighted that all three estimates show nearly identical rates of change for labour productivity (and value added), where, as noted above, methodological and conceptual differences are considerably less controversial than the construction of estimates for capital, and ultimately for total factor productivity. This implies that the major discrepancies between the various calculations fall on the capital side, with the definition of labour input playing a much smaller role during the 1979-97 period.

# Notes

1. For a review of the measurement issues see, OECD, *Industry Productivity: International Comparison and Measurement Issues, OECD Proceedings*, Paris, 1996. In addition, the OECD is in the midst of compiling a manual on productivity measurement, which will describe different ways of undertaking such calculations, as well as elaborating on the strength and weaknesses of the various approaches used in practice. This will be completed next year.

2. In particular, constant returns to scale are usually assumed (*e.g.* a 1 per cent increase in all inputs leads to a 1 per cent increase in output). The Cobb Douglas production function is a specific case of a more general production function, the Constant Elasticity of Substitution (CES).

3. A partial adjustment for the quality of labour inputs can, however, be obtained when the rate of change in hours worked by industry is aggregated to the economy-wide level using each industry's share in total compensation as aggregation weights. These weights will be large for industries that pay above average wages and small for those which do not. Some of the change in the quality of labour would then be accounted for, assuming that above-average wages reflect above-average skills.

4. The gross capital stock can be valued in one of three ways: historic prices (price at which they were obtained); current replacement prices (what they would cost in the current time period); and constant replacement rates (valued at a price of a specified year). The most common way to aggregate the stock over time is *via* the perpetual inventory method, using an initial benchmark of the capital stock, adding to it gross fixed capital formation and deducting assets that are at the end of their service lives. Service lives can be estimated in a number of different ways, including through surveys, assumptions made by tax authorities etc., and it is possible that service lives change over the life of the asset, *e.g.* the service life of computers may decline over time. Gross stocks can be viewed as indicating the efficiency of existing plant, machinery and equipment, assuming proper maintenance, although some would argue that some loss of efficiency is likely as assets age.

5. The depreciation rate can be calculated in a number of ways, two of the more common methods being a straight-line approach and the assumption of a geometric pattern. Patterns of efficiency losses of the gross capital stock are in general different from value losses, although given certain assumptions, a geometric profile of efficiency losses implies a similar profile of value losses.

6. The desire to develop projections has to be weighed against the common, but sometimes restrictive, assumption of the existence of an aggregate production function, which combines labour and capital of the entire economy as opposed to a sum of individual industries.

7. Full details of methodology used can be found in Statistics Canada, *Aggregate Productivity Measures, 1993 and 1994*.
8. See a methodological note by Statistics Canada (Catalogue No. 13-568, Appendix 2) for a detailed discussion of this issue.
9. The re-basing in the *Fixed Capital Flows and Stocks*, and in the *National Accounts* series is identical at the most detailed level. When detailed series are aggregated to higher levels in the national accounts, implicit re-weighting is prevented prior to the new base year. Thus, prior to the re-base year, growth rates are unaltered. In the published capital stock estimates, implicit reweighting occurs prior to the new base year and thus historical growth rates are maintained. This is the capital stock estimate used by ISDB. However, Statistics Canada does calculate a capital stock estimate for the purposes of estimating productivity that uses an aggregation method that is the same as is used in the national accounts. That is, Statistics Canada's productivity estimates are done with data on output and capital that are consistent with regard to re-basing. Both the ADB and the ISDB estimates use aggregate capital stock estimates that are unconstrained after re-basing.
10. The Fisher index is a geometric average of the Laspeyres and the Paasche index. It has several desirable properties, including its characterisation as "superlative", meaning that it can be directly derived from the microeconomic fundamentals of profit maximisation.
11. The base year for the national accounts has been updated from 1986 to 1992 and the capital stock has been revised, leading to a lower level of capital. See Statistics Canada, *The Daily, 23 March 1999*.
12. Estimates published in July indicate that hourly labour productivity in the business sector rose by only 0.7 per cent in 1998, suggesting that TFP growth may also have weakened, but there are some signs of a pickup in 1999.

*Annex II*

# Chronology of economic events

## 1998

### January

Severe ice storms paralysed Eastern Ontario and Western Quebec early in the month, knocking out power in most regions and creating a state of emergency. Canadian troops were deployed to assist hydro workers and the federal and provincial governments announced substantial aid packages. More than two million people were without power for varying amounts of time and business was shut down in Ottawa and Montreal for several days.

The Royal Bank of Canada and the Bank of Montreal announced a C$ 40 billion merger plan. Combined, the two banks have 17 million customers, C$ 435 billion in assets and a stock market value of over C$ 40 billion.

The Canadian dollar slid to 68.70 US cents at month-end, the lowest value in its 140-year history, while the Bank Rate was hiked half a point to 5 per cent.

### February

The federal government released its 1998-99 fiscal year budget on 24 February announcing that the budget will be balanced in 1997-98 and also in 1998-99 and 1999-2000. Highlights include a C$ 2.5 billion multi-year Canada Millennium Scholarship Foundation which is to provide 100 000 scholarships a year to low and middle-income students; as of 1 July income that can be earned tax-free rises C$ 500 for individuals and C$ 1 000 for families; the 3 per cent general surtax will be removed on taxable incomes up to C$ 50 000; increased limits on child-care expense deductions; government grants of up to C$ 400 a year to parents who set up registered education savings plans (RESPs) for their children; employers will not have to pay unemployment insurance premiums for young Canadians hired in 1999 and 2000. Overall, the budget has C$ 10.9 billion in new programme spending over four years and C$ 7.0 billion in tax cuts.

Alberta tabled its budget mid-month with a slight surplus forecast. Highlights include a 1.5 per cent cut in the personal income tax rate retroactive to 1 January; C$ 24 million in bonuses to civil servants worth about 2 per cent of salary; a planned 5.5 per cent increase in doctors' fees over the next three years while doctors received an 8 per cent salary increase over three years. Both the civil servants and doctors had accepted salary cuts four years ago.

Ontario Hydro reported a C$ 6.3 billion loss last year, the biggest annual loss in Canadian corporate history. The loss included a one-time charge of C$ 6.6 billion largely related to a restructuring programme for Hydro's nuclear operations.

The official 1 to 3 per cent inflation target is extended until the end of 2001.

**March**

British Columbia forecast a deficit of C$ 95 million, with C$ 1.25 billion for new schools, hospitals, roads and other infrastructure, an increase of C$ 275 million; increased spending on health care, education and child protection; a personal income tax cut of 1 percentage point to 49.5 per cent of the federal rate, effective next 1 January; a cut in the corporate capital tax by raising the asset level at which it kicks in from C$ 1.5 million to C$ 5 million by 1 January 2001; and a cut in the small business corporate income tax rate to 8 per cent from 9 per cent over two years.

Quebec projected a deficit of C$ 1.1 billion before the accounting reform. Highlights include no tax increases and no substantial new programme spending; cuts in payroll taxes for small and mid-sized businesses over two years; and revenue and expenditure measures totalling C$ 232 million over two years in job creation for youths, internship and day care.

Saskatchewan tabled its fifth consecutive balanced budget. Highlights include a 2 percentage point cut to personal income taxes to 48 per cent of the federal rate, effective 1 July; over C$ 200 million in new funding for child welfare, health care, education, highways and policing; and debt reduction of almost C$ 500 million due to a surplus in general revenue and money from the Crown Investments Corp.

Newfoundland forecast a C$ 10 million deficit, with new spending for health care and education, and a 7 per cent increase in monthly social assistance payments over three years. Prince Edward Island projected a shortfall of C$ 3.4 million, with no tax changes and almost no changes in spending plans.

Manitoba's budget projected a fourth consecutive surplus in 1998-99. The personal income tax rate was reduced from 52 per cent of Basic Federal Tax to 51 per cent for the 1998 taxation year and to 50 per cent for 1999. There were new spending indicators on health, education, children and support to families, as well as a doubling of the payment towards debt to C$ 150 million.

**April**

The Canadian Imperial Bank of Commerce and Toronto-Dominion Bank, Canada's first and fifth-largest banks by assets, respectively, announced plans to merge in a C$ 47 billion deal. The proposed union follows less than three months after the proposed merger of the Royal Bank of Canada and the Bank of Montreal.

**May**

The Ontario government tabled its 1998-99 budget on 5 May with 36 targeted tax cuts and a forecast C$ 4.2 billion deficit. These include a reduction in the Ontario corporate income tax rate for small business, while the final instalment of the 30 per cent personal income tax cut will go into effect 1 July, six months ahead of schedule. Other highlights include increased spending for health, youth, employment, education and child care.

**June**

Nova Scotia's budget was tabled, projecting the third consecutive balanced budget and including new initiatives in health care, education and child support.

### August

The Bank of Canada raised its Bank rate from 5 to 6 per cent at month-end, the first increase since January, as the Canadian dollar fell to an all-time intra-day low of 63.11 US cents.

### September

The Bank of Canada lowered its Bank Rate by ¼ percentage point at month end, matching a reduction in US rates. The chartered banks responded by lowering their prime rates to 7¼ from 7½ per cent.

### October

Following an interest rate reduction in the United States, the Bank of Canada cut its key rate by a quarter of a percentage point to 5½ per cent in mid-October, leading commercial banks to lower their prime rates to 7 per cent.

### November

The Bank of Canada cut its Bank Rate by 25 basis points to 5¼ per cent, following interest rate reductions by the US authorities. Commercial banks immediately lowered their prime rates to 6¾ per cent.

### December

New Brunswick tabled its fifth consecutive balanced budget. Its C$ 4.6 billion expenditure plan includes a C$ 74 million increase in health spending and a third consecutive cut in personal income tax rates, to 60 per cent of the federal income tax.

The federal government turned down two major bank merger proposals because they would have led to an unacceptable concentration of economic power, a significant reduction in competition, and would have reduced the government's policy flexibility to address potential future prudential concerns. Furthermore, the government announced that it would not consider any merger among major banks until a new policy framework is in place. As a result, the Royal Bank of Canada and the Bank of Montreal terminated their agreement to merge, as did the Canadian Imperial Bank of Commerce and the Toronto Dominion Bank.

## 1999

### February

The federal government released its budget on 16 February, announcing that a balanced budget or better is expected for 1998/99 and that it is committed to a balanced budget or better for 1999/2000 and 2000/01. Highlights included increased provincial transfers for health care by C$ 11.5 billion over five years as well as money for health research and information; the elimination of employment insurance premiums for employers on new jobs created for youth aged 18-24; a C$ 300 million increase to the Canada Child Tax Benefit programme; and across-the-board tax cuts of C$ 16.5 billion (as a result of both the 1998 and 1999 budgets) over the next three years, including the elimination of the 3 per cent taxpayer surtax on high-income earners effective 1 July (after it was eliminated for low-income workers last year).

**March**

Alberta released its budget plan with increased spending of C$ 1.7 billion over the next three years, mainly for health and education. As well, Alberta will move to a single provincial tax rate of 11 per cent of income in 2002, surtaxes will be phased out and the basic personal and spousal exemptions will be increased and indexed to inflation.

The Newfoundland government announced its budget with a forecast deficit of C$ 33 million in 1999/2000, after a small surplus for the 1998/99 fiscal year. Highlights included increased spending for health and for education, no tax increases, and a 25-cent rise in the provincial minimum wage.

Saskatchewan released its budget with a slight surplus forecast for 1999/2000. Highlights included increased spending for health care and a cut in the provincial sales tax rate from 7 to 6 per cent.

Quebec forecast a second consecutive balanced budget for this fiscal year. Highlights of the 1999-budget included personal income tax reductions of C$ 400 million annually (by July 2000) and additional health and education funding.

The British Columbia budget forecast a deficit of C$ 890 million in 1999/2000. Revenue measures included a personal income surtax reduction and a small business corporate income tax rate reduction. Expenditure initiatives focused on health and education.

The Bank of Canada cut its Bank Rate by 25 basis points to 5 per cent at the end of March.

**April**

The Prince Edward Island budget forecast a small surplus of C$ 4 million in 1999/2000. The personal income tax rate was reduced by 1 percentage point to 58.5 per cent, effective 1 January 1999. Expenditure initiatives mainly focused on health and economic development.

The Manitoba budget forecast a C$ 21 million surplus for 1999/2000. The personal income tax rate will be reduced in two steps: from 50 to 48.5 per cent for the 1999 taxation year and to 47 per cent as of 1 January 2000. Spending initiatives focused on health, education and children and families.

**May**

The Ontario budget targeted a deficit of C$ 2.1 billion for 1999/2000. Both personal income taxes and residential property taxes will be reduced by 20 per cent over the next five years. The personal income tax rate will be reduced from 40.5 to 38.5 per cent as of 1 July 1999. Expenditure measures focused on health (C$ 1.6 billion), education and infrastructure.

The Bank of Canada cut its Bank Rate by 25 basis points to 4¾ per cent at the beginning of the month.

*STATISTICAL ANNEX AND STRUCTURAL INDICATORS*

OECD 1999

Table A. **Selected background statistics**

| | Average 1989-98 | 1989 | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 | 1996 | 1997 | 1998 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **A. Percentage change** | | | | | | | | | | | |
| Private consumption[1] | 2.2 | 3.6 | 1.3 | –1.4 | 1.8 | 1.8 | 3.1 | 2.1 | 2.5 | 4.2 | 2.8 |
| Gross fixed capital formation[1] | 2.3 | 5.9 | –3.6 | –3.5 | –1.3 | –2.7 | 7.4 | –1.9 | 6.5 | 13.9 | 3.6 |
| Public investment[1] | 2.2 | 11.2 | 6.8 | 7.0 | –0.3 | –2.0 | 7.4 | –2.9 | –3.1 | –5.3 | 4.9 |
| Private investment[1] | 2.3 | 5.3 | –5.1 | –5.1 | –1.4 | –2.8 | 7.4 | –1.7 | 8.2 | 16.9 | 3.4 |
| Residential[1] | –1.2 | 4.2 | –10.2 | –14.5 | 7.2 | –3.5 | 4.2 | –15.1 | 9.9 | 12.6 | –1.9 |
| Non residential[1] | 4.1 | 6.0 | –1.6 | 0.5 | –5.9 | –2.4 | 9.2 | 5.7 | 7.4 | 18.8 | 5.7 |
| GDP[1] | 2.0 | 2.5 | 0.3 | –1.9 | 0.9 | 2.3 | 4.7 | 2.8 | 1.7 | 4.0 | 3.1 |
| GDP price deflator | 1.8 | 4.6 | 3.1 | 2.7 | 1.3 | 1.5 | 1.1 | 2.3 | 1.6 | 0.8 | –0.6 |
| Industrial production[1] | 1.8 | –0.4 | –2.8 | –3.8 | 1.1 | 4.5 | 6.4 | 4.7 | 1.3 | 5.2 | 2.4 |
| Employment | 1.1 | 2.1 | 0.6 | –1.9 | –0.6 | 1.4 | 2.1 | 1.6 | 1.2 | 1.9 | 2.8 |
| Compensation of employees (current prices) | 3.8 | 7.8 | 5.2 | 2.8 | 2.3 | 1.8 | 2.6 | 3.4 | 2.4 | 5.8 | 4.0 |
| Productivity per worker (real GDP/employment) | 1.0 | 0.4 | –0.4 | 0.3 | 1.9 | 1.1 | 2.8 | 1.0 | 0.4 | 2.0 | 0.2 |
| Unit labour costs | 1.7 | 5.2 | 4.9 | 4.7 | 1.4 | –0.5 | –2.1 | 0.6 | 0.7 | 1.8 | 0.9 |
| **B. Percentage ratios** | | | | | | | | | | | |
| Gross fixed capital formation as per cent of GDP[1] | 18.4 | 19.7 | 18.9 | 18.6 | 18.2 | 17.3 | 17.7 | 16.9 | 17.7 | 19.4 | 19.5 |
| Stockbuilding as per cent of GDP[1] | 0.2 | 0.6 | –0.3 | –0.8 | –0.9 | –0.1 | 0.2 | 1.1 | 0.3 | 1.0 | 0.6 |
| Foreign balance as per cent of GDP[1] | 0.9 | –1.0 | –0.5 | –0.8 | –0.4 | 0.6 | 1.9 | 2.9 | 3.0 | 1.2 | 2.1 |
| Compensation of employees as per cent of GDP | 53.4 | 53.5 | 54.4 | 55.5 | 55.5 | 54.5 | 52.8 | 51.9 | 51.4 | 51.9 | 52.7 |
| Direct taxes on households as per cent of GDP | 16.2 | 15.3 | 16.5 | 16.2 | 15.8 | 15.3 | 15.7 | 15.9 | 16.7 | 17.2 | 17.6 |
| Household saving ratio as per cent of disposable income | 8.2 | 11.5 | 11.5 | 11.7 | 11.4 | 10.3 | 7.7 | 7.5 | 5.2 | 2.8 | 2.4 |
| Unemployment rate as per cent of labour force | 9.6 | 7.5 | 8.2 | 10.4 | 11.3 | 11.2 | 10.4 | 9.5 | 9.7 | 9.2 | 8.3 |
| **C. Other indicator** | | | | | | | | | | | |
| Current balance (million US dollars) | –14.3 | –21.8 | –19.8 | –22.4 | –21.0 | –21.8 | –13.0 | –4.7 | 3.3 | –10.3 | –11.0 |

1. In constant 1992 prices.

*Source:* Statistics Canada and OECD.

Table B. **Supply and use of resources**

Million Canadian dollars, current prices

| | 1989 | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 | 1996 | 1997 | 1998 |
|---|---|---|---|---|---|---|---|---|---|---|
| Private consumption | 366 851 | 386 913 | 399 932 | 412 940 | 430 162 | 447 748 | 462 865 | 482 054 | 511 158 | 530 339 |
| Public consumption | 139 000 | 151 977 | 162 765 | 169 262 | 171 630 | 172 073 | 172 947 | 172 225 | 173 256 | 177 012 |
| Gross fixed investment | 145 676 | 140 996 | 130 343 | 127 045 | 126 095 | 139 290 | 137 327 | 144 044 | 165 159 | 171 177 |
| **Final domestic demand** | 651 527 | 679 886 | 693 040 | 709 247 | 727 887 | 759 111 | 773 139 | 798 323 | 849 573 | 878 528 |
| (Annual growth rate, per cent) | (8.3) | (4.4) | (1.9) | (2.3) | (2.6) | (4.3) | (1.8) | (3.3) | (6.4) | (3.4) |
| Stockbuilding | 4 063 | –2 660 | –5 882 | –6 562 | –951 | 449 | 8 913 | 3 065 | 8 822 | 4 677 |
| (Contribution to GDP growth, per cent) | (0.1) | (–1.0) | (–0.5) | (–0.1) | (0.8) | (0.2) | (1.1) | (–0.7) | (0.7) | (–0.5) |
| **Total domestic demand** | 655 590 | 677 226 | 687 158 | 702 685 | 726 936 | 759 560 | 782 052 | 801 388 | 858 395 | 883 205 |
| (Annual growth rate, per cent) | (8.3) | (3.3) | (1.5) | (2.3) | (3.5) | (4.5) | (3.0) | (2.5) | (7.1) | (2.9) |
| Exports of goods and services | 168 963 | 175 513 | 172 161 | 189 784 | 219 664 | 262 127 | 302 480 | 320 988 | 345 060 | 369 985 |
| Imports of goods and services | 168 723 | 174 624 | 176 093 | 192 393 | 219 673 | 253 014 | 276 618 | 287 395 | 329 881 | 357 342 |
| **Foreign balance** | 213 | 889 | –3 932 | –2 609 | –9 | 9 113 | 25 862 | 33 593 | 15 179 | 12 643 |
| (Contribution to GDP growth, per cent) | (–0.7) | (0.1) | (–0.7) | (0.2) | (0.4) | (1.3) | (2.2) | (1.0) | (–2.2) | (–0.3) |
| Statistical discrepancy | 387 | 20 | 13 | –1 532 | –1 967 | –1 167 | –826 | –1 060 | 373 | –144 |
| **GDP** (market prices) | 656 190 | 678 135 | 683 239 | 698 544 | 724 960 | 767 506 | 807 088 | 833 921 | 873 947 | 895 704 |
| (Annual growth rate, per cent) | (7.3) | (3.3) | (0.8) | (2.2) | (3.8) | (5.9) | (5.2) | (3.3) | (4.8) | (2.5) |

*Source:* CANSIM-Statistics Canada.

Table B. **Supply and use of resources** *(cont.)*

Million Canadian dollars, constant 1992 prices

| | 1989 | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 | 1996 | 1997 | 1998 |
|---|---|---|---|---|---|---|---|---|---|---|
| Private consumption | 406 034 | 411 343 | 405 783 | 412 940 | 420 442 | 433 649 | 442 941 | 453 990 | 472 867 | 485 906 |
| Public consumption | 157 195 | 162 937 | 167 541 | 169 262 | 169 362 | 167 263 | 166 380 | 164 524 | 163 675 | 166 442 |
| Gross fixed investment | 138 425 | 133 392 | 128 682 | 127 045 | 123 657 | 132 780 | 130 301 | 138 774 | 158 082 | 163 761 |
| **Final domestic demand** | 701 654 | 707 672 | 702 006 | 709 247 | 713 461 | 733 692 | 739 622 | 757 288 | 794 624 | 816 109 |
| (Annual growth rate, per cent) | (3.8) | (0.9) | (–0.8) | (1.0) | (0.6) | (2.8) | (0.8) | (2.4) | (4.9) | (2.7) |
| Stockbuilding | 4 388 | –1 926 | –5 806 | –6 562 | –907 | 1 373 | 8 195 | 2 662 | 8 365 | 4 803 |
| (Contribution to GDP growth, per cent) | (0.3) | (–0.9) | (–0.5) | (–0.1) | (0.8) | (0.3) | (0.9) | (–0.7) | (0.7) | (–0.4) |
| **Total domestic demand** | 706 042 | 705 746 | 696 200 | 702 685 | 712 554 | 735 065 | 747 817 | 759 950 | 802 989 | 820 912 |
| (Annual growth rate, per cent) | (4.1) | (–0.0) | (–1.4) | (0.9) | (1.4) | (3.2) | (1.7) | (1.6) | (5.7) | (2.2) |
| Exports of goods and services | 164 203 | 171 977 | 175 926 | 189 784 | 210 537 | 238 141 | 259 667 | 274 631 | 297 840 | 322 345 |
| Imports of goods and services | 171 580 | 175 482 | 181 120 | 192 393 | 206 575 | 223 710 | 237 606 | 251 438 | 288 135 | 304 849 |
| **Foreign balance** | –7 377 | –3 505 | –5 194 | –2 609 | 3 962 | 14 431 | 22 061 | 23 193 | 9 705 | 17 496 |
| (Contribution to GDP growth, per cent) | (–1.2) | (0.6) | (–0.2) | (0.4) | (0.9) | (1.5) | (1.0) | (0.1) | (–1.7) | (1.0) |
| Statistical discrepancy | 4 912 | 3 223 | 1 241 | –1 532 | –1 933 | –1 146 | –796 | –1 013 | 337 | –143 |
| **GDP** (market prices) | 703 577 | 705 464 | 692 247 | 698 544 | 714 583 | 748 350 | 769 082 | 782 130 | 813 031 | 838 265 |
| (Annual growth rate, per cent) | (2.5) | (0.3) | (–1.9) | (0.9) | (2.3) | (4.7) | (2.8) | (1.7) | (4.0) | (3.1) |

*Source:* CANSIM-Statistics Canada.

Table C. **Industrial production, employment and other business indicators**

Seasonally adjusted

| | 1994 | 1995 | 1996 | 1997 | 1998 | Q1 98 | Q2 98 | Q3 98 | Q4 98 | Q1 99 |
|---|---|---|---|---|---|---|---|---|---|---|
| **Indices of industrial production** (1990 = 100) | | | | | | | | | | |
| Total | 108.2 | 113.2 | 114.7 | 120.7 | 123.6 | 123.0 | 123.5 | 123.1 | 124.6 | 125.9 |
| Durable manufactures | 110.1 | 118.7 | 120.7 | 130.3 | 136.6 | 135.2 | 135.4 | 134.8 | 141.0 | 143.5 |
| Non-durable manufactures | 102.1 | 104.0 | 104.7 | 109.5 | 112.6 | 111.8 | 112.7 | 112.4 | 113.7 | 114.4 |
| **New residential construction** (annual rates) | | | | | | | | | | |
| Building permits (million C$) | 17 590 | 13 242 | 15 716 | 18 317 | 17 953 | 17 857 | 17 986 | 17 639 | 18 331 | 18 288 |
| Starts (thousand units) | 153.9 | 112.6 | 123.4 | 148.2 | 138.2 | 147.8 | 136.5 | 130.9 | 137.7 | . . |
| **Employment and unemployment** | | | | | | | | | | |
| (thousands, monthy averages) | | | | | | | | | | |
| Labour force | 14 827 | 14 926 | 15 146 | 15 346 | 15 628 | 15 515 | 15 575 | 15 637 | 15 783 | 15 896 |
| Non-agricultural employment | 12 880 | 13 094 | 13 244 | 13 532 | 13 906 | 13 757 | 13 845 | 13 916 | 14 106 | 14 241 |
| Employees | | | | | | | | | | |
| Mining | 137 | 134 | 131 | 143 | 143 | 148 | 145 | 141 | 137 | 137 |
| Manufacturing | 1 655 | 1 697 | 1 737 | 1 800 | 1 873 | 1 863 | 1 868 | 1 876 | 1 886 | 1 897 |
| Durables | 893 | 931 | 963 | 1 004 | 1 053 | 1 045 | 1 051 | 1 056 | 1 059 | 1 068 |
| Non-durables | 761 | 766 | 775 | 796 | 821 | 817 | 818 | 820 | 829 | 829 |
| Transportation, communication, utilities[1] | 858 | 857 | 839 | 852 | 873 | 871 | 871 | 871 | 879 | 885 |
| Unemployment (thousands) | 1 536 | 1 419 | 1 471 | 1 411 | 1 303 | 1 338 | 1 307 | 1 301 | 1 267 | 1 246 |
| Unemployment (percentage of labour force) | 10.4 | 9.5 | 9.7 | 9.2 | 8.3 | 8.6 | 8.4 | 8.3 | 8.0 | 7.8 |
| Average weekly hours worked in manufacturing | 38.9 | 38.5 | 38.4 | 39.3 | 38.6 | 38.4 | 38.6 | 38.3 | 39.2 | 38.5 |
| **Retail sales** (C$ million, monthly averages) | 17 320 | 17 814 | 18 369 | 19 773 | 20 619 | 20 326 | 20 648 | 20 787 | 20 717 | 21 169 |
| **Orders and inventories in manufacturing** | | | | | | | | | | |
| (C$ million) | | | | | | | | | | |
| New orders (monthly averages)[2] | 29 873 | 33 033 | 33 882 | 36 906 | 37 813 | 37 224 | 36 986 | 37 670 | 39 371 | 39 621 |
| Unfilled orders (end of period) | 34 761 | 34 256 | 34 265 | 42 394 | 48 795 | 43 518 | 44 722 | 47 847 | 48 795 | 49 659 |
| Total inventories (end of period) | 40 976 | 45 569 | 45 767 | 47 815 | 49 613 | 48 189 | 49 238 | 50 109 | 49 613 | 49 658 |

1. Includes storage, electric power, gas and water utilities.
2. 3-month averages for quarters

*Source:* OECD, *Main Economic Indicators*; CANSIM-Statistics Canada.

Table D. **Prices, wages and finance**

| | 1994 | 1995 | 1996 | 1997 | 1998 | Q1 98 | Q2 98 | Q3 98 | Q4 98 | Q1 99 |
|---|---|---|---|---|---|---|---|---|---|---|
| **Prices** (1990 = 100) | | | | | | | | | | |
| Consumer prices, all items | 97.9 | 100.0 | 101.6 | 103.2 | 104.2 | 103.9 | 104.2 | 104.3 | 104.5 | 104.8 |
| *of which:* | | | | | | | | | | |
| Food | 97.6 | 100.0 | 101.3 | 102.9 | 104.6 | 104.5 | 104.7 | 104.4 | 104.6 | 106.0 |
| Non-food | 98.4 | 100.0 | 101.7 | 103.3 | 102.9 | 103.1 | 102.9 | 102.6 | 103.0 | 103.1 |
| Producer prices, manufactured goods | 93.1 | 100.0 | 100.4 | 101.2 | 101.2 | 100.8 | 100.9 | 101.4 | 101.6 | 101.0 |
| **Wages and profits** | | | | | | | | | | |
| Hourly earnings in manufacturing (1990 = 100) | 98.6 | 100.0 | 103.2 | 104.1 | 106.3 | 106.4 | 107.2 | 105.4 | 106.2 | 106.8 |
| Corporate profits before taxes (C$ million, annual rates) | 64 118 | 75 309 | 79 335 | 86 104 | 80 924 | 80 964 | 79 616 | 80 312 | 82 804 | 87 664 |
| **Banking** (C$ million, end of period) | | | | | | | | | | |
| Chartered banks: | | | | | | | | | | |
| Canadian dollar deposits | 406 349 | 433 558 | 449 541 | 490 148 | 489 113 | 482 887 | 487 948 | 489 468 | 489 113 | 492 466 |
| *of which:* Personal savings deposits | *280 291* | *297 559* | *292 444* | *289 697* | *289 752* | *286 390* | *285 099* | *286 258* | *289 752* | *291 029* |
| Liquid assets | 87 238 | 91 788 | 87 099 | 78 257 | 77 632 | 74 378 | 71 667 | 87 397 | 77 632 | 85 472 |
| Holdings of Government of Canada direct and guaranteed securities | 42 291 | 49 284 | 55 361 | 51 073 | 57 727 | 44 367 | 49 286 | 65 538 | 57 727 | 58 537 |
| Total loans | 393 063 | 417 947 | 468 017 | 538 428 | 535 090 | 542 608 | 547 468 | 544 187 | 535 090 | 542 634 |
| Currency outside banks | 25 458 | 26 174 | 27 218 | 28 745 | 30 677 | 29 232 | 29 683 | 30 304 | 30 677 | 31 244 |
| **Interest rates** (per cent, end of period) | | | | | | | | | | |
| 3-month commercial paper rate | 7.2 | 5.7 | 3.1 | 4.8 | 5.0 | 4.8 | 5.1 | 5.4 | 5.0 | 4.8 |
| Over-10-year Government bond yield | 9.1 | 7.5 | 6.8 | 5.8 | 5.1 | 5.6 | 5.4 | 5.4 | 5.1 | 5.3 |
| **Miscellaneous** | | | | | | | | | | |
| Share prices Toronto stock exchange (1990 = 100) | 125.2 | 129.6 | 154.0 | 188.8 | 197.5 | 208.0 | 220.4 | 176.1 | 185.5 | 191.4 |

*Source:* OECD, *Main Economic Indicators*; CANSIM-Statistics Canada.

Table E. **Balance of payments**

Million US dollars

| | 1989 | 1990 | 1991 | 1992 | 1993 | 1994 | 1995 | 1996 | 1997 | 1998 |
|---|---|---|---|---|---|---|---|---|---|---|
| Merchandise exports | 124 128 | 130 322 | 128 888 | 135 236 | 147 441 | 167 072 | 193 329 | 205 271 | 217 668 | 217 230 |
| Merchandise imports | 117 585 | 120 847 | 122 768 | 127 764 | 137 295 | 152 213 | 167 538 | 174 487 | 200 569 | 204 516 |
| Trade balance | 6 543 | 9 475 | 6 120 | 7 474 | 10 147 | 14 860 | 25 791 | 30 784 | 17 098 | 12 715 |
| Services credit | 17 549 | 19 183 | 20 357 | 20 783 | 21 883 | 23 982 | 26 082 | 29 199 | 30 484 | 30 941 |
| Services debit | 24 430 | 28 299 | 30 325 | 30 813 | 32 432 | 32 521 | 33 468 | 35 623 | 37 029 | 35 630 |
| Services, net | –6 881 | –9 116 | –9 967 | –10 030 | –10 550 | –8 539 | –7 386 | –6 425 | –6 546 | –4 689 |
| Investment income, credits | 13 432 | 15 068 | 12 935 | 11 392 | 10 687 | 15 450 | 18 870 | 19 205 | 21 845 | 20 559 |
| Investment income, debits | 33 921 | 34 459 | 30 341 | 28 877 | 31 485 | 34 407 | 41 597 | 40 761 | 43 280 | 40 174 |
| Investment income,net | –20 490 | –19 390 | –17 406 | –17 484 | –20 799 | –18 957 | –22 727 | –21 556 | –21 435 | –19 615 |
| Official transfers, net | –769 | –755 | –1 111 | –997 | –711 | –549 | –325 | 391 | 534 | 394 |
| Private transfers, net | –204 | –41 | –6 | 55 | 136 | 204 | 201 | 130 | 46 | 150 |
| **Current account** | –21 801 | –19 828 | –22 369 | –20 981 | –21 776 | –12 983 | –4 445 | 3 322 | –10 303 | –11 045 |
| **Capital account** | 4 628 | 5 316 | 5 595 | 7 093 | 8 296 | 7 498 | 4 943 | 5 847 | 5 446 | 3 355 |
| Direct investment, assets | –5 266 | –5 237 | –5 835 | –3 590 | –5 700 | –9 295 | –11 463 | –12 880 | –22 050 | –26 567 |
| Portfolio investment, assets | –4 620 | –2 225 | –10 182 | –9 720 | –13 860 | –6 537 | –5 342 | –14 045 | –8 111 | –14 987 |
| Other investment, assets | –6 791 | –9 422 | 2 811 | 1 387 | –1 323 | –20 070 | –11 171 | –26 604 | –13 413 | 7 125 |
| Total assets, net flows | –16 678 | –16 883 | –13 204 | –11 923 | –20 885 | –35 901 | –27 975 | –53 529 | –43 576 | –34 430 |
| Direct investment, liabilities | 6 011 | 7 582 | 2 880 | 4 722 | 4 731 | 8 205 | 9 256 | 9 407 | 11 469 | 16 494 |
| Portfolio investment, liabilities | 19 605 | 15 928 | 27 493 | 20 436 | 40 927 | 17 070 | 18 386 | 13 384 | 11 850 | 16 856 |
| Other investment, liabilities | 9 759 | 9 627 | –255 | –2 218 | –6 353 | 16 133 | –3 666 | 16 242 | 27 877 | 7 457 |
| Total liabilities, net flows | 35 374 | 33 138 | 30 122 | 22 938 | 39 304 | 41 409 | 23 975 | 39 033 | 51 194 | 40 807 |
| Change in reserves | –690 | –1 069 | 1 835 | 4 757 | –935 | 358 | –2 753 | –5 499 | 2 448 | –5 023 |
| **Financial account** | 18 697 | 16 253 | 16 917 | 11 017 | 18 420 | 5 507 | –3 999 | –14 496 | 7 620 | 6 377 |
| Errors and omissions | –1 525 | –1 742 | –141 | 2 872 | –4 941 | –23 | 3 501 | 5 326 | –2 764 | 1 313 |

*Source:* Statistics Canada; OECD Secretariat.

Table F. **Public sector**

| | A. Budget indicators<br>General government accounts<br>Per cent of GDP | | | | | |
|---|---|---|---|---|---|---|
| | 1961 | 1970 | 1980 | 1990 | 1996 | 1997 |
| Current receipts[1] | 28.7 | 36.8 | 38.9 | 45.1 | 46.2 | 46.4 |
| Non-interest current expenditure[1] | 23.1 | 28.4 | 33.1 | 36.7 | 34.4 | 34.0 |
| Primary budget balance | –0.5 | 1.9 | –1.3 | 0.7 | 5.6 | 6.0 |
| Net interest payments | 1.6 | 1.4 | 1.8 | 5.2 | 4.7 | 4.7 |
| General government budget balance | –2.1 | 0.5 | –3.1 | –4.5 | 0.9 | 1.3 |
| *of which:* | | | | | | |
| Federal | –1.0 | 0.3 | –3.4 | –4.1 | 0.8 | 1.4 |
| Provincial-local | –1.0 | –1.1 | –0.7 | –0.8 | 0.4 | 0.1 |
| Pension plans[2] | 0.0 | 1.3 | 1.0 | 0.3 | –0.3 | –0.1 |
| General government debt | | | | | | |
| Gross debt | 67.2 | 52.1 | 43.3 | 71.5 | 96.5 | 92.7 |
| Net debt | 26.5 | 11.4 | 13.0 | 42.6 | 64.7 | 60.8 |
| *of which:* Federal | 18.5 | 6.9 | 15.7 | 43.3 | 51.9 | 48.8 |

| | B. The structure of outlay and capital accounts<br>Per cent of GDP | | | | | |
|---|---|---|---|---|---|---|
| **Outlay** | | | | | | |
| Total general government expenditure | 26.0 | 32.1 | 38.5 | 46.2 | 43.0 | 42.7 |
| Current consumption[2] | 15.9 | 20.7 | 21.7 | 23.3 | 20.7 | 20.3 |
| Current transfers | 7.2 | 7.7 | 11.5 | 13.4 | 13.7 | 13.8 |
| Persons | 6.1 | 6.5 | 8.4 | 11.5 | 12.4 | 12.4 |
| Businesses (subsidies) | 0.9 | 0.9 | 2.7 | 1.5 | 1.0 | 1.0 |
| Non-residents | 0.2 | 0.3 | 0.3 | 0.4 | 0.3 | 0.3 |
| Total current program expenditure | 23.1 | 28.4 | 33.1 | 36.7 | 34.4 | 34.0 |
| Gross interest payments | 2.9 | 3.7 | 5.4 | 9.5 | 8.6 | 8.6 |
| **Capital** | | | | | | |
| Net capital transfers[3] | –0.1 | –0.2 | –0.4 | –0.5 | –0.2 | –0.2 |
| Non-financial capital acquisition[4] | 4.7 | 4.0 | 3.0 | 2.9 | 2.2 | 2.2 |

| | C. General government expenditure by function, financial management system basis<br>Per cent of GDP, fiscal years | | | | | |
|---|---|---|---|---|---|---|
| | 1965-66 | 1970-71 | 1980-81 | 1990-91[5] | 1995-96[5] | 1996-97[5] |
| Social services | 4.8 | 6.0 | 7.4 | 11.9 | 11.7 | n.a. |
| Education | 4.6 | 6.2 | 5.0 | 6.8 | 6.8 | n.a. |
| Health | 2.6 | 4.3 | 4.4 | 6.6 | 6.3 | n.a. |
| Transport and commmunication | 3.3 | 2.8 | 2.6 | 2.8 | 2.4 | n.a. |
| National defence | 2.7 | 1.9 | 1.6 | 1.8 | 1.5 | 1.4 |
| General services | 1.5 | 2.3 | 2.4 | 1.6 | 1.5 | n.a. |

1. Exclude capital consumption allowances.
2. Canada and Quebec Pension Plans.
3. Include net capital formation assistance to persons, businesses and non-residents, and other net capital transfers.
4. Includes fixed capital formation, inventories and existing assets.
5. Based on the new Statistics Canada's FMS universe.

*Source:* Department of Finance; OECD Secretariat.

Table G. **Financial markets**

| | 1970 | 1980 | 1992 | 1997 | 1998 |
|---|---|---|---|---|---|
| **Size of the financial sector** (percentages)[1] | | | | | |
| Sector employment/total employment | 4.8 | 5.7 | 6.6 | 6.1 | 5.9 |
| Net financial assets/GDP | 6.3 | 4.3 | 7.5 | 7.1 | n.a. |
| **Structure of financial assets and liabilities** | | | | | |
| Financial institutions' share in domestic financial assets (per cent) | 33.1 | 38.6 | 41.5 | 45.0 | 46.0 |
| Government securities in NFB[2] total financial assets (per cent) | 0.3 | 0.1 | 2.2 | 1.7 | 1.7 |
| **Structure of NFB liabilities** | | | | | |
| Debt-to-equity ratio[3] | 1.17 | 1.42 | 1.48 | 1.44 | 1.48* |
| Short-term: | | | | | |
| Securities and mortgages ($ billion) | 8.7 | 33.4 | 118.9 | 130.0 | 141.1* |
| Trade payables ($ billion) | 12.4 | 54.9 | 101.6 | 140.9 | 142.9* |
| Long-term | | | | | |
| Bonds ($ billion) | 13.7 | 28.7 | 97.5 | 133.9 | 147.7* |
| Loans and corporate claims ($ billion) | 27.0 | 105.5 | 252.5 | 316.7 | 344.1* |
| **Internationalisation of markets** | | | | | |
| Share of foreign currency assets and liabilities in the banking sector[4] | | | | | |
| Assets | 28.9 | 39.1 | 30.8 | 41.5 | 46.4 |
| Liabilities | 28.6 | 40.2 | 33.3 | 43.5 | 47.7 |
| Foreign purchases of Canadian securities[5] | 12.4 | 18.2 | 75.4 | 18.7 | 24.2 |
| Canadian purchases of foreign securities[5] | –1.2 | 0.6 | 20.8 | 11.2 | 21.9 |
| **Debt** (per cent of GDP) | | | | | |
| Private non-financial sector | | | | | |
| NFB[2, 6] | 77.3 | 81.6 | 87.8 | 94.3 | 96.5* |
| Households[7] | 45.3 | 52.5 | 63.2 | 63.7 | 70.5* |

* Estimates.
1. Public and private financial institutions and insurance.
2. NFB = non-financial corporate business, excluding farms.
3. (Liabilities – shares)/shares.
4. Per cent of consolidated balance sheet of chartered banks; excludes other deposit-taking institutions.
5. Per cent of net issues on dosmestic securities market. Data include new issues as well as secondary market transactions.
6. Liabilities less shares.
7. Persons and unincorporated business liabilities less trade payables, other loans and other Canadian bonds.

*Source:* Bank of Canada.

Table H. **Labour market indicators**

| | A. Labour market performance | | | |
|---|---|---|---|---|
| | 1976 | 1980 | 1990 | 1998 |
| Standardised unemployment rate | 7.2 | 7.5 | 8.2 | 8.3 |
| Unemployment rate: | | | | |
| Total | 7.2 | 7.5 | 8.2 | 8.3 |
| Male | 6.4 | 6.9 | 8.2 | 8.5 |
| Female | 8.4 | 8.4 | 8.1 | 8.1 |
| Youth[1] | 12.6 | 13.0 | 12.7 | 15.2 |
| Share of long-term unemployment in total unemployment[2] | 3.9 | 5.1 | 7.0 | 13.4 |
| Dispersion of regional unemployment rates[3] | 3.0 | 3.0 | 3.4 | 3.8 |
| | **B. Structural or institutional characteristics** | | | |
| | 1976 | 1980 | 1990 | 1998 |
| Participation rate:[4] | | | | |
| Total | 61.5 | 64.6 | 67.4 | 65.1 |
| Male | 77.8 | 78.6 | 76.3 | 72.4 |
| Female | 45.6 | 51.0 | 58.7 | 58.1 |
| Employment/population (15-64 years) | 57.1 | 59.7 | 61.9 | 59.7 |
| Average hours worked (manufacturing) | 36.1 | 36.0 | 36.7 | 37.1 |
| Part-time work (as per cent of dependent employment) | 19.4 | 22.2 | 26.0 | 29.2 |
| Non-wage labour costs[5] (as per cent of total compensation) | 8.0 | 8.3 | 9.6 | 12.3 |
| Government unemployment insurance replacement ratio[6] | 44.8 | 41.4 | 45.4 | 42.1 |
| Unionisation rate | 31.5 | 30.9 | 29.6 | 27.3 |
| | *Average percentage changes (annual rates)* | | | |
| | 1979/1976 | 1989/1980 | 1998/1990 | |
| Labour force | 3.4 | 2.0 | 1.1 | |
| Employment | | | | |
| Total | 3.2 | 2.0 | 1.0 | |
| Goods-producing | 2.2 | 0.6 | –0.1 | |
| Services | 3.8 | 2.7 | 1.5 | |

1. People between 15 and 24 years as a percentage of the labour force of the same age group.
2. People looking for a job since one year or more.
3. Measured by standard deviation for 10 provinces.
4. Labour force as a percentage of relevant population group, aged between 15 and 64 years.
5. Supplementary labour income (including contributions to social security, pension funds and other forms of SLI).
6. Average weekly benefits (regular)/average weekly earnings (including overtime).

*Source:* Canadian authorities.

Table I. **Production structure and performance indicators**

| | A. Production structure | | | | | |
|---|---|---|---|---|---|---|
| | Per cent share of GDP at factor costs (constant prices) | | | Per cent share of total employment | | |
| | 1978 | 1988 | 1998 | 1977 | 1987 | 1997 |
| Agriculture | 2.0 | 1.5 | 1.7 | 4.7 | 3.8 | 3.0 |
| Mines, quarries and oil wells | 4.0 | 3.8 | 3.9 | 1.6 | 1.5 | 1.3 |
| Manufacturing | 18.7 | 17.7 | 17.8 | 19.6 | 17.1 | 15.5 |
| *of which:* | | | | | | |
| Food and beverages | 3.4 | 2.6 | 2.5 | 2.6 | 2.1 | 1.8 |
| Paper and paper products | 1.3 | 1.0 | 0.9 | 1.3 | 1.0 | 0.9 |
| Primary metal industries | 1.1 | 0.9 | 0.9 | 1.3 | 1.0 | 0.8 |
| Fabricated metal products, machinery and equipment | 2.9 | 2.2 | 2.2 | 4.7 | 4.0 | 3.9 |
| Chemicals and chemical products | 1.3 | 1.4 | 1.5 | 0.9 | 0.8 | 0.7 |
| Construction | 7.4 | 6.9 | 5.4 | 6.5 | 5.7 | 5.4 |
| Market services | 62.7 | 65.1 | 67.1 | 65.6 | 70.0 | 73.0 |
| *of which:* | | | | | | |
| Transport, storage and communication | 6.4 | 7.1 | 7.8 | 8.5 | 7.6 | 7.4 |
| Wholesale and retail trade | 10.0 | 11.3 | 12.1 | 17.4 | 17.8 | 17.1 |
| Finance, insurance and real estate | 15.3 | 14.5 | 16.5 | 5.6 | 5.9 | 5.7 |
| Community, business social and personal services | 24.4 | 25.3 | 24.7 | 28.0 | 32.9 | 38.0 |
| Government services | 8.3 | 7.0 | 6.0 | 7.3 | 6.8 | 5.7 |

| | B. Labour productivity<br>Real output per hour worked, annual per cent growth | | |
|---|---|---|---|
| | 1970s | 1980s | 1990-1997 |
| Business sector industries | 1.9 | 0.7 | 0.9 |
| Business sector excluding agriculture | 1.8 | 0.7 | 0.8 |
| Goods sector industries | 2.1 | 1.5 | 1.9 |
| Service sector industries | 2.1 | 0.5 | 0.5 |
| Manufacturing sector industries | 2.3 | 1.9 | 2.2 |

*Source:* Canadian authorities; OECD, *National Accounts.*

*BASIC STATISTICS:*

*INTERNATIONAL COMPARISONS*

## BASIC STATISTICS: INTERNATIONAL COMPARISONS

| | Units | Reference period[1] | Australia | Austria | Belgium | Canada | Czech Republic | Denmark | Finland | France | Germany | Greece |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Population** | | | | | | | | | | | | |
| Total | Thousands | 1996 | 18 289 | 8 060 | 10 157 | 29 964 | 10 316 | 5 262 | 5 125 | 58 380 | 81 877 | 10 465 |
| Inhabitants per sq. km | Number | 1996 | 2 | 96 | 333 | 3 | 131 | 122 | 15 | 106 | 229 | 79 |
| Net average annual increase over previous 10 years | % | 1996 | 1.3 | 0.6 | 0.3 | 1.3 | 0 | 0.3 | 0.4 | 0.5 | 3 | 0.5 |
| **Employment** | | | | | | | | | | | | |
| Total civilian employment (TCE)[2] | Thousands | 1996 | 8 344 | 3 737 (94) | 3 675 (95) | 13 676 | 4 918 | 2 593 | 2 087 | 21 951 | 35 360 | 3 824 (95) |
| *of which:* Agriculture | % of TCE | 1996 | 5.1 | 7.2 (94) | 2.5 (95) | 4.1 | 6.3 | 4 | 7.1 | 4.6 | 3.3 | 20.4 (95) |
| Industry | % of TCE | 1996 | 22.5 | 33.2 (94) | 26.7 (95) | 22.8 | 42 | 27 | 27.6 | 25.9 | 37.5 | 23.2 (95) |
| Services | % of TCE | 1996 | 72.4 | 59.6 (94) | 71.4 (95) | 73.1 | 51.7 | 69 | 65.3 | 69.5 | 59.1 | 56.4 (95) |
| **Gross domestic product (GDP)** | | | | | | | | | | | | |
| At current prices and current exchange rates | Bill. US$ | 1996 | 398.9 | 228.7 | 268.2 | 579.2 | 56.2 | 174.9 | 125.1 | 1 536.6 | 2 353.5 | 91.2 (95) |
| Per capita | US$ | 1996 | 21 812 | 28 384 | 26 409 | 19 330 | 5 445 | 33 230 | 24 420 | 26 323 | 28 738 | 8 722 (95) |
| At current prices using current PPPs[3] | Bill. US$ | 1996 | 372.7 | 172.4 | 222 | 645.1 | .. | 118 | 96.7 | 1 198.6 | 1 736.1 | 133.5 |
| Per capita | US$ | 1996 | 20 376 | 21 395 | 21 856 | 21 529 | .. | 22 418 | 18 871 | 20 533 | 21 200 | 12 743 |
| Average annual volume growth over previous 5 years | % | 1996 | 3.9 | 1.6 | 1.2 | 2.2 | 2 | 2.2 | 1.6 | 1.2 | 1.4 | 1.3 (95) |
| **Gross fixed capital formation (GFCF)** | % of GDP | 1996 | 20.3 | 23.8 | 17.3 | 17.7 | 33 | 16.7 | 16.1 | 17.4 | 20.6 | 17 (95) |
| *of which:* Machinery and equipment | % of GDP | 1996 | 10.2 (95) | 8.8 (95) | 7.5 (95) | 6.6 | .. | 7.9 (95) | 6.4 (95) | 7.8 | 7.6 | 7.7 (95) |
| Residential construction | % of GDP | 1996 | 4.6 (95) | 5.9 (95) | 4.6 (95) | 5.4 | .. | 3.2 (95) | 3.5 (95) | 4.4 | 7.3 | 3.3 (95) |
| Average annual volume growth over previous 5 years | % | 1996 | 5.6 | 2.1 | 0.3 | 2.2 | 9.4 | 2 | –4.1 | –1.5 | 0.2 | 0.5 (95) |
| **Gross saving ratio**[4] | % of GDP | 1996 | 18 | 21.9 | 22.2 | 17.8 | .. | 17.6 | 19.6 | 18.7 | 20 | 16 (95) |
| **General government** | | | | | | | | | | | | |
| Current expenditure on goods and services | % of GDP | 1996 | 17 | 19.8 | 14.5 | 18.7 | 21.5 | 25.2 | 21.9 | 19.4 | 19.8 | 20.8 (95) |
| Current disbursements[5] | % of GDP | 1995 | 35.6 | 48.6 | 52.2 | 45.8 | .. | 59.6 | 55.9 | 50.9 | 46.6 | 52.1 |
| Current receipts | % of GDP | 1995 | 34.9 | 47.4 | 49.9 | 42.7 | .. | 58.1 | 52.8 | 46.9 | 45.9 | 45 |
| **Net official development assistance** | % of GNP | 1995 | 0.36 | 0.33 | 0.38 | 0.38 | .. | 0.96 | 0.32 | 0.55 | 0.31 | 0.13 |
| **Indicators of living standards** | | | | | | | | | | | | |
| Private consumption per capita using current PPPs[3] | US$ | 1996 | 12 596 | 12 152 | 13 793 | 12 959 | .. | 12 027 | 10 282 | 12 506 | 12 244 | 9 473 |
| Passenger cars, per 1 000 inhabitants | Number | 1994 | 460 | 433 | 416 | 466 | 282 | 312 | 368 | 430 | 488 | 199 |
| Telephones, per 1 000 inhabitants | Number | 1994 | 496 | 466 | 449 | 576 | 209 | 604 | 551 | 547 | 483[8] | 478 |
| Television sets, per 1 000 inhabitants | Number | 1993 | 489 | 479 | 453 | 618 | 476 | 538 | 504 | 412 | 559 | 202 |
| Doctors, per 1 000 inhabitants | Number | 1995 | 2.2 (91) | 2.7 | 3.7 (94) | 2.2 | 2.9 | 2.9 (94) | 2.8 | 2.9 | 3.4 | 3.9 (94) |
| Infant mortality per 1 000 live births | Number | 1995 | 5.7 | 5.4 | 7.6 (94) | 6.3 (94) | 7.7 | 5.5 | 4 | 5.8 (94) | 5.3 | 8.1 |
| **Wages and prices** (average annual increase over previous 5 years) | | | | | | | | | | | | |
| Wages (earnings or rates according to availability) | % | 1996 | 1.7 | 5.2 | 2.7 | 2.4 | .. | 3.2 | 3.8 | 2.6 | 4.2 | 11.8 |
| Consumer prices | % | 1996 | 2.4 | 2.9 | 2.2 | 1.4 | 11.9 | 1.9 | 1.5 | 2 | 3.1 | 11.6 |
| **Foreign trade** | | | | | | | | | | | | |
| Exports of goods, fob* | Mill. US$ | 1996 | 60 288 | 57 870 | 170 223[7] | 202 320 | 21 910 | 51 030 | 40 576 | 288 450 | 521 263 | 11 501 |
| As % of GDP | % | 1996 | 15.1 | 25.3 | 63.5 | 34.9 | 39 | 29.2 | 32.4 | 18.8 | 22.1 | 12.9 (95) |
| Average annual increase over previous 5 years | % | 1996 | 7.5 | 7.1 | 7.6 | 9.7 | .. | 6.2 | 12.1 | 6.3 | 5.4 | 5.8 |
| Imports of goods, cif* | Mill. US$ | 1996 | 61 374 | 67 376 | 160 917[7] | 170 931 | 27 721 | 44 987 | 30 911 | 271 348 | 455 741 | 27 402 |
| As % of GDP | % | 1996 | 15.4 | 29.5 | 60 | 29.5 | 49.3 | 25.7 | 24.7 | 17.7 | 19.4 | 30.4 (95) |
| Average annual increase over previous 5 years | % | 1996 | 9.7 | 5.9 | 5.9 | 7.7 | .. | 5.6 | 7.3 | 3.9 | 3.3 | 6.6 |
| **Total official reserves**[6] | Mill. SDRs | 1996 | 10 107 | 15 901 | 11 789[7] | 14 202 | 8 590 | 9 834 | 4 810 | 18 635 | 57 844 | 12 171 |
| As ratio of average monthly imports of goods | Ratio | 1996 | 2 | 2.8 | 0.9 | 1 | .. | 2.6 | 1.9 | 0.8 | 1.5 | 5.3 |

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

*Sources:* Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

## BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

| | Units | Reference period[1] | Hungary | Iceland | Ireland | Italy | Japan | Korea | Luxembourg | Mexico | Netherlands | New Zealand |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Population** | | | | | | | | | | | | |
| Total | Thousands | 1996 | 10 193 | 270 | 3 621 | 57 473 | 125 864 | 45 545 | 418 | 96 582 | 15 494 | 3 640 |
| Inhabitants per sq. km | Number | 1996 | 77 | 3 | 52 | 191 | 333 | 458 | 161 | 48 | 380 | 14 |
| Net average annual increase over previous 10 years | % | 1996 | –0.3 | 1.1 | 0.2 | 0 | 0.4 | 1 | 1.3 | 2 | 0.6 | 1.1 |
| **Employment** | | | | | | | | | | | | |
| Total civilian employment (TCE)[2] | Thousands | 1996 | 3 605 | 142 | 1 307 | 20 036 | 64 860 | 20 764 | 212 (95) | 32 385 (95) | 6 983 | 1 688 |
| *of which:* Agriculture | % of TCE | 1996 | 8.4 | 9.2 | 10.7 | 7 | 5.5 | 11.6 | 2.8 (95) | 23.5 (95) | 3.9 | 9.5 |
| Industry | % of TCE | 1996 | 33 | 23.9 | 27.2 | 32.1 | 33.3 | 32.5 | 30.7 (90) | 21.7 (95) | 22.4 | 24.6 |
| Services | % of TCE | 1996 | 58.6 | 66.2 | 62.3 | 60.9 | 61.2 | 55.9 | 66.1 (90) | 54.8 (95) | 73.8 | 65.9 |
| **Gross domestic product (GDP)** | | | | | | | | | | | | |
| At current prices and current exchange rates | Bill. US$ | 1996 | 43.7 (95) | 7.3 | 70.7 | 1 214.2 | 4 595.2 | 484.8 | 17 | 329.4 | 396 | 65.9 |
| Per capita | US$ | 1996 | 4 273 (95) | 27 076 | 19 525 | 21 127 | 36 509 | 10 644 | 40 791 | 3 411 | 25 511 | 18 093 |
| At current prices using current PPPs[3] | Bill. US$ | 1996 | .. | 6.3 | 68.8 | 1 148 | 2 924.5 | 618.5 | 13.5 | 751.1 | 324.5 | 63.6 |
| Per capita | US$ | 1996 | .. | 23 242 | 18 988 | 19 974 | 23 235 | 13 580 | 32 416 | 7 776 | 20 905 | 17 473 |
| Average annual volume growth over previous 5 years | % | 1996 | –2.4 (95) | 1.5 | 7.1 | 1 | 1.5 | 7.1 | 4.8 | 1.7 | 2.3 | 3.7 |
| **Gross fixed capital formation (GFCF)** | % of GDP | 1996 | 19.3 (95) | 17.5 | 17.2 | 17 | 29.7 | 36.8 | 20.8 | 18 | 19.7 | 20.9 |
| *of which:* Machinery and equipment | % of GDP | 1996 | .. | 6.7 | 5.5 (95) | 8.8 | 10.1 (95) | 13 | .. | 8.8 | 9.4 | 10 |
| Residential construction | % of GDP | 1996 | . . | 3.9 | 4.9 (95) | 4.5 | 5.3 (95) | 7.6 | .. | 4.7 | 5 | 5.6 |
| Average annual volume growth over previous 5 years | % | 1996 | –0.9 (95) | –1.4 | 6 | –1.4 | 1.3 | 6.9 | 0.2 | –0.7 | 2.2 | 9.6 |
| **Gross saving ratio**[4] | % of GDP | 1996 | .. | 15.6 | 21.7 | 20.5 | 31.4 | 34.2 | 37.5 | 22.7 | 25.7 | 16 |
| **General government** | | | | | | | | | | | | |
| Current expenditure on goods and services | % of GDP | 1996 | 24.9 (95) | 20.8 | 14.1 | 16.4 | 9.7 | 10.6 | 13.6 | 9.7[10] | 14 | 14.4 |
| Current disbursements[5] | % of GDP | 1995 | .. | 35.1 | 39.2 (94) | 49.5 | 28.5 | 15.1 | .. | .. | 51.8 | .. |
| Current receipts | % of GDP | 1995 | .. | 36 | 39.3 (94) | 44.5 | 32 | 25.1 | .. | .. | 50 | .. |
| **Net official development assistance** | % of GNP | 1995 | .. | .. | 0.29 | 0.15 | 0.28 | 0.03 | 0.36 | .. | 0.81 | 0.23 |
| **Indicators of living standards** | | | | | | | | | | | | |
| Private consumption per capita using current PPPs[3] | US$ | 1996 | .. | 14 244 | 10 020 | 12 224 | 13 912 | 7 354 | 17 811 | 5 045 | 12 477 | 10 895 |
| Passenger cars, per 1 000 inhabitants | Number | 1994 | 212 | 434 | 264 | 517 | 342 | 115 | 544 | 91 | 383 | 457 |
| Telephones, per 1 000 inhabitants | Number | 1994 | 170 | 557 | 350 | 429 | 480 | 397 | 564 | 93 | 509 | 470 |
| Television sets, per 1 000 inhabitants | Number | 1993 | 427 | 335 | 301 | 429 | 618 | 215 | 261 | 150 | 491 | |
| Doctors, per 1 000 inhabitants | Number | 1995 | 3.4 | 3.9 (94) | 3.4 | 3.0 (94) | 1.7 | 1.6 (92) | 1.8 (94) | 1.1 | 2.2 (93) | 1.6 |
| Infant mortality per 1 000 live births | Number | 1995 | 11 | 6.1 | 6.3 | 6.6 (94) | 4.3 | 9 | 5.3 (94) | 17 (94) | 5.5 | 7.2 (94) |
| **Wages and prices** (average annual increase over previous 5 years) | | | | | | | | | | | | |
| Wages (earnings or rates according to availability) | % | 1996 | .. | .. | 3.7 | 3.5 | 1.8 | .. | .. | –1.6 | 2.4 | 1.5 |
| Consumer prices | % | 1996 | 23.2 | 2.6 | 2.2 | 4.5 | 0.7 | 5.3 | 2.4 | 19.7 | 2.5 | 2 |
| **Foreign trade** | | | | | | | | | | | | |
| Exports of goods, fob* | Mill. US$ | 1996 | 15 674 | 1 891 | 48 416 | 250 842 | 411 067 | 129 715 | .. | 96 000 | 203 953 | 14 316 |
| As % of GDP | % | 1996 | 35.9 | 26 | 68.5 | 20.7 | 8.9 | 26.8 | .. | 29.1 | 51.5 | 21.7 |
| Average annual increase over previous 5 years | % | 1996 | 8.9 | 4 | 14.8 | 8.2 | 5.5 | 12.5 | .. | 17.6 | 8.9 | 8.2 |
| Imports of goods, cif* | Mill. US$ | 1996 | 18 105 | 2 032 | 35 763 | 206 904 | 349 149 | 150 340 | .. | 89 469 | 184 389 | 14 682 |
| As % of GDP | % | 1996 | 41.4 | 27.9 | 50.6 | 17 | 7.6 | 31 | .. | 27.2 | 46.6 | 22.3 |
| Average annual increase over previous 5 years | % | 1996 | 9.6 | 3.4 | 11.5 | 2.5 | 8 | 13.9 | .. | 12.4 | 7.8 | 11.8 |
| **Total official reserves**[6] | Mill. SDRs | 1996 | 6 812 | 316 | 5 706 | 31 954 | 150 663 | 23 670 | .. | 13 514 | 18 615 | 4 140 |
| As ratio of average monthly imports of goods | Ratio | 1996 | .. | 1.9 | 1.9 | 1.9 | 5.2 | .. | .. | 1.8 | 1.2 | 3.4 |

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

*Sources:* Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

## BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

| | Units | Reference period[1] | Norway | Poland | Portugal | Spain | Sweden | Switzerland | Turkey | United Kingdom | United States |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **Population** | | | | | | | | | | | |
| Total | Thousands | 1996 | 4 370 | 38 618 | 9 935 | 39 270 | 8 901 | 7 085 | 62 695 | 58 782 | 265 557 |
| Inhabitants per sq. km | Number | 1996 | 13 | 123 | 108 | 78 | 20 | 172 | 80 | 240 | 28 |
| Net average annual increase over previous 10 years | % | 1996 | 0.5 | 0.3 | –0.1 | 0.2 | 0.6 | 0.8 | 2 | 0.3 | 1 |
| **Employment** | | | | | | | | | | | |
| Total civilian employment (TCE)[2] | Thousands | 1996 | 2 110 | 14 977 | 4 475 | 12 394 | 3 963 | 3 803 | 20 895 | 26 088 | 126 708 |
| *of which:* Agriculture | % of TCE | 1996 | 5.2 | 22.1 | 12.2 | 8.7 | 2.9 | 4.5 | 44.9 | 2 | 2.8 |
| Industry | % of TCE | 1996 | 23.4 (95) | 31.7 | 31.4 | 29.7 | 26.1 | 27.7 | 22 | 27.4 | 23.8 |
| Services | % of TCE | 1996 | 71.5 (95) | 46.2 | 56.4 | 61.6 | 71 | 67.4 | 33.1 | 71 | 73.3 |
| **Gross domestic product (GDP)** | | | | | | | | | | | |
| At current prices and current exchange rates | Bill. US$ | 1996 | 157.8 | 117.9 (95) | 103.6 | 584.9 | 251.7 | 294.3 | 181.5 | 1 153.4 | 7 388.1 |
| Per capita | US$ | 1996 | 36 020 | 3 057 (95) | 10 425 | 14 894 | 28 283 | 41 411 | 2 894 | 19 621 | 27 821 |
| At current prices using current PPPs[3] | Bill. US$ | 1996 | 106.7 | .. | 130.1 | 587.2 | 171.4 | 180.6 | 383.3 | 1 095.5 | 7 388.1 |
| Per capita | US$ | 1996 | 24 364 | .. | 13 100 | 14 954 | 19 258 | 25 402 | 6 114 | 18 636 | 27 821 |
| Average annual volume growth over previous 5 years | % | 1996 | 4.1 | 2.2 (95) | 1.5 | 1.3 | 1 | 0.1 | 4.4 | 2.2 | 2.8 |
| **Gross fixed capital formation (GFCF)** | % of GDP | 1996 | 20.5 | 17.1 (95) | 24.1 | 20.1 | 14.8 | 20.2 | 25 | 15.5 | 17.6 |
| *of which:* Machinery and equipment | % of GDP | 1996 | 8.4 | .. | 11.7 (93) | 6.1 (95) | 7.9 | 9.3 | 11.9 | 7.6 | 8.3 (95) |
| Residential construction | % of GDP | 1996 | 2.6 (94) | .. | 5.2 (93) | 4.3 (95) | 1.9 | 11[9] | 8.4 (95) | 3 | 4.1 (95) |
| Average annual volume growth over previous 5 years | % | 1996 | 2.8 | 5.4 (95) | 2.2 | –1 | –2.6 | –0.8 | 6.9 | 1.3 | 6.9 |
| **Gross saving ratio**[4] | % of GDP | 1996 | 29.9 | .. | 21.6 | 20.7 | 16 | 27.1 | 22.3 | 14.6 | 16.6 |
| **General government** | | | | | | | | | | | |
| Current expenditure on goods and services | % of GDP | 1996 | 20.5 | 16.9 (95) | 18.5 | 16.3 | 26.2 | 14.3 | 11.6 | 21.1 | 15.6 |
| Current disbursements[5] | % of GDP | 1995 | 45.8 | .. | 42.5 (93) | 41.2 | 63.8 | 47.7 | .. | 42.3 (94) | 34.3 |
| Current receipts | % of GDP | 1995 | 50.9 | .. | 39.8 (93) | 37.9 | 57.5 | 53.8 | .. | 37.2 (94) | 32.1 |
| **Net official development assistance** | % of GNP | 1995 | 0.87 | .. | 0.27 | 0.24 | 0.77 | 0.34 | 0.07 | 0.28 | 0.1 |
| **Indicators of living standards** | | | | | | | | | | | |
| Private consumption per capita using current PPPs[3] | US$ | 1996 | 11 593 | .. | 8 522 | 9 339 | 10 096 | 15 632 | 4 130 | 11 865 | 18 908 |
| Passenger cars, per 1 000 inhabitants | Number | 1994 | 381 | 186 | 357 | 351 | 406 (93) | 451 | 47 | 372 | 565 |
| Telephones, per 1 000 inhabitants | Number | 1994 | 554 | 131 | 350 | 371 | 683 | 597 | 201 | 489 | 602 |
| Television sets, per 1 000 inhabitants | Number | 1993 | 427 | 298 | 190 | 400 | 470 | 400 | 176 | 435 | 816 |
| Doctors, per 1 000 inhabitants | Number | 1995 | 2.8 | 2.3 | 3 | 4.1 (93) | 3.1 | 3.1 (94) | 1.2 | 1.6 (94) | 2.6 (94) |
| Infant mortality per 1 000 live births | Number | 1995 | 4 | 13.6 | 7.4 | 6 (94) | 4 | 5 | 46.8 (94) | 6.2 (94) | 8 (94) |
| **Wages and prices** (average annual increase over previous 5 years) | | | | | | | | | | | |
| Wages (earnings or rates according to availability) | % | 1996 | 3.2 | .. | .. | 5.8 | 4.8 | .. | .. | 4.9 | 2.7 |
| Consumer prices | % | 1996 | 1.9 | .. | 5.6 | 4.7 | 2.7 | 2.2 | 81.6 | 2.7 | 2.9 |
| **Foreign trade** | | | | | | | | | | | |
| Exports of goods, fob* | Mill. US$ | 1996 | 49 576 | 24 417 | 24 614 | 102 067 | 84 836 | 79 581 | 23 301 | 259 941 | 625 075 |
| As % of GDP | % | 1996 | 31.4 | 20.7 | 23.8 | 17.5 | 33.7 | 27 | 12.8 | 22.5 | 8.5 |
| Average annual increase over previous 5 years | % | 1996 | 7.8 | .. | 8.6 | 11.2 | 9 | 5.3 | 11.1 | 7 | 8.2 |
| Imports of goods, cif* | Mill. US$ | 1996 | 35 575 | 37 185 | 35 192 | 121 838 | 66 825 | 78 052 | 43 094 | 287 033 | 795 289 |
| As % of GDP | % | 1996 | 22.5 | 31.5 | 34 | 20.8 | 26.5 | 26.5 | 23.7 | 24.9 | 10.8 |
| Average annual increase over previous 5 years | % | 1996 | 6.9 | .. | 6.1 | 5.5 | 6 | 3.2 | 15.1 | 6.5 | 10.3 |
| **Total official reserves**[6] | Mill. SDRs | 1996 | 18 441 | 12 409 | 11 070 | 40 284 | 13 288 | 26 727 | 11 430 | 27 745 | 44 536 |
| As ratio of average monthly imports of goods | Ratio | 1996 | 6.2 | .. | 3.8 | 4 | 2.4 | 4.1 | 3.2 | 1.2 | 0.7 |

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
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9. Including non-residential construction.
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OECD PUBLICATIONS, 2, rue André-Pascal, 75775 PARIS CEDEX 16
PRINTED IN FRANCE
(10 1999 01 1 P) ISBN 92-64-16990-3 – No. 50775 1999
ISSN 0376-6438